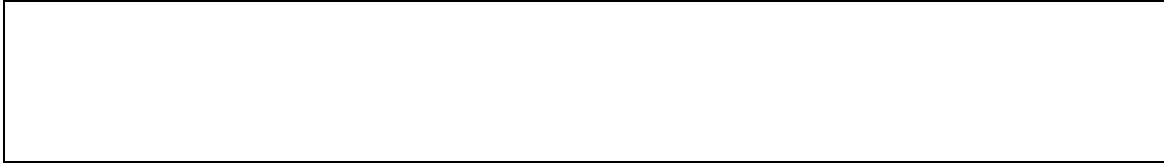




TRADEGUARD POLICY



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GENERAL EXCEPTIONS PROVISIONS AND CONDITIONS

In consideration of the payment of the premium by or on behalf of the Insured subject to the conditions of the policy **Zimnat Lion Insurance Company** (the Company) agrees to indemnify the Insured in respect of the insured events occurring during the period of insurance for as otherwise provided in the sections) by payment or at its option by repair replacement or reinstatement up to the sums insured or the limit of liability or compensation stated.

GENERAL EXCEPTIONS

This policy does not cover loss or damage directly or indirectly caused by related to consequence of any of the following occurrence namely: -

- 1(a) War invasion, act of foreign enemy, hostilities or warlike Operations (whether war be declared or not) civil war, mutiny, riot, strike, civil commotion, military or popular uprising, insurrection, rebellion revolution, military or usurped power, martial law or state of siege or
- (b) any of the events or causes which determine the proclamation or maintenance of martial or state of siege or coup d'état;
- (c) any act (whether on behalf of any organization; body or person; or group of persons) calculated or directed to overthrow or influence any government de jure or de facto, or any provincial or local authority with force, or by means of fear, terrorism or violence
- (d) any act which is calculated or directed to further any political aim, objective or cause in protest against any government de jure or de facto, or any provincial or local authority.
- (e) Any armed conflict between regions or religious or ethnic or tribal factions within Zimbabwe.
- (f) Any attempt to perform any act referred to in the immediately preceding paragraphs
- (g) Any act of any lawfully established authority in controlling preventing suppressing or in any other way dealing with any occurrences referred to in clause(a),(b),(c),(d) or (e) above

- (h) abandonment and/or dispossession on property insured resulting from seizure, confiscation, commandeering, restraint, detention, requisition, appropriation or nationalization by any lawfully constituted authority or by order of any government de jure or de facto
- (i) abandonment and/or legal or illegal occupation (of premises for a period of more than 48 consecutive hours by any person or group of person except in the course of labour disturbances, strike, or lockout if Insured by this Policy.

GENERAL EXCEPTIONS PROVISIONS AND CONDITIONS

- (j) any act of terrorism committed by any body or person or any group of persons or by any government de jure or de facto.

the destruction of property by order of any public authority

1. in any action suit or other proceeding where the Company alleges that reason of the provisions of exclusions 1(a), (b) and (c) above any loss destruction or damage is not covered by this insurance the burden of proving that such loss destruction or damage is covered shall be upon the Insured
2. nuclear weapons material ionizing radiations or contamination by radio-activity from any nuclear fuel or from any nuclear waste from combustion of nuclear fuel. For the purposes of this exception only combustion shall include any self sustaining process of nuclear fission
3. consequential loss of any description or delay
- 4.(a) earthquake whether caused by mining operation or otherwise subterranean fire; volcanic eruption or other convulsion of nature, tidal wave subsidence or landslide
 - (b) an insured event occurring elsewhere than in Africa south of latitude 150 degrees south

GENERAL PROVISIONS

1. CLAIMS PREPARATION COSTS

The insurance by each section of this Policy is extended to include costs reasonable incurred by the Insured in producing and certifying any particulars or details required in terms of general conditions 3 (claims) up to the lesser of \$100 000 and 10% of the sum insured/limit of indemnity for the item affected

In addition the Company will pay any additional amount actually expected up to the Sum for additional claims preparations costs stated in the schedule of the section concerned

2. THE EXCESS

Unless specifically provided to the contrary the amount payable under any Section is reduced by the amount of any excess applicable to an insured event under that Section.

3. PAYMENTS ON ACCOUNT

Payment on account may be made to the insured at the discretion of the Company if the payment of the amount recoverable from the company is delayed pending finalisation of a claim

4. PERIOD OF INSURANCE

Where the expression "twelve consecutive months of insurance (calculated from the inception of this Policy) " appears in a Section it shall be interpreted literally except where the first or a subsequent period of insurances for a shorter or longer period than the Insured in which case such shorter or longer period shall be interpreted as being

GENERAL EXCEPTIONS PROVISIONS AND CONDITIONS

the same duration as the normal frequency for the purposes of the of the said expression.

5. COLLECTIVE POLICIES

Where more than one Insurance Company or Insurer is stated in the Schedule as participating in this Insurance the word " Insurers " is deemed to be substituted for "Company" whether the Company shall mean the leading office on behalf of the Insurers

The participation of each insurer shall be for the percentage set against its name in the Schedule and the liability of each individually shall be limited to that percentage

6. LIMITATION OF LOSS

The Company shall not be liable under more that one Section of this policy in respect of liability loss or damage arising from the same happening in respect of same liability loss or damage

7. INTERPRETATION

The Schedule and any endorsement thereto and the policy wording shall be read

together and any word or expression which any expression to which a specific meaning has been given in any part thereof shall bear such meaning wherever it may appear

8. PREMIUM PAYMENT

The company shall not be obliged to accept premium tendered to it after inception date or renewal date is as the case may be but may do so upon such terms as its sole discretion may determine

GENERAL CONDITIONS

1. GENERAL

This policy shall be voidable in respect of any item or section in priority to the policy as a whole if non-disclosure there is misrepresentation, misdescription, non-disclosure of any material particular insurable interest the insured's interest ceases except by will or operation of law unless such alteration has been accepted by the Company increase in risk.

The risks of accident loss damage or liability is increased other than in circumstances for which provision is made in a section or for which the Company has given it's prior consent breach of warranty the Insured breaches any warranty

2. PREVENTION OF LOSS

The insured shall take all reasonable precaution for the maintenance and safety of insured property and for the prevention of accidents or Losses

1. CLAIMS

- a) On the occurrences of an event which may give rise to claim under this policy the Insured shall as soon as practicable and at his own expense (except as

GENERAL EXCEPTIONS PROVISIONS AND CONDITIONS

otherwise provided herein)

- (i) notify the Company and give details of any other insurance covering the same event.
- (ii) inform the police of any claim involving theft or loss of property and take all practical steps to discover the guilty party and recover the stolen or lost property
- (iii) co-operate with the Company or its nominee in minimizing the resultant loss damage injury or liability
- (iv) supply full details of the event in writing supported by such proofs information and sworn declarations as the Company requires

- (v) forward any notice of claim communication writ summons or other legal process connected with the event to the Company.
- (vi) A claim (other than under fidelity group personal accident or the assault memoranda under a money policy sections) shall not be payable if
- (vii) the insured makes any admission statement offer promise payment or indemnity without the prior written consent of the Company
- (iii) twenty four months (or such other period as provided in as section) has elapsed since the occurrence the insured event(or in respect of a business interruption section thirty days has elapsed since the expiry of the indemnity period) unless the claim is the subject of the Insured's legal liability to third parties or pending legal action.
- (iii) it is rejected and legal action is not commenced within twelve months of the rejection

4. **THE COMPANY'S RIGHTS**

On the occurrence of an insured event the Company or its nominee may without incurring any liability or in any way diminishing its rights

- (a) take enter or keep possession or any damaged insured property and deal with it in any reasonable manner this condition does not grant the Insured's licence to abandon any property to the Company whether already in its possession or not
- (b) take legal action in the name of the Insured in respect of any recover of or contribution to a claim
- (c) take over and conduct in the name of the Insured the defence and settlement of any claim

GENERAL EXCEPTIONS PROVISIONS AND CONDITIONS

- (d) discharge any obligations at any time under any Section providing indemnity for liability to third parties by paring to the insured the limit of liability or such lesser sum for which the claim can be settled which shall be inclusive of legal fees and other expenses agreed by the Company and incurred to the date of payment

9. OTHER INSURANCES

The Company shall not be liable

- a. to indemnify the Insured for any property which is or would be for the existence
 - b. of this policy be insured or be insurable by a marine insurance policy expect in respect of any excess beyond the amount that would have been recoverable under such marine insurance policy
- (i) to contribute more than its rateable proportion where there is another non-marine policy in force covering fully or partially and insured event also insured by this policy and
- (ii) when such policy contains any provision excluding it from ranging concurrent with or contributing rateably to this policy for more than such proportion of the loss or damage as the sum insured hereby bears to the value of the Insured property and such other policy is subject to a condition of average this policy if not already subject to such condition shall also be subject to average

10. CANCELLATION

This policy or any section thereof may be cancelled by the Insured giving immediate notice or by the Company giving thirty days notice in writing to the Insured

Subject to general condition 7 a pro-rata return of premium calculated from expiry of the period of notice to the expiry of the then period current period of insurance will be allowed.

11. ADJUSTMENT OF PREMIUM

When the premium for any section or any part thereof is subject to adjustment or declaration such adjustment shall be made at the expiry of each twelve consecutive months of insurance (calculated from the inception of this policy) and the Insured shall at all times keep adequate records of the particulars relative to the declaration required and shall make such records available to the Company at the intervals provided for the section or on request

12. REINSTATEMENT OF SUM INSURED *(Not applicable to stock insured on declaration basis or to any section in which it is stated not to be applicable)*

**GENERAL EXCEPTIONS
PROVISIONS AND CONDITIONS**

In consideration of the sum insured in a section not being reduced by the amount in any valid claim the insured shall (if required) pay a pro-rata premium calculated on the amount of the valid claim from the date of reinstatement or replacement (whichever is the later) to the expiry of the period of insurance.

13. FRAUD

If any claim under this policy is in any respect fraudulent or if any fraudulent means or devices are used by the Insured or anyone acting on his behalf to obtain any benefit under this policy or if any loss damage or liability to occasion by the willful act or with the connivance of the Insured all benefit under this policy respect of such claim shall be forfeited

14. JURISDICTION

This policy is subject to the laws of Zimbabwe whose courts shall have sole jurisdiction to the exclusion of the courts of any other country.

Where payment is to be made to or by the Company it shall be made in the currency of Zimbabwe at the Company's head office unless the Company allows Otherwise

11. LONG TERM AGREEMENT

When a Section is stated to be subject to a long term agreement the following shall Apply "In consideration of the Company allowing a discount off the premium for the section which included in the premium the Insured agrees to continue this section or the appropriate section of any substituted policy for the unexpired portion of the period originally agreed it being understood that the sum insured may be reduced at any time to correspond with a reduction in value.

General condition 6 is replaced by the following

CANCELLATION

This policy or any section thereof may be cancelled by the Insured giving immediate notice or by the Company giving thirty days notice in writing to the Insured

Subject to general condition 7 a pro-rata return of premium calculated from expiry of the period of notice to the expiry of the then period current period of insurance will be allowed"

12. MONTHLY QUARTERLY AND HALF-YEARLY POLICIES.

When the premiums are stated to be payable "monthly" "quarterly" or half yearly" they must be received by the Company within thirty days from the commencement of the period of insurance to which they relate failing which the policy shall be deemed to be cancelled (notwithstanding general condition 6) from the expiry of the preceding period of insurance unless the Insured can show that the failure to make payment was an error on the part of his bankers or other paying agent.

Fire – Section 1

Loss of or damage to the insured property by an insured peril or such of the additional perils as are stated in the Schedule to apply

Average

If on the commencement of the occurrence of an insured event the value of the property insured is collectively greater than the sum Insured thereon the Insured shall be considered his own Insurer for the difference and shall bear a rateable proportion of the loss
Each item insured shall be separately subject to this condition.

Special Exception

The Company shall not be liable for loss or damage to the Insured property caused by or arising from it undergoing any process of heating or drying.

DEFINITIONS

INSURED PERILS

Fire

Lightning thunderbolt and (notwithstanding general exception 4(a) subterranean fire.

Additional Perils

1. Special Perils

- a) storm, wind, water, hail or snow but excluding loss or damage
 - (aa) arising out of any processs necessarily involving the use or application of water
 - (ab) caused by tidal wave originating from earthquake or volcanic eruption and unless so described and insured as a separate item
 - (ac) in the underground workings of any mine
 - (ad) in the open (other than to buildings, structures or plant designed to exist or operate in the open
 - (ae) in any structure not completely roofed
- b) aircraft and other aerial devices and articles dropped therefrom
- c) impact by animals or vehicles or articles dropped therefrom excluding loss or damage to such animals or vehicles or property in or on such vehicles
- d) falling tree or parts thereof

Special exceptions

The Company shall not be liable under additional peril 1 for

- (i) wear and tear or gradual deterioration
- (ii) loss or damage caused or aggravated by
 - (aa) discharge or leakage from any sprinkler or drencher installation or other fire extinguishing installations or appliances in any insured building or in any building containing insured property
 - (ab) subsidence or landslide

- (ac) the Insured's failure to take reasonable precautions for the maintenance and safety of insured property or for the minimization of any loss or damage

Fire – Section 1

2. EATHQUAKE

Earthquake (notwithstanding) general exception 4(a)) but excluding loss of or damage to property in the under ground working of any mine

3. MALICIOUS DAMAGE

Loss or damage directly occasioned by or through or in consequence of the deliberate or Willful or wanton act of any person committed with the intention of causing such loss or damage but excluding loss or damage caused by or arising from theft or any attempt thereat

Special exceptions

The Company shall not be liable for

- (a) Consequential or indirect loss or damage of any kind or description whatsoever other than loss or rent if specifically insured
- (b) Loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (c) Loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority
- (d) Loss or damage related to or caused by occurrence referred to in general exception 1(i) (ii) (iii) (iv) (v) or (vi) or the act of any lawfully established authority in controlling prevented suppressing or in any other way dealing with any such occurrence.

If the Company alleges that by reason of (a) (b) (c) or (d) loss or damage is not covered by this section the burden of proving the contrary shall not rest on the Insured.

4. EXPLOSION

Explosion

5. SPONTANEOUS COMBUSTION

Loss or damage by fire only to insured property by its own spontaneous fermentation heating or Combustion

6. SUBSIDENCE AND LANDSLIP

subsidence or landslip (notwithstanding general exception 4(a)) but excluding

- (a) loss or damage to drains watercourse boundary garden dam or retaining walls gates posts and fences
- (b) loss or damage caused or aggravated by
 - (i) faulty design or construction of or the removal or weakening of support to any

- building insured by this section
- (ii) workmen making structural alterations additions or repairs to any building insured by this section
- (iii) excavation on or under land other than excavations in the course of mining operations
- (c) consequential loss of any kind whatsoever other than the loss of rent if specifically insured the first one percent of the sum insured on any insured property or the first amount stated in the schedule of every claim whichever is the greater in any action suit or other proceedings were the Company alleges that by reason of these provisions loss or damage is not covered by this additional peril the burden of proving the contrary shall rest on the Insured

Fire – Section 1

7. SPRINKLER AND OTHER LEAKAGE

- discharge or leakage of sprinkler or drencher installations or other fire extinguishing installations or appliances
- but excluding loss or damage caused or aggravated by
 - (i) alteration or repair to the building containing the installation or appliances
 - (ii) freezing of the installation or appliances if the building is unoccupied for more than 21 consecutive days

In respect of this additional peril only general exception 1 (i) is deleted and loss or damage by earthquake is insured

If the liability of the Company under this additional peril is stated to be less than the sum insured for an item of insured property the "average condition is replaced by

Average

If on the commencement of the occurrence of an insured event the value of the insured property is collected greater than the sum insured there on for fire the Company shall only be liable for such proportion of the sum insured for this additional peril as the sum insured for fire the Company shall only be liable for such proportion of the sum insured for fire bears to the total value of the insured property and the Insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss Each item insured shall be separately subject to this condition

INSURED PROPERTY

The property at the premises as more fully described below the Insured's own or held by him in trust or on commission for which he is responsible for the purposes of determining under which heading the property is insured the Company agrees to accept the designation under which the property is entered in the Insured's books

Buildings

Buildings constructed of brick stone or concrete and roofed with asbestos concrete metal slate or tile (unless specifically stated to the contrary in the Schedule) together with the landlord's fixture and fittings therein or thereon boundary and other walls (but specifically excluding dam and retaining walls) gate posts and fences

Rent

Rent on the basis and for the number of months stated in the schedule

Plant Machinery and all other contents

Plant and machinery and landlord's fixtures and fitting for which the Insured is responsible and all contents (other than stock and any property more specifically insured) which shall include

- (a) documents manuscripts and business books plans and designs
- (b) computer system records

© patterns models and moulds

but in respect of (a) (b) and (c) the cover is limited to the value of the materials and the cost of labour for recreating and excludes any expenses in connection with the production of any information contained therein and the value of such information to be Insured

- (d) personal effects (including pedal cycles and tools) of principals directors members partners or employees (not otherwise Insured) up to \$50 per individual

Fire – Section 1**Stock**

Stock and materials in trade

Other Property

Any property (whether forming part of any other description of insured property or not) more specifically described in the Schedule

RENT

The Company will pay the amount of rent payable/rent receivable/rental value (as stated in the schedule) during the period the premises are rendered untenable by an insured event but the limit of the company's liability shall be the lesser of the period necessary to make the premises tenable or the number of months stated

Rent payable

The actual rent payable by the Insured the owner/landlord of the premises immediately prior to the premises becoming untenable plus costs necessarily prior to the premises becoming untenable plus costs necessarily incurred in removal to and return from temporary premises

Rent receivable

The actual rent receivable by the Insured immediately prior to the premises becoming untenable for that part of the premises then let

Rental Value

The actual rental value of the premises immediately prior to it becoming untenable

CLAUSES

1. ADDITIONAL COSTS

The Sum insured in respect of building stock plant and machinery include

- a) any cost incurred due to the necessity to comply with building or other regulations of any public authority in repair or reinstatement following an insured event provided that such costs do not include
 - (i) anything for which notice has been served on the insured prior to the insured event
 - (ii) anything connected with undamaged property or undamaged portions of property
 - (iii) rates taxes duties development and other charges payable under the said regulations due to capital appreciation of the insured property
- b) fees for the examination of municipal or other plans
- c) (i) costs incurred in the necessary erection and maintenance of hoardings during demolition and rebuilding costs incurred in the necessary demolition and removal of debris resulting from an insured event (*including stock debris and undamaged contents*) from the site of the insured property destroyed or damaged and the area immediately adjacent to such site but excluding costs and expenses arising from pollution or contamination of property not insured by this policy
- d) the professional fees of architects quantity surveyors and other consultants
- e) up to \$50 in respect of removal costs of fallen trees or parts thereof (whether causing damage or not) referred to under Special Peril (d)

Fire – Section 1

but the Company shall not be liable under (a) (b) or (d) unless the lost or damaged property is replaced or reinstated without undue delay nor under (d) for any expenses in connection with the preparation of the Insured's claim

2. ALTERATIONS AND MISDESCRIPTION

The Insured shall not be prejudiced by any alteration or misdescription of occupancy due to

- (a) the transfer of process or machinery
- (b) the acquisition of additional premiums
- (c) structural alteration or repairs to buildings plant or machinery

provided that notice is given to the Company as soon as practicable after the event and

the Insured pay any additional premium that may be required

3. **CAPITAL ADDITIONS**

Alterations and improvements to building plant and machinery (but not appreciation in value in excess of the sum insured) are "held covered" up to fifteen percent of the sum insured provided the insured notifies the Company of such work at the end of each quarter and pays any additional premium that may be required

4. **DISPOSAL OF SALVAGE**

The Company agrees not to sell or dispose of any property which is the subject of a claim without giving the Insured the option to repurchase it at the greater of its fair intrinsic and market value but this clause does not give the Insured licence to abandon property to the Company

5. **FIRE BRIGADE CHARGES**

In addition to any amount paid as a result of the insured event the Company will apy any charges levied by an authorized fire brigade for all their services

6. **MORTGAGEES**

From the date of notification the Company accepts the interest of a mortgagee or other with an insurable interest in the insured property and will not prejudice such interest due to the act or omission of the mortgagor without the mortgagee's knowledge provided that the mortgagee advises the Company as soon as such act or omission comes to his knowledge and agrees to be responsible for any additional premium resulting from the Company assuming any increased hazard.

7. **RAILWAY SUBROGATION**

The signing by the Insured any indemnity agreement required by the National Railways of Zimbabwe for the carriage of goods shall not invalidate the insurance by this section

8. **TEMPORARY REMOVALS**

The insured property (other than stock) is covered while temporary removed from or within the premises to other premises within the territorial limits for alteration cleaning repair renovation or similar process provided that the Company's Liability

- a) is limited to fifteen percent of the sum insured on the insured property concerned
- b) does not extend to motor vehicles or motor chassis
- c) does not cover property held in trust other than machinery and plant
- d) for property in transit is restricted to transit by road rail or inland waterway and the property is not otherwise Insured

9. **TENANTS**

The Insured shall not be prejudiced by the act of any tenant in premises he owns or in which he is a co-tenant nor of the owner of any premises of which he is a tenant provided that the company is notified as soon as he becomes aware of such act and he pays any additional premium resulting from the Company assuming any additional hazard

Fire – Section 1

10. **VEHICLE LOADS**

Loads on the Insured's vehicle are covered at the premises out of normal business hours

11. **WATCHMEN**

The Company will pay up to \$100 for cost necessarily incurred in protecting or attempting to protect any insured property following an insured event

MEMORANDA

(if stated in the Schedule to apply)

1. **EXCESS CLAUSE**

The Company shall not be liable for the amount of any excess stated in the Schedule

2. **DECLARATIONS**

The premium for the insurance of stock is provisional in consideration of which the Insured agrees to declare the value of the stock on the last day of each month. If no declaration is received within 30 days of the end of a month or if a declaration exceeds the sum insured on stock the insured shall be deemed to have declared the sum insured.

Subject to the foregoing the provisional premium will be adjusted on the expiry of each twelve consecutive months of insurance (calculated from the inception of this section) or the prior termination of this insurance by applying the rate of premium to the average sum insured on stock (which shall be the aggregate of the declarations divided by their number) and deducting the deposit premium paid.

The Insured shall pay or receive the difference limited in the event of a refund to the percentage shown in the following table.

The percentage provisional premium paid as a deposit (as stated in the Schedule)	100	80	75
Maximum percentage rebate premium allowable	50	37.5	33.3

3. **FIRE EXTINGUISHING APPLIANCES WARRANTY**

In consideration of a discount off the premium which is included in the premium this insurance the Insured warrants that all fire extinguishing appliances under his control are and will be kept in proper working order and serviced regularly.

4. **INFLATION/ESCALATION**

In consideration of the payment of an additional premium which is included in the premium for this section the sum(s) insured by the item(s) listed in the Schedule under this memorandum is/are increased (stated against the item concerned in the Schedule) as the number of days since the commencement of the current period of insurance bears to the whole of the current period of insurance and (unless provided to the contrary) such increase shall be applied to the sum(s) insured current at the commencement of the current period of insurance.

5. **REINSTATEMENT**

The basis upon which the amount payable is to be calculated following an insured event to buildings plant and machinery shall be the cost of replacing or reinstating on the same site property of the same kind or type but not superior to or more extensive than such insured property when new provided that

- (a) the work of replace or reinstatement (which may be carried out on another site and in any manner suitable to the requirements of the Insured) subject to the liability of the Company not being thereby increased must be commenced and carried out with reasonable despatch otherwise no payment if this memorandum had not been

incorporated in this section will be made

Fire – Section 1

- (b) the Company shall be liable for any payment beyond the amount that would have been payable if this memorandum had not been incorporated in this section until expenditure has been incurred by the insured in replacing or reinstating the lost or damaged insured property.
- © if at the time of replacement or reinstatement the sum representing the cost which would have been incurred in replacement or reinstatement if the whole of the insured property had been lost or damaged exceeds the sum insured thereon at the time of insured event then the insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss each item of insured property to which this memorandum applies shall be separately subject to this provision.
- (d) this memorandum shall not apply if the Insured fails to intimate to the Company within six months of the insured event (or such further time as the Company may allow in writing) his intention to replace or reinstate the lost or damaged insured property (ii) the Insured is unable or unwilling to replace or reinstate the lost or damaged insured property on the same or another site

6. RIOT AND STRIKE

Subject otherwise to general exception 1 insured event includes Riot and Strike damage which shall mean (subject to the special condition)

Loss of or damage to the property insured directly caused by

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a strike or lock-out or not) not being an occurrence mentioned in the special condition hereof
- (ii) the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequence of any such disturbance
- (iii) the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance o a lock-out
- (iv) the action of any lawfully constituted authority in preventing or attempting to prevent at such act or in minimizing consequence of any act.

INSURED EVENT

Loss of or damage to the insured property by an insured peril

Average

If on the commencement of the occurrence of an insured event the value of the insured property is collectively greater than the sum insured thereon the Insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss

SPECIAL EXCEPTIONS

The Company shall not be liable for loss or damage

- (a) under insured peril 4
 - (i) to hedges
 - (ii) to any insured property caused by or arising from
 - (aa) any process necessarily involving the use or application of water
 - (bb) wear and tear or gradual deterioration
 - (iii) to any property in any structure which is not completely roofed
- (b) by sonic shock waves under insured peril 5
- (c) by insured peril 8 caused or aggravated by
 - (i) alteration or repair to the building containing the installations or the appliances.
 - (ii) freezing of the installation or appliances if the building is unoccupied for more than 21 consecutive days
- (d) under insured peril 6 to money

INSURED EVENT

Accidental

- (a) death of or bodily injury (including illness) to any person not being a member of the Insured's family or household nor arising out of or in the course of his employment with the Insured.
- (b) loss of or physical damage to tangible property not belonging to nor under the control of the Insured or members of his family or household or his employees.
caused in or about the building during the period of insurance by the negligence of the Insured or of any principal director partner or employee of the Insured in respect of which the Insured becomes legally liable to pay damages.

INDEMNITY

The amount payable for any one event or series of events with one original cause or source inclusive of legal costs recoverable from the Insured by a claimant and all other costs and expenses incurred with the Company's consent shall not exceed the sum stated in the schedule.

BUILDINGS COMBINED – SECTION 2

Memo

In the event of the Company being required to indemnify more than one person under this subsection the limit of liability shall apply in aggregate to all persons being indemnified and in priority to the Insured or in the event of his death to his legal personal representative.

SPECIAL EXCEPTIONS

The Company shall not be liable for

- (a) an insured event caused by or arising from
 - (i) the Insured's trade profession or occupation (*other than as owner of the building*)
 - (ii) vibration or the removal or weakening of or interference with the support to any land structure building or other property
- (b) the ownership possession or use by or on behalf of the Insured of any locomotive rolling stock airborne craft watercraft mechanically assisted pedal cycle or mechanically propelled vehicle of any kind (*other than lawnmowers and pedestrian controlled garden implements*)
- (c) the demolition of or structural alterations to the building
- (d) liability assumed under agreement unless liability would have attached to the insured notwithstanding such agreement
- (e) seepage pollution or contamination or any costs in connection with the nullifying or cleaning up seeping pollution or contaminating substances unless the seepage pollution or contamination is caused by sudden unintended and unforeseen happening unconnected with any gradually operating cause
- (f) fines penalties punitive exemplary or vindictive damages
- (g) compensation for damages and costs and expenses of litigation recovered by any claimant from the Insured in respect of judgements delivered or obtained in the first instance otherwise than by a court or competent jurisdiction in Zimbabwe

DEFINITIONS

INSURED PERILS

1. Fire lightning thunderbolt and (*notwithstanding general exception 4 (a)*) subterranean Fire
2. Explosion
3. Earthquake (*notwithstanding general exception 4 (a)*) but excluding loss or damage to property in the underground workings of any mine
4. Storm wind water hail or snow

5. Impact by
- (i) aircraft and other aerial devices
 - (ii) animals and vehicles
 - (iii) falling trees
- or articles dropped therefrom

BUILDINGS COMBINED – SECTION 2

6. Theft or any attempt thereat accompanied by forcible and violent entry into or exit from the building
7. Malicious damage (*as defined*)
8. Discharge or leakage of sprinkler or drencher installations or other fire extinguishing installations or appliances

In respect of this insured peril only the words "civil commotion assuming the proportions of or amounting to a popular rising are deleted from general exception 1(b) and loss or damage by earthquake is insured

If the liability of the Company under this additional peril is stated to be less than the sum insured for an item of insured property the "average" condition is replaced by

Average

If on the commencement of the occurrence of an insured event the value of the insured property is collectively greater than the sum insured thereon for fire the Company shall only be liable for such proportion of the sum insured for this additional peril as the sum insured for fire bears to the total value of the insured property and the Insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss.

Each item insured shall be separately subject to this condition

9. Accidental damage (for which the Insured is legally liable) to public supply connections between the insured property and the public supply mains
10. Accidental Damage to fixed internal glass and sanitary ware
11. Accidental Damage to swimming pool or sauna pool plant and machinery but excluding loss or damage which occurs gradually over a period of time

INSURED PROPERTY

1. The building constructed of brick stone or concrete and roofed with slate tile metal concrete or asbestos driveways tennis courts swimming and sauna pools including plant and machinery pertaining to and associated therewith including landlord's fixtures and fittings therein or thereon boundary and other walls (boundary and other walls include gates posts and fences but specifically excludes retaining walls and dam walls)
2. The contents described in the schedule and all other contents which shall include
 - (a) documents manuscripts and business books plans and designs
 - (b) computer system records
 - (c) patterns models and moulds but in respect of (b) and (d) the cover is limited to the value of the materials and the cost of labour for recreating and excludes and expenses in connection with the production of any information contained therein and the value of such information to the Insured

BUILDINGS COMBINED – SECTION 2

- (d) personal effects (*including pedal cycles and tools*) of principals directors members partners or employees (*not otherwise insured*) up to \$50 per individual and \$50 in all while in the building

All the property of the Insured or in respect of item 2 held by him in trust or on commission for which he is responsible

MALICIOUS DAMAGE

Loss or damage directly occasioned by or through or in consequence of the deliberate or willful or wanton act of any person committed with the intention of causing such loss or damage but excluding loss or damage caused by or arising from theft or any attempt thereat

Special exceptions

The Company shall not be liable for

- (a) consequential or indirect loss or damage of any kind or description whatsoever other than loss of rent if specifically insured
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (c) loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority

- (d) loss or damage related to or caused by any occurrence referred to in general exception 1 (i) (ii) (iii) (iv) (v) or (vi) or the act of any lawfully established authority in controlling preventing suppressing or in any other way dealing with any such occurrence

If the Company alleges that by reason of (a) (b) (c) or (d) loss or damage is not covered by this section the burden of proving the contrary shall rest on the Insured

MONEY

Current coin (excluding gold coins) bank and currency notes travelers and other cheques money and postal orders unused postage revenue and holiday pay stamps credit card slips travel tickets bonds certificates documents or instruments of a negotiable nature the property of the Insured or for which he is responsible

1. ADDITIONAL COSTS

The sum insured is deemed to include

- (a) any costs incurred due to the necessity to comply with building or other regulations of any public authority in repair or reinstatement following an insured event under sub-section A provided that such costs do not include
 - (i) anything for which notice had been served on the Insured prior to the insured event
 - (ii) anything connected with undamaged property or undamaged portions or property
- (ii) rates taxes duties development and other charges payable under the said regulations due to capital appreciation of the insured property

BUILDINGS COMBINED – SECTION 2

- (b) fees for the examination of municipal or other plans
- (c) (i) costs incurred in the necessary erection and maintenance of hoardings during demolition and rebuilding
 - (ii) costs incurred in the necessary demolition and removal of debris resulting from an insured event (including undamaged contents) from the site of the insured property destroyed or damaged and the area immediately adjacent to such site but excluding costs and expenses arising from pollution or contamination of property not insured by this policy
- (d) the professional fees of architects quantity surveyors and other consultants
- (e) up to \$50 in respect of removal costs of fallen trees or parts thereof (whether causing damage or not)

referred to under Insured Peril 5 (iii) but the Company shall not be liable under (a) (b) or (d) above unless the lost or damaged property is replaced or reinstated without undue delay nor under (d) for any expenses in connection with the preparation of the Insured's claim

2. **ALTERATIONS**

This section shall not be prejudiced by any alteration or misdescription of occupancy due to structural alteration or repair to the building defined in item 1 of the insured property provided the Company is notified as soon as practicable after the event and the Insured pays any additional premium required

3. **CAPITAL ADDITIONS**

Alterations additions and improvements to the building plant and machinery within the definition of insured property (but not appreciation in value in excess of the sum insured) are held covered up to fifteen percent of the sum insured provided the Insured notifies the Company of such work at the end of each quarter and pays any additional premium required.

4. **FIRE BRIGADE CHARGES**

In addition to any amount paid as a result of the insured event the Company will pay any charges levied by an authorized fire brigade for their services

5. **MORTGAGES**

From the date of notification the Company accepts the interest of a mortgagee and others with an insurable interest in the insured property and will not prejudice such interest due to the act or omission of the mortgagor without the mortgagee's knowledge provided the mortgagee notifies the Company as soon as such act or omission comes to his knowledge and agrees to be responsible for any additional premium required as a result of the Company accepting any increased hazard.

6. **RAILWAY SUBROGATION**

The signing by the Insured of any indemnity or agreement required by the National Railways of Zimbabwe for the carriage of goods shall not invalidate the insurance by this section

7. **RENT**

In the event of item 1 of the insured property being rendered untenable by an insured peril the Company will (notwithstanding general exception 4) pay the rent receivable or the rental value but only for the period necessary for repair or reinstatement and limited to a maximum of twenty five percent of the sum insured plus any additional sum stated in the schedule

8. **TEMPORARY REMOVALS**

The insured property is held covered while temporarily removed from or within the premises for alteration cleaning repair renovation or similar process within territorial limits provided the Company's liability

BUILDINGS COMBINED – SECTION 2

- (i) is limited to fifteen percent of the sum insured for the property concerned
- (ii) does not extend to motor vehicles or motor chassis
- (iii) does not cover property held in trust other than plant and machinery
- (iv) is not increased beyond that to which it would have been exposed at the premises or the part thereof from which the insured property is temporarily removed
- (v) for property in transit is restricted to transit by road rail or inland waterway and the property is not otherwise insured

9. **TENANTS**

The Insured shall not be prejudiced by the act of any tenant in any building defined in item 1 of the insured property provided the Company is notified as soon as he becomes aware of such act and pays any additional premium required as a result of the Company accepting any increased hazard

10. **WATCHMEN**

The Company will pay up to **an amount stated in the schedule** for costs actually and necessarily incurred in employing watchmen to protect or attempt to protect any insured property following an insured event

1. **FIRE EXTINGUISHING APPLIANCES WARRANTY**

In consideration of a discount off the premium which is included in the premium for his insurance the Insured warrants that all fire extinguishing appliances under his control are and will be kept in proper working order and serviced regularly

2. **PROTECTION AND ALARM WARRANTY**

It is a condition precedent to liability and warranted that in any premises in which an alarm is installed or is required to be installed

- (a) alarm shall be put into full and proper operation whenever the premises are closed for business unless a principal partner director or employee of the Insured is on the premises
- (b) the alarm be maintained under contract by the supplier or by competent alarm servicing engineers
- (c) this insurance excludes loss of or damage to the insured property following the use of a key to the alarm or any duplicate belonging to or held by the Insured or any principal partner director or employee of the Insured unless obtained by threat or violence

3. **REINSTATEMENT**

The basis upon which the amount payable is to be calculated following an insured event under sub-section A to item 1 of the insured property shall be the cost of replacing or reinstating on the same site property of the same kind or type but not superior to or more extensive than the insured property when new provided that

- (a) the work of replacement or reinstatement (*which may be carried out on another site and in any manner suitable to the requirements of the Insured subject to the liability of the Company not being thereby increased*) must be commenced and carried out with reasonable dispatch otherwise no payment beyond the amount that would have been payable if this memorandum had been incorporated in this section shall be made.

- (b) the Company shall not be liable for any payment beyond the amount that would have been payable if this memorandum had not been incorporated in this section until expenditure has been incurred by the Insured in replacing or reinstating the lost or damaged insured property
- (c) if at the time of replacement or reinstatement the sum representing the cost which have been incurred in replacement or reinstatement if the whole of item 1 of insured property had been lost or damaged exceeds the sum insured thereon at the time of the insured

BUILDINGS COMBINED – SECTION 2

- (d) event then the Insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss each item of insured property to which this memorandum applies shall be separately subject to this provision
- (d) this memorandum shall not apply if:-
 - (i) the insured fails to intimate to the Company within 6 months of the insured event (or such further time as the Company may allow in writing) his intention to replace or reinstate the lost or damaged insured property
 - (ii) the Insured is unable or unwilling to replace or reinstate the lost or damaged insured property on the same or another site

4. RIOT AND STRIKE

Subject otherwise to general exception 1 insured event includes
Riot and strike damage which shall mean (subject to the special condition)

Loss of or damage to the property insured directly caused by

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a strike or lock-out or not) not being an occurrence mentioned in the special condition hereof
- (ii) the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequences of any such disturbance
- (iii) the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out
- (iv) the action of any lawfully constituted authority in preventing or attempting to prevent any such act or in minimizing consequences of any such act

SPECIAL CONDITION

For the purpose of this memoranda this insurance does not cover

- (a) loss of earnings loss by delay loss of market or other consequential or indirect loss or

MEMORANDA

- (b) damage of any kind or description whatsoever
- (c) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (d) loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority
- (e) loss or damage occasioned by permanent or temporary dispossession of any building resulting from the unlawful occupation by any person of such building

Provided nevertheless that the Company is not relieved under (c) or (d) above of any liability to the Insured in respect of physical damage to the property insured occurring before dispossession or during temporary dispossession

In any action suit or other proceeding where the Company alleges that by reason of the provisions of this memoranda any loss or damage is not covered by this insurance the burden of proving that such loss or damage is covered shall be upon the Insured

BUILDINGS COMBINED – SECTION 2

5. SUBSIDENCE OR LANDSLIP

Notwithstanding general exception 4(a) insured event includes loss or damage to the Insured property due to subsidence or landslip provided the Company shall not be liable for

- (i) loss or damage to drains water courses boundary garden dam or retaining walls gates posts or fences
- (ii) loss or damage due to faulty design or construction or the removal or weakening of support to any building defined in item 1 of insured property
- (iii) loss or damage caused by workmen engaging in making structural alterations additions or repairs to the building defined in item 1 of Insured property
- (iv) loss or damage due to excavations or under land except in the course of mining operations
- (v) the first portion of any loss or damage calculated on the basis of the greater of one percent of the sum insured on the insured property lost or damaged any amount which may be specified in the schedule

In any action or other proceedings where the Company alleges that by reason of these provisions loss or damage is not covered by this memorandum the burden of proving the contrary shall rest on the Insured

Each item insured shall be separately subject to this condition

Insured Event

If in consequence of damage (as defined) the business is interrupted or interfered with the Company will indemnify (notwithstanding general exception 3) the Insured in terms of this Section.

Indemnity

1. Gross Profit

The amount payable is limited to loss of gross profit due to

(a) reduction in Turnover

Being the sum produced by applying the rate of gross of profit to the amount by which the turnover during the indemnity period shall in consequence of the damage fall short of the standard turnover.

(b) increase in cost of working

Being the additional expenditure (subject to the provisions of special condition 1) necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the reduction in turnover which but for that expenditure would have taken place during the indemnity period in consequence of the damage but not exceeding the sum produced by applying the rate of gross profit to the amount of the reduction thereby avoided.

Less any sum saved during the indemnity period in respect of such of the charges or expenses of the business payable out of gross profit as may cease or be reduced in consequence of the damage

Provided that if the sum insured by this item be less than the sum produced by applying the rate of gross profit to the annual turnover (or to a proportionately increased multiple thereof where the indemnity period exceeds twelve months) the amount payable shall be proportionately reduced.

2. Wages

(if stated in the schedule to apply)

1 – Dual Basis

The amount payable is limited to loss in respect of wages due to

(a) reduction in turnover

(i) being during the initial period

The sum produced by applying the rate of wages to the shortage in turnover during such period

less any saving during such period through reduction in consequence of the damage in the amount of wages paid.

(ii) during the remaining portion of the indemnity period the sum of produced by applying the rate of wages to the shortage in turnover during such period.

less any saving during such period through reduction in consequence of the damage in the amount of wages paid.
but not exceeding

the sum produced by applying the remainder percentage of the rate of wages to the shortage in turnover during the
said remaining portion of the indemnity period Increased by such amount as a deducted for savings under the terms of clause (i)

NOTE: At the option of the Insured the alternative period may be substituted for the initial period provided that the amount arrived at under the provisions of clause (a) (ii) shall not exceed such amount as is deducted under clause (a) (i) for savings effected during the alternative period.

Business Interruption – Section 3

(b) increase in cost of working

Being so much of the additional expenditure described in clause (b) of the relative gross profit item as exceeds the amount payable there under

but not more than the additional amount which would have been payable in respect of reduction in turnover under the provisions of clauses (a) (i) and (ii) of this item had such expenditure not been incurred.

Provided that if the sum insured by this item be less than the sum produced by applying the rate of wages to the annual turnover (or to a proportionately increased multiple therefore where the Indemnity period exceeds twelve months) the amount payable under this item shall be proportionately reduced

B – Pro rata weekly basis

the amount payable during the initial period
actual amount which the Insured shall pay as wages to employees whose services cannot in consequence of the damage be utilized by the Insured at all and an equitable part of the wages paid to employees whose services cannot in consequence of the damage be utilized by the Insured to the full

Provided that if the sum insured by this item is less than the aggregate amount of the wages that would have been paid during the number of weeks specified in the schedule immediately following the damage had the damage not occurred the amount payable shall be proportionately reduced.

3 Additional Increase in Cost of Working (if stated in the Schedule to apply)

The Insurance under this item is limited to such further additional expenditure beyond that recoverable under item (b) of 1 – gross profit – and item (b) of 2 wages (if insured) as the Insured shall necessarily and reasonably incur during the indemnity period in consequence of the damage for the purpose of avoiding or diminishing the reduction in turnover.

Definitions

Damage

Damage shall mean loss or damage to any building or other property or any part thereof used by the Insured at the premises for the purpose of the business by any peril insured by this section provided that at the time of the happening of the damage there shall be in force an insured covering such property against such damage and the Insurers shall have made payment or admitted liability under such insurance

For the purposes of this section an insured peril shall have the same definition as in the insurance covering the damage

Indemnity Period

The period commencing with the occurrence of the damage and ending not later than the number of months thereafter stated in the schedule during which the results of the business shall be affected in consequence of the damage.

Turnover

The money paid or payable to the Insured for goods sold and delivered and for services rendered in course of the business at the premises

Business Interruption – Section 3

Gross Profit

The amount by which

- (a) the sum of turnover closing stock and working in progress exceeds
- (b) the sum of opening stock and the specified working expenses (stated in the Schedule)

Memo

The amount of opening and closing stock and work in progress shall be arrived at in accordance with the Insured's normal accounting methods due provision being made for depreciation.

Rate of Gross Profit

The rate of gross profit earned on the turnover) to which such adjustments shall be made as Financial year immediately before the date of) may be necessary to provide for the trend of Damage) the business and for variations in or other

Rate of Wages

The rate of wages to turnover during the) circumstances affecting the business either) the business either before or after the damage financial year immediately before the date) or which would have affected the business of the damage) had the damage not occurred so that the

Annual Turnover

The turnover during the twelve months) figures thus adjusted shall represent as nearly) as may be reasonably practicable the results Immediately before the date of the damage) which but for the damage would have been

Standard Turnover

The turnover during that period in the twelve) damage Months immediately before the date of the) obtained during the relative period after the Damage which corresponds with the indemnity)

Period

Alternative Trading Clause

If during the indemnity period goods shall be sold or services shall be rendered elsewhere than at the premises for the benefit of the business either by the Insured or by others on his behalf the money paid or payable in respect of such sales or services shall be brought into account in arriving at the turnover during the indemnity period.

When item 2 – wages – is stated to apply the following definitions are included

Wages

The total remuneration (including all allied payments) of all employees other than those whose remuneration is treated as salaries in the Insured's book.

Initial Period

The portion of the indemnity period beginning with the occurrence of the damage and ending not later than the number of weeks thereafter stated in the Schedule

Remainder Percentage

The percentage stated in the schedule.

Alternative Period

The portion of the indemnity period beginning with the occurrence of the damage ending not later than the number of weeks thereafter stated in the Schedule.

Clauses

1. Accumulated Stock

In adjusting a loss an equitable allowance shall be made if any shortage in turnover due to damage is postponed by reason of the turnover being temporarily maintained from accumulated stock

Business Interruption – Section 3

2. Auditors

The insured's auditors may certify from the Insured's books of account or other business books any detail required by the Company and their certificate shall be prima facie evidence of such detail.

3. Departments/Branches

If the business be conducted in departments/Branches the Independent trading results of which are ascertainable the provisions of items (a) and (b) of 1 – gross profit – and items (a) and (b) of 2 – wages (if insured) shall apply separately to each department/branch affected by the damage except that if the sum insured by the said item be less than the aggregate of the sums produced by applying the rate of gross profit/wages for each department/branch of the business (whether affected by the damage or not) to its relative annual turnover (or to a proportionately increased multiple thereof where the indemnity period exceeds twelve months) the amount payable shall proportionate reduced.

4. Deposit Premium

The premium for item (and item 2 if Insured) is provisional in consideration of which the

insured agrees to declare the actual gross profit (and wages) figures for the financial year most nearly concurrent with any twelve consecutive months of insurance (calculated from the inception of this policy)

If no declaration is received within six months of the expiry of the period concerned the Insured shall be deemed to have declared the sum(s) and further if a claim occurs any amount paid/payable shall be treated as actually earned

Subject to the foregoing the provisional premium for the period will be adjusted on the figure(s) declared by the Insured paying or receiving the difference up to the percentage shown in the following table.

The percentage provisional premium paid as a deposit (as stated in the schedule)	100	80	75
Maximum percentage Additional premium payable	Nil	25	33.3
Maximum percentage rebate premium allowable	50	37,5	33,3

5. Output Alternative

"Output" which is defined as "the sale or transfer value of good manufactured or processed by the Insured in course of the business at the premises" may be substituted at the Insured's option for the word "turnover" wherever it appears (other than in the definition of gross profit) provided that:-

- a) only one such meaning shall be operative following an damage
- b) if "output" is adopted the accumulated stock clause is deemed to be cancelled

Business Interruption – Section 3

Special Conditions

1. Uninsured Standing Charges

If any standing charges of the business are not insured by this policy (*having been deducted in arriving at the gross profit as defined herein*) then in computing the amount recoverable as increase in cost of working that proportion only of any additional expenditure shall be brought into account which the gross profit bears to the sum of the gross profit and the uninsured standing charges.

2. Termination of Cover

This section shall cease (unless the Company has given its prior written consent) if the business is wound up or carried on by a liquidator or judicial manager or is permanently discontinued.

MEMORANDA (if stated in the schedule to apply)

1. Excess

The Company shall not be liable for the amount of any excess/during the period of any time excess stated in the Schedule. In the event of a time excess the definition of indemnity period is replaced by

"The period commencing with the expiration of the time excess following the occurrence of the damage and ending not later than the number of months thereafter stated in the Schedule during which the results of the business shall be affected in consequence of the insured event"

2. Extensions to other premises

Loss as insured by this section resulting from interruption of or interference with the business in consequence of damage at the situation stated in the Schedule or to property as under noted shall be deemed to be loss from damage to property used by the insured at the premises.

a) Contract Sites

The situation(s) listed in the Schedule where the Insured is carrying out a contract for an amount exceeding the percentage of the sum insured by item(s) stated in the schedule

This extension does not apply to any situation(s) occupied by the Insured

b) Customers

The premises of the insured's customers listed in the schedule for an amount not exceeding the percentage of the sum insured Item(s) stated in the Schedule.

c) Documents

Documents belonging to or held in trust by the Insured while at premises not occupied by the Insured or while in transit for an amount not exceeding that stated in the Schedule

d) Patterns and Similar Items

Patterns jigs models templates moulds dies tools plans drawing and designs the property of the Insured or held by them in trust or on commission for which they are responsible while at the premises of any machine maker engineer founder or other metal worker within the territorial limits of an amount not exceeding the percentage of sum insured by item(s) stated in the Schedule

This extension does not apply while such property is in transit nor while it is in any premises wholly or partially occupied by the Insured

Business Interruption – Section 3

e) Prevention of Access

Property within five kilometers radius of the Insured's premises destruction or damage to which shall prevent or hinder the use of the premises or access thereto whether the premises or property of the insured therein shall be damaged or not.

f) Roads Bridges and Railway Lines

Roads bridges and railway lines over which stocks are conveyed between suppliers' premises and the Insured's premises and between the Insured's premises and customers' premises for an amount not exceeding the percentage of the sum insured by item(s) stated in the Schedule.

g) Specified Suppliers

The premises of the suppliers listed in the schedule for an amount not exceeding the percentage of the sum insured by item(s) stated in the Schedule.

h) Storage Sites

The premises listed in the schedule where property of the Insured is stored for an amount not exceeding the percentage of the sum insured by item(s) stated in the schedule.

This extension does not apply to any premises occupied by the Insured.

i) Transit and vehicles

Property of the Insured while in transit by air road rail or inland waterway and vehicles owned or operated by the Insured elsewhere than at premises occupied by the Insured for an amount not exceeding the percentage of the sum insured by item(s) stated in the schedule

j) Unspecified Suppliers

The premises of any of the Insured's suppliers manufacturers or processors of components goods or materials but excluding the premises of any public supply undertaking from which the Insured obtains electricity gas or water for an amount not exceeding the percentage of the sum insured by item(s) stated in the Schedule.

k) Vehicle Manufacturers

The premises of the manufacturers listed in the Schedule (and any of the manufacturers supplying them with components or materials) for an amount not exceeding the percentage of the sum insured item(s) stated in the Schedule

l) Additional Premises

In the event of the Insured occupying or having property at any newly added premises for the purpose of the business during the currency of this section such newly added premises shall be deemed to be included in those specified subject to notification to the Company as soon as reasonably practicable and to adjustment of the premium if necessary.

If any of the foregoing are stated to be situate outside territorial limits such limits are hereby varied to include such premises/property

3. MURDER SUICIDE ILLNESS OR DISEASE EXTENSION

In consideration of the payment of an additional premium which is included in the premium

for this insurance damage is deemed to include loss following the interruption of or the interference with the business as a result of

Business Interruption – Section 3

- | | | |
|---|----|---|
| a) murder or suicide |) |) at the Insured's premises |
| b) food or drink poisoning |) |) |
| c) vermin pests or defective sanitary arrangements at the Insured's premises |) |) provided that the municipal regional local or government authority responsible for the area has declared a notifiable medical condition or communicable diseases to exist within the area and/or has imposed quarantine regulations and/or has acted to restrict access to the area in terms of any local municipal regional or national law by-law regulation pertaining to public health and safety |
| d) contagious or infectious disease at the Insured's premises |) |) |
| e) contagious or infectious disease within a fifty kilometer radius of the Insured's premises | a) |) |

For the purposes of this extension

- (i) 'indemnity period' shall mean the period commencing with the occurrence of (a) or (b) above or for (c) (d) and (e) the date on which restrictions on the premises were applied and ending not later than three months thereafter
- (ii) 'Insured's premises' shall mean those locations listed in the schedule as the Insured's premises and shall not include the premises of supplier's customer's contractors (sub contractors) notwithstanding that this insurance may otherwise be extended to include such premises
- (iii) the Company's liability for any one incident during any twelve consecutive months of Insurance (calculated from the inception of this policy) is limited to the amount stated in the schedule.

The cover granted by this extension does not include any costs arising from cleaning, repair, recall or checking the insured's premises.

4. Public Utilities

- (a) If the basis of this extension is stated in the Schedule to be insured perils the following memorandum applies in respect of those public utilities listed in the Schedule

Loss as insured by this section resulting from interruption of or interference with the business in consequence of damage to property at electricity generating stations sub-stations or transmission networks gasworks including the related gas distribution network and any land based natural gas production facility water purification plants pumping stations aqueducts and pipelines of an authority empowered by law to supply electricity gas or water for consumption by the public shall be deemed to be loss resulting from damage to property used by the Insured at the premises

or

- (b) If the basis of this extension is stated in the schedule to be accidental failure of supply the following memorandum applies in a respect of those public utilities listed in the schedule. The accidental failure of the public supplies of electricity gas or water which persists for at least thirty consecutive minutes at (in respect of electricity) the terminal ends of the public supply undertaking's services feeders or (in respect of gas) the gas supply undertaking's meters or (in respect of water) the water supply undertaking's main stop-cock at the Insured's premises and which is not due to

Business Interruption – Section 3

- (i) the deliberate act of any supply authority or of such authority exercising its power to withhold or restrict supply
- (ii) drought
- (iii) pollution of water
- (iv) shortage of fuel or water

Shall be deemed to be loss resulting from damage to property used by the Insured at the PremisesAccidental physical loss of or physical damage to the insured property at the premises by any cause not excluded by this section or otherwise insured or for which insurance is available (whether incorporated in this policy or not)

INDEMNITY

The amount payable shall not exceed the sum stated in the schedule for any one event or series of events with on original cause or source

And

notwithstanding general condition 5(b) this section shall not be called into contribution for any insured event for which more specific insurance has been arranged

SPECIAL EXCEPTIONS

The Company shall not be liable for: -

- (a) The amount of any excess sated in the schedule after the application of any "average" memorandum

- (b) Any peril excluded or circumstance precluded from any other insurance available from the Company at the inception of this section nor for any deductible excess or first amount payable by the insured under such insurance nor for any reduction in the amount payable for a claim due to the application of any average condition or memorandum
- (c) More than the individual value of any item forming part of a pair set or collection without regard to any special value such item may have as part of such pair set or collection
- (d) Detention confiscation attachment destruction or requisition by any lawfully constituted authority or judicial process
- (e) Unexplained disappearance or shortage only revealed during or after an inventory or errors or omissions in receipts payments or accounting or misfiling or misplacing of information
- (f) Loss of or damage to insured property caused by
 - (i) any fraudulent scheme trick device or false pretence practiced on the insured (or any person having custody of the insured property or fraud or the dishonesty or any principal partner director employee or agent of the Insured
 - (ii) Overheating explosion implosion fracturing weld failure nipple leakage or other failure in vessels pipes tubes or apparatus or molten metal.
 - (iii) Breakdown electrical and/or mechanical derangement
 - (iv) Altering bleaching cleaning dyeing manufacture repair restoring servicing renovating testing or any other work thereon

Accidental Damage – Section 4

- (v) faulty or defective design formula specification drawing plan materials
Workmanship or professional advice normal maintenance gradual deterioration depreciation corrosion rust oxidation or other chemical action or reaction frost change in temperature or humidity fermentation or germination dampness dryness wet or dry not shrinkage evaporation loss or weight contamination pollution change in colour flavour texture finish or its own wear and tear
- (vi) denting chipping scratching or cracking not affecting the operation of the item
- (vii) termites moths insects vermin inherent vice fumes flaws latent defect fluctuations in atmospheric or climatic conditions or the action of light
- (g) settlement or bedding down ground heave collapse or cracking of structures or the removal or weakening of support to any insured property
- (h) discharge or leakage of liquid or gas including loss of such property from the pipes apparatus or receptacle in which it is contained
- (i) failure of and/or the deliberate withholding by the supply authority of supplies of water steam gas electricity fuel or refrigerant.
- (j) Collapse of plant and machinery

DEFINITION

INSURED PROPERTY

Any tangible property belonging to the Insured or held in trust or on commission for which he is responsible but excluding

- (a) current coin (including gold coins) bank and currency notes travelers and other cheques money and postal orders current unused postage revenue and holiday pay stamps credit card slips documents or instruments of a negotiable nature
- (b) furs jewellery bullion precious and semi-precious metals and stones curiosities rare books and works of art
- (c) property in transit by air inland waterway or sea
- (d) railway locomotives rolling stock and other railway property aircraft watercraft mechanically or electrically propelled vehicles motor cycles mobile plant caravans and trailers
- (e) standing or felled trees crops animals land (including topsoil backfill drainage and culverts) driveways pavements road runways dams reservoirs canals pipelines external to the premises tunnels cables cableways external to the premises bridges dock jetties wharves piers excavations property below the ground or explosives
- (f) electronic data processing equipment and external data media (punch cards tape discs and the like) and the information they contain

Accidental Damage – Section 4

- (g) property in the course of construction erection or dismantling including materials or supplies related thereto
 - (h) property in the possession of clients under lease rental credit or suspensive sale agreements
 - (i) glass china earthenware marble and other fragile or brittle objects
- unless stated in the Schedule to be insured

CLAUSES

1. Additional Costs

The sum insured in respect of buildings plant and machinery insured includes

- (a) any cost incurred due to the necessity to comply with building or other regulations of any public authority in repair or reinstatement following an insured event provided that such

costs do not include

- (i) anything for which notice has been served on the Insured prior to the insured event
 - (ii) anything connected with undamaged property or undamaged portions or property
 - (iii) rates taxes duties development and other charges payable under the said regulations due to capital appreciation of the insured property
- (b) fees for the examination of municipal or other plans
- (c) (i) costs incurred in the necessary erection and maintenance of hoardings during demolition and rebuilding
- (ii) costs incurred in the necessary demolition and removal of debris resulting from an insured event (including undamaged contents) from the site of the insured property destroyed or damaged and the area immediately adjacent to such site but excluding costs and expenses arising from pollution or contamination of property not insured by this policy
- (d) the professional fees of architects quantity surveyors and other consultants

but the Company shall not be liable under (a) (b) or(d) unless the lost or damaged property is replaced or reinstated without undue delay nor under (d) for any expenses in connection with the preparation of the Insured's claim

2. **FIRE BRIGADE CHARGES**

In addition to any amount paid as a result of the insured event the Company will pay any Charges levied by an authorized fire brigade for their services

3. **MORTGAGEES**

From the date of notification the Company accepts the interest of a mortgagee or others with

Accidental Damage – Section 4

an Insurable interest in the insured property and will not prejudice such interest due to the act or omission of the mortgagor without the mortgages' knowledge provided that the mortgagee advises the Company as soon as such act or omission comes to his knowledge and agrees to be responsible for an additional premium resulting from the Company assuming any increased hazard.

4. **RAILWAY SUBROGATION**

The Insured shall not be prejudiced by signing the Zimbabwe National Railways sidings agreement or other special agreement or similar agreements with the Zimbabwe National Railways Administration regarding private sidings and delivery to premises or similar agreements with other government bodies

5. **RESTRICTED COVER**

The insurance in respect of documents manuscripts business books plans designs patterns models moulds computer system records is limited to the value of the materials and the costs of labour for recreating and excludes any expenses in connection with the production of any information contained therein or the value of such information to the Insured

6. TENANTS

The Insured shall not be prejudiced by the act of any tenant in premises he owns or in which He is a co-tenant nor of the owner of any premises of which is a tenant provided that the Company is notified as soon as he becomes aware of such act and he pays any additional premium resulting from the Company assuming any additional hazard

MEMORANDA

(if stated in the Schedule to apply)

1. AVERAGE

If on the commencement of the occurrence of an insured event the value of the Insured Property is collectively greater than the sum insured thereon the Insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss

Each item insured shall be separately subject to this memorandum

2. DISCHARGE AND LEAKAGE

Notwithstanding special exception (h) this insurance includes damage caused by discharge or leakage and the loss of chemicals oils and fumes from tanks pipes or apparatus.

3. EXCLUDED PROPERTY

The property listed in the Schedule is added to the excluded property in the definition of Insured property

4. FIRST LOSS AVERAGE

If on the commencement of the occurrence of an insured event the total value of the insured property by each item does not exceed the sum stated in the Schedule then this insurance shall be declared free of average but if the total value of such property is greater than the

Accidental Damage – Section 4

aforementioned sum then the Insured shall be considered as being his own insurer for the difference and the Company shall be liable only for such proportion of the first loss sum insured as the aforementioned sums bears to the total value not exceeding in all the total sum insured by each item

5. PROTECTION AND ALARM WARRANTY

It is a condition precedent to liability and warranted that in any premises in which an alarm is installed or is required to be installed

(a) the alarm shall be put into full and proper operation whenever the premises are closed for business unless a principal partner director or employee of the Insured is on the

premises

- (b) the alarm be maintained under contract by the supplier or by competent alarm servicing engineers
- © this insurance excludes loss of or damage to the insured property following the use of a key to the alarm or any duplicate belonging to or held by the Insured or any principal partner director or employee of the insured unless obtained by threat or violence

6. **REINSTATEMENT**

The basis upon which the amount payable is to be calculated following an insured event shall be the cost of replacing or reinstating on the same site property of the same kind or type but not superior to or more extensive than the insured property when new provided that

- (a) the work of replacement or reinstatement (which may be carried out on another site and in any manner suitable to the requirements of the Insured subject to the liability of the Company not being thereby increased) must be commenced and carried out with reasonable dispatch otherwise no payment beyond the amount that would have been payable if this memorandum had not been incorporated in this section shall be made
- (b) the Company shall not be liable for any payment beyond the amount that would have been payable if this memorandum had not been incorporated in this Section until expenditure has been incurred by the Insured replacing or reinstating the lost or damaged insured property
- © if at the time of replacement or reinstatement the sum representing the cost which would have been incurred in replacement or reinstatement if the whole of the insured property had been lost or damaged exceeds the sum insured thereon at the time of insured event then the insured shall be considered his own insurer for the excess and shall bear a rateable proportion of loss each item of insured property to which this memorandum applies shall be separately subject to this provision
- (e) this memorandum shall not apply if
 - (i) the Insured fails to intimate to the Company within 6 months of the insured event (or such further time as the Company may allow in writing) his intention to replace or reinstate the lost or damaged insured property

Accidental Damage – Section 4

- (ii) the Insured is unable or unwilling to replace or reinstate the lost or damaged insured property on the same or another site

7. **RIOT AND STRIKE**

Subject otherwise to general exception 1 insured event includes

Riot and Strike damage which shall mean (subject to the special condition)

Loss of or damage to the property insured directly caused by

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a strike or lock-out or not) not being an occurrence mentioned in the special condition hereof
- (ii) the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequences of any such disturbance
- (iii) the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out
- (ii) the action of any lawfully constituted authority in preventing or attempting to prevent any such act or in minimizing consequences of any such act.

SPECIAL CONDITION

For the purpose of this memoranda this insurance does not cover

- (a) loss of earnings loss by delay loss of market or other consequential or indirect loss or damage of any kind or description whatsoever.
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (c) Loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority
- (c) Lessor damage occasioned by permanent or temporary dispossession of any building resulting from the unlawful occupation by any person of such building

Provided nevertheless that the Company is not relieved under © or (d) above of any liability to the Insured in respect of physical damage to the property insured occurring before dispossession or during temporary dispossession

In any action suit or other proceeding where the Company alleges that by reason of the provisions of this memoranda any loss or damage is not covered by this insurance the burden of proving that such loss or damage is covered shall be upon the Insured

Electronic Equipment Insurance Policy- Section 5

Whereas the Insured named in the schedule hereto has made to the ZIMNAT LION INSURANCE COMPANY LIMITED.

(hereinafter called "the Insurers") a written proposal by completing a questionnaire which, together with any other statements made in writing by the Insured for the purpose of this Policy, is deemed to be incorporated herein.

Now this Policy of Insurance witnesses that, subject to the Insured having paid to the Insurers the premium mentioned in the Schedule and subject to the terms, exclusions, provisions and conditions contained herein or endorsed hereon, the Insurers will indemnify the Insured in the manner and to the extent hereinafter provided.

This policy applies whether the insured items are at work or at rest, or being dismantled for the purpose of cleaning, overhauling or of being shifted within the premises, or in the course of the aforesaid operations themselves, or during subsequent re-erection, but in any case only after successful commissioning.

General Exclusions

The Insurers shall not indemnify the Insured in respect of loss or damage directly or indirectly caused by, arising out of or aggravated by:

- a) war, invasion, act of foreign enemy, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, mutiny, riot, strike, lock-out, civil commotion, military or usurped power, a group of malicious persons or persons acting on behalf of or in connection with any political organization, conspiracy, confiscation, commandeering, requisition or destruction or damage by order of any government de jure or de facto or by any public authority.
- b) nuclear reaction, nuclear radiation or radioactive contamination;
- c) wilful act or wilful negligence of the Insured or his representatives.

In any action, suit or other proceeding where the Insurers allege that, by reason of the provisions of Exclusion (a) above, any loss, destruction or damage is not covered by this Policy, the burden of proving that such loss, destruction or damage is covered shall be upon the Insured.

General Conditions

1. The due observance and fulfillment of the terms of this Policy, in so far as they relate to anything to be done or complied with by the Insured and the truth of the statements and answers in the questionnaire and proposal made by the Insured shall be a condition precedent to any liability of the Insurers.
2. The schedule and the section(s) shall be deemed to be incorporated in and form part of this Policy and the expression "this Policy", wherever used in this contract, shall be read as including the Schedule and the section(s). Any word or expression to which a specific meaning has been attached in any part of this Policy, of the schedule or of the section(s) shall bear such meaning wherever it may appear.

3. The Insured shall at his own expense take all reasonable precautions and comply with all reasonable recommendations of the Insurers to prevent loss or damage and comply with statutory requirements and manufacturers recommendations.
- 4a. Representatives of the Insurers shall at any reasonable precautions comply with all reasonable time has the right to inspect and examine the risk and the Insured shall provide the representative of the Insurers with all details and information necessary for the assessment of the risk.
- b. The Insured shall immediately notify the Insurers by telegram and in writing of any material change in the risk and change in the risk and cause at his own expense such additional precautions to be taken as circumstances may require to ensure safe operation of the insured items and the scope of cover and/or premium shall. If necessary, be adjusted

Electronic Equipment Insurance Policy- Section 5

accordingly. No material alteration shall be made or admitted by the Insured whereby the risk is increased, unless the continuance of the cover provided under this Policy is confirmed in writing by the Insurers.

5. In the event of any occurrence which might give rise to a claim under this Policy, the Insured shall
 - a) immediately notify the Insurers by telephone or telegram as well as in writing giving an indication as to the nature and extent of the loss or damage:-
 - b) take all steps within his power to minimize the extent of the loss or damage
 - c) preserve the parts affected and make them available for inspection by representative or surveyor of the Insurers;
 - d) furnish all such information and documentary evidence as the Insurers may require;
 - e) inform the police authorities in the case
6. The Insurers shall on no account be liable for loss or damage of which no notice has been received by the Insurers within 14 days of its occurrence. Upon notification being given to the Insurers under this condition, the insured may carry out repairs of or make good any minor damage; in all other cases a representative of the Insurers shall have the opportunity of inspecting the loss or damage before any repairs or alterations are effected.
If a representative of the Insurers does not carry out the inspection within a period time of which could be considered adequate under the circumstances, the Insured shall be entitled to proceed with the repairs or replacement.

The Liability of the Insurers under this Policy in respect of any insured item shall cease if said Item is kept in operation after a claim without being repaired to the satisfaction of the Insurers, or if temporary repairs are carried out without the Insurers' consent.

7. If any difference arises as to the amount to be paid under this Policy (liability being otherwise admitted), such difference shall be referred to the decision of any arbitrator to be appointed in writing by the parties in difference or, if they cannot agree upon a single arbitrator, to the decision of two arbitrators, one to be appointed in writing by each of the parties within one calendar month after have been required in writing to by either of the parties, or, in case the arbitrators do not agree, of an umpire to be appointed in writing by the arbitrators before the latter enter upon the reference. The umpire shall sit

with the arbitrators and preside at their meetings. The making of an award shall be a condition precedent to any right of action against the Insurers.

- 8a) If the proposal or declaration of the Insured is untrue in any material respect, or if any claim made is fraudulent or substantially exaggerated, or if any false declaration or statement is made in support thereof, then this Policy shall be void and the Insurers shall not be liable to make any payment hereunder.
- b) In the event of the Insurers disclaiming liability in respect of any claim and if any three months after such disclaimer or (in the case of arbitration taking place in pursuance of Condition 7 of this Policy) within three months after the arbitrator or umpire have made their award, all benefit under this Policy in respect of such claim
- 9. If at the time any claim arises under this Policy there is any other insurance covering the same loss or damage, the Insurers shall not be liable to pay or contribute more than their rateable proportion of any claim for such loss or damage.

Electronic Equipment Insurance Policy- Section 5

- 10. This Policy may be terminated on the request of the Insured at any time, in which case the Insurers will retain the customary Short period rate of the time this Policy has been in force. This Policy may equally be terminated at the option of the Insurers by seven days' notice to that effect being given to the Insured, in which case the Insurers shall be liable to repay on demand a rateable proportion of the premium for the unexpired term from the date of cancellation less any reasonable inspection charges the Insurers may have incurred and less any long term discount on premium granted.
- 11. Under an insurance for a third party's account the Beneficiary shall be entitled to exercise, in this own name, the rights of the Insured. Without obtaining the Insured approval, the Beneficiary shall be entitled to exercise, in this own name, the rights of the Insured. Without obtained the Insured approval, the Beneficiary shall further have the right to receive any indemnity paid under this policy and to transfer the Insured's right even if the Beneficiary is not in possession of this Policy. Upon payment of any indemnity the Insurers may require evidence of the Beneficiary having given his consent to the Insurance and of the Insured having given his consent to the receipt of an indemnity by the Beneficiary.
- 12. The indemnity shall be payable one month after determination by the Insurers of the full amount due. Notwithstanding the above, the Insured may, one month after the Insurers have been duly notified of the loss and have acknowledged their liability, claim as an installment the minimum amount payable under the prevailing circumstances. The running of periods shall be suspended for the time during which the indemnity is unascertainable or not payable due to reasons within the Insured's control.

The Insurers shall be entitled to withhold indemnification

- a) if there are doubts regarding the Insured's rights to receive the indemnity' pending receipt by the Insurers of the necessary proof;
- b) if in connection with the claim an examination by the police or an inquiry under criminal law has been instituted against the Insured, pending completion of

Insured Event

Accidental loss of or damage to the Insured's books of account or other business books or records while at or in transit between the premises at the address stated in the schedule and the residence of any principal director or partner of the Insured or of any employee whose duties necessitate access to such books or records or the premises of or the residence of any principal director member partner or authorized employee of the Insured's professional advisors.

1. INDEMNITY

If as a direct result of an insured event the insured is unable to trace or establish the outstanding debit balances due the Company will pay the difference between such Balances and the total of the amounts paid or traced in respect thereof plus any Reasonable and necessary expenses in excess of normal collection charge incurred in tracing or establishing the balances due ***but limited in all to the sum insured***

Average

If the sum insured is less than the outstanding debit balances the amount payable shall be proportionately reduced.

2. INTEREST PAYABLE

The additional cost reasonably incurred by the Insured in the form of the ***interest only*** On a loan provided by a recognized banking institution for the sole purpose of avoiding or diminishing the reduction in income which but for the loan would have taken place as

a

result of an insured event beginning at the time of the occurrence of the loss or damage and ending not later than seven days after the date of final settlement of the Insured's claim in terms of 1 above

The liability of the Company under this item is limited to 10% of the sum insured by item 1 above

SPECIAL EXCEPTIONS

The Company shall not be liable for an insured event arising from

- (a) or contribute to by any dishonest fraudulent or criminal act of any principal director partner or employee of the Insured whether acting alone or in collusion with others
- (b) electrical or magnetic injury disturbance or erasure of electronic or magnetic recordings unless
 - i) directly due to lightning
 - ii) the Insured maintains the duplicate records referred to in the duplicate records memorandum in which case the Insured will be responsible for the first \$500 of each and every loss
- © alteration falsification manipulation concealment destruction or disposal of records of outstanding debit balances committed to conceal the wrongful giving taking obtaining or withholding.
- (d) bookkeeping accounting or invoicing errors or omissions
- (e) wear and tear gradual deterioration vermin or inherent vice

Or occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority

SPECIAL EXTENSIONS

MALICIOUS DAMAGE

ACCOUNTS RECEIVABLE- Section 6

Loss or damage directly occasioned by or through or in consequence of the deliberate or willful or wanton act of any person committed with the intention of causing such loss or damage but excluding loss or damage caused by or arising from theft or any attempt thereat

The Company shall not be liable for

- (a) consequential or indirect loss or damage of any kind or description whatsoever other than loss of rent if specifically insured
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (c) loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority
- (d) loss or damage related to or caused by any occurrence referred to in general exception 1(i)(ii)(iii)(iv)(v) or(vi) or the act of any lawfully established authority in controlling preventing suppressing or in any other way dealing with any such occurrence

If the Company alleges that by reason of (a)(b)(c)or(d) loss or damage ***is not covered by this section*** the burden of proving the contrary shall rest on the Insured

DEFINITION

OUTSTANDING DEBIT BALANCES

The last declaration made or required to be made in terms of the declaration condition adjusted for

- (a) bad debts
- (b) amount debited invoiced and credited to customer's accounts (including cash credit and debit notes not processed through the Insured's books at the time of the Insured event) in the period between the date of the declaration and the Insured event
- (c) any trading conditions which have or could have a material effect on the business so that the amount obtained reflects as nearly as practicable the amount that would have pertained on the date of the Insured event if it had not occurred.

CLAUSE

1. EARTHQUAKE

The word "earthquake" is deleted from general exception 4(a)

2. **ACCOUNTS CLAUSE**

Any particulars or details contained in the Insured' book of account or other business books or documents which may be required by the Company under this section for the purpose of Investigating or verifying any claim hereunder may be produced and certified by the Insured's auditors or professional accounts and their certificate shall be prima facie evidence of the particulars and details to which it relates.

ACCOUNTS RECEIVABLE- Section 6

MEMORANDA

(If stated in the Schedule to apply)

1. **DUPLICATE RECORDS**

Warranted the Insured shall maintain duplicates of their books of account or other business books or records containing details of outstanding debit balances and that such duplicates be stored in different premises from the originals

2. **PROTECTIONS WARRANTY**

Warranted the Insured's books of account or other business books or records containing details of outstanding debit balances be kept in a fire resistant safe cabinet or strong room outside normal business hours unless they are being worked on or are required for immediate reference

3. **RIOT AND STRIKE**

Subject otherwise to general exception 1 insured event includes

Riot and strike damage which shall mean ***(subject to the special condition)***

Loss of or damage to the property insured directly caused by

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a strike or lock-out or not) not being an occurrence mentioned in the special condition hereof
- (ii) the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequences of any such disturbance

- (iii) the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out
- (iv) the action of any lawfully constituted authority in preventing or attempting to prevent or attempting to prevent any such act or in minimising consequences of any such act.

SPECIAL CONDITION

For the purpose of this memoranda this insurance does not cover

- (a) loss of earnings loss by delay loss of market or other consequential or indirect loss or damage of any kind or description whatsoever
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (c) loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority
- (d) loss or damage occasioned by permanent or temporary dispossession of any building resulting from unlawful occupation by any person of such building

ACCOUNTS RECEIVABLE- Section 6

Provided nevertheless that the Company is not relieved under © or (d) above of any liability to the Insured occurring before dispossession or during temporary dispossession

In any action suit or other proceeding where the Company alleges that by reason of the provisions of this memoranda any loss or damage is not covered by this insurance ***the burden of proving that such loss or damage is covered shall be upon the Insured***

SPECIAL CONDITIONS

The Insured shall declare at the end of each month/quarter (***as stated in the schedule***) the total of outstanding debit balances for the month/quarter but if

- (a) no declaration is received within thirty days of the end of a month/quarter
- (b) a declaration exceeds the sum insured

the Insured shall be presumed to have declared the sum insured *and if the last declaration prior to any insured event is less than the amount which should have been declared the liability of the Company shall be reduced by the difference between such declaration and the lesser of the correct amount and the sum insured*

At the end of each twelve consecutive months of insurance (calculated from the inception of this policy) or the prior termination of this section the premium shall be adjusted by applying the rate of premium to the average sum insured which is the aggregate of the declarations divided by their number and if the premium thus obtained is greater or less than the premium charged the Insured shall pay or receive the difference *limited in the event of a refund to fifty percent of the premium charged.*

Accidental physical loss of or physical damage to the Insured property

Average

If on the occurrence of any insured event the value of any insured property which is no individually itemized is greater than the sum insured thereon the Insured shall considered his own insurer for the difference and shall bear the rateable proportion of the loss accordingly

Each item covering such property shall be separately and individually subject to this condition

SPECIAL EXCEPTIONS

The Company shall not be liable for:-

- (k) The amount of any excess stated in the schedule unless the insured event arises from fire lighting or explosion*
- (l) Loss or damage caused by or resulting from*
 - (i) wear and tear maintenance depreciation deterioration or other gradually operating clause
 - (ii) change in temperature or humidity the action of light or climatic or atmospheric conditions unless caused by storm wind water hail or snow
 - (iii) the process of cleaning dyeing bleaching altering repairing or restoring*
 - (iv) mechanical or electrical breakdown failure breakage or derangement*
 - (v) inherent vice or defect vermin insect termites mildew damp corrosion oxidation or rust*
 - (vi) confiscation detention requisition or nationalization whether by customs other authority*
 - (vii) theft from an unattended vehicle owned or operated by the Insured or any principal director partner or employee of the insured unless the vehicle is secured and unlocked at all points or access and entry is gained by forcible and violent means of which there is visible evidence or the vehicle is housed in a secured and locked building.*
 - (viii) theft from a vehicle owned or operated by the Insured or any principal director partner or employee of the Insured parked overnight unless such vehicle is housed in a secured and locked building of which there is visible evidence*
- (m)** Loss or damage arising from or contributed to by dishonesty of a principal director partner employee or agent of the insured
- (n)** Loss or damage to insured property consigned under a bill of lading
- (o)** Loss or damage to current coin (including gold coins) bank and currency notes travelers and other cheques money and postal orders unused current postage revenue and holiday

pay stamp credit card slips and other documents certificates or instruments of a negotiable nature or business books

BUSINESS ALL RISK- Section 7

SPECIAL EXTENSION **TERRITORIAL LIMITS**

Notwithstanding the territorial limits stated in general exception 4(b) the territorial limits for this section are worldwide

CLAUSES

1. **EARTHQUAKE**

The word "earthquake" is deleted from general exception 4(a)

2. **FIRE BRIGDE CHARGES**

in addition to any amount paid as a result of the insured event the Company will pay any charges levied by an authorized fire brigade for their services

3. **DISPOSAL OF SALVAGE**

The Company agrees not to sell or dispose of any property which is the subject of a claim without giving the Insured the option to repurchase it at the greater of its fair intrinsic and market value but this clause does not give the Insured licence to abandon property to the Company

DEFINITION

INSURED PROPERTY

Any property specified in the Schedule belonging to the Insured or held by him in trust or on commission for which he is responsible.

MEMORANDA

(If stated, in the schedule to apply)

1. **INCREASE IN COST OF WORKING**

The Company will pay reasonable and necessary cost up to the amount stated in the Schedule incurred for the purposes of maintaining the normal operations of the business following an insured event for which it admits liability

2. **PROTECTION AND ALARM WARRANTY**

It is a condition precedent to liability and warranted that in any premises in which an alarm is installed or is required to be installed

- (a) *the alarm shall be put into full and proper operation whenever the premises are closed for business unless a principal partner director or employee of the Insured is on the premises*

- (b) *the alarm be maintained under contract by the supplier or by competent alarm servicing engineers*
- (c) *this insurance excludes loss of or damage to the insured property following the use of a key to the alarm or any duplicate belonging to or held by the Insured or any principal partner director or employee of the Insured unless obtained by threat or violence*

3. **REINSTATEMENT VALUE**

The basis of claim settlement shall be either

- (a) the replacement of the insured property with similar property in a condition equal to but not better nor more extensive than its new condition

or

- (b) the repair of the insured property to a condition substantially the same but not better than its new condition

provided that if at the time of replacement or repair the sum representing the cost which would have been incurred in replacement if the whole of the insured property (for the item of insured property the subject of the claim) had been

BUSINESS ALL RISK- Section 7

lost destroyed or damaged beyond repair exceeds the sum insured thereon at the time of the insured event then the Insured shall be considered his own insurer for the difference and shall bear a rateable proportion of the loss accordingly

RIOT AND STRIKE

Subject otherwise to general exception 1 insured event

Includes Riot and strike damage which shall mean *(subject to the special condition)* Loss of or damage to the property insured directly caused by

- (i) *the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a strike or lock-out or not, not being an occurrence mentioned in the special condition hereof*
- (iii) *the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequences of any such disturbance*
- (iv) *the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out*
- (v) *the action of any unlawfully constituted authority in preventing or attempting to prevent any such act or in minimizing consequences of any such act.*

SPECIAL CONDITION

For the purpose of this memoranda this insurance does not cover

- (d) *loss of earnings loss by delay loss of market or other consequential or indirect loss or damage of any kind or description whatsoever.*
- (e) *Loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation or 1-1 process or operation*
- (f) *Loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority*

- (g) Lessor damage occasioned by permanent or temporary dispossession of any building resulting from the unlawful occupation by any person of such building

Provided nevertheless that the Company is no relieved under © or (d) above of any liability to the Insured in respect of physical damage to the property insured occurring before dispossession or during temporary dispossession

In any action suit or other proceeding where the Company alleges that by reason of the provisions of this memorandum any loss or damage is not covered by this insurance the burden of proving that such loss or damage is covered shall be upon the Insured

Loss of or damage to the Insured property and damage for which (*the Insured is responsible*) to the Insured premises by theft or any attempt thereat following:-

- a) forcible and violent entry into or exit from the insured premises (exit includes forcible and violent exit by a thief concealed on the insured premises before the close of business
- b) assault violence or threat of violence to any person.

INDEMNITY

The limit of the Company's liability shall not exceed in respect of

- (a) loss of or damage to the Insured property the sum stated in the schedule
- (b) damage to the insured premises the sum not exceeding \$5 000 necessarily and reasonably expended in making good the damage

SPECIAL EXCEPTIONS

The Company shall not be liable to any loss or damage

- (a) if any of the Insured's household or any principal director partner or employee of the insured is concerned as principal or accessory
- (b) insurable under a fire insurance policy unless such loss or damage is caused by explosion in an attempt to effect entry into the insured premises
- (c) to sheet plate or laminated glass

SPECIAL EXTENSIONS

ADDITIONAL PREMISES

Additional premises used by the Insured are insured provided that

- (a) the Company is advised within 30 days from the date on which it is first exposed to risk
- (b) the additional premium required is paid
- (c) the limit of the Company's liability under this extension is 50% of the sum insured stated in the schedule or where there is more than one sum insured 50% of the highest sum insured

LOCKS KEY AND ACCESS CARDS

Subject to the Insured paying the first \$100 in each and every event the Company will pay up to \$1 000 to replace locks keys and access cards to any insured premises if a key or access card is lost or stolen or if the insured has reason to believe a duplicate key or access card is in the possession of an unauthorized person.

SKELETON KEYS

Subject to proof to the satisfaction of the company that the entry into or exit from the insured premises has been effected by the use of a skeleton key or other similar device (other than a duplicate key) this shall constitute forcible and violent entry or exit for the purposes of an insured event

SUSPENSIVE SALE/LEASE AGREEMENTS

Provided that the Company has been notified prior to an insured Event it will note and protect the interest of the owner

insured Property which is the subject of a suspensive sale/lease agreement Sale/lease agreement

TEMPORARY PROTECTIONS

The Company will pay up to \$5 000 for cost reasonably and necessarily incurred in effecting temporary repairs and/or other

measures to safeguard the Insured property following an insured event

DEFINITIONS

INSURED PREMISES

The building or that part of the building occupied by the Insured at the premises but excluding any open-sided structure or any verandah yard or other open space whether partially or fully enclosed by the building

INSURED PROPERTY

The property described in the Schedule (if more specific) or the entire contents of the insured premises the property of the Insured or held by him in trust or on commission for which he is responsible including

- (a) documents manuscripts business books, plans and designs but only for the value of the materials and the sum expended in labour for recreating and for recreating and not for the value of the Information contained
- (b) computer system records but only for the value of the materials and the sum expended in labour for recreating (excluding any expenses on connection with the production of the information to be recorded) and not for the value of the information they contain
- © patterns models and moulds for the value of the materials and the sum expended in labour for recreating

- (c) personal effects (including pedal cycles and tools) principals partners members directors or employees but limited for any one individual to the lesser of the sum insured on insured property and \$1000

but excluding

- (i) current coin (including gold coins) bank and currency notes travellers' and other cheques money and postal orders unused current postage revenue and holiday pay stamps credit card slips and other certificates documents or instruments of a negotiable nature

- (ii) explosives

Theft - Section 8

- (iii) any property more specifically insured

CLAUSE

EARTHQUAKE

The word "earthquake" is deleted from general exception 4 (a)

MEMORANDA

(If stated in the schedule to apply)

1. PROTECTION AND ALARM WARRANTY

It is condition precedent to liability and warranted that in any premises in which an alarm is installed or is required to be installed

- (a) The alarm shall be put into full and proper operation whenever the premises are closed for business unless a principal partner director or employee of the Insured is on the on the premises
- (b) the alarm be maintained under contract by the supplier or by competent alarm servicing engineers
- © this insurance exclude loss of or damage to the insured property following the use of a key to the alarm or any duplicate belonging to or held by the Insured or any principal partner director or employee of the Insured unless obtained by threat or violence

2. ADDITIONAL TEMPORARY PROTECTIONS

The Company will pay up to the amount stated in the Schedule (in addition to any amount recoverable under the Special extensions) for costs reasonably and necessarily incurred in effecting temporary repairs and/or other measures to safeguard the Insured property following an insured event.

3. MALICIOUS DAMAGE

Damage to the insured premises (including landlords fixtures and fittings) and all contents in the insured premises the property of the Insured or held by him in trust or on commission for which he is responsible up to the sum insured stated in the Schedule caused by the deliberate or willful or wanton act of any person during the course of theft or attempted theft accompanied by forcible and violent entry into or exit from the insured premises.

Provided that the Company shall not be liable for

- (a) consequential or indirect loss or damage of any kind or description whatsoever
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation.

Theft - Section 8

- (c) loss or damage occasioned by permanent or temporary dispossession resulting from confiscation
commandeering or requisition by any lawfully constituted authority
- (d) loss or damage related to or caused by any occurrence referred to in general exception 1(i) (ii) (iii) (iv) (v) or (vi) or the act of any lawfully established authority in controlling preventing suppressing or in any other way dealing with any such occurrence

If the Company alleges that by reason of provisos (a) (b) (c) or (d) loss or damage is not Covered by this memorandum the burden of proving the contrary shall rest on the Insured.

MONEY – Section 9

Loss of or damage to

(a) Money

(b) Any money container or franking machine in the building at the premises arising from theft or any attempt thereat

INDEMNITY

The amount payable in respect of money for any one event or series of events with one original cause or source shall not exceed

1. MINOR LIMITS

(a) money not contained in a locked safe or strongroom

(i) at the premises outside the hours during which the commercial operations of the Insured are conducted

The sum stated in the Schedule

(ii) at the residence of any principal director member partner or employee of the Insured

The sum stated in the Schedule

(iii) in the custody of any principal director member partner or employee of the Insured traveling on the business of the Insured

The sum stated in the Schedule

(iv) in the custody of any collector The sum stated in roundsman COD delivery men or the Schedule petrol pump attendant employed by the Insured

(b) crossed cheques or crossed money or postal orders

The sum stated in the Schedule

2. MAJOR LIMITS

(a) the basis sum insured

The sum stated in the Schedule

(c) any other loss

(i) from the specified safe/strongroom in the building at the premises in the Schedule

The sum stated in the Schedule

(ii) under major limit 2(a) or 2(b) (i) during the month of December or such other period as may be stated in the Schedule

The sum stated in the Schedule

(iii) from any other safe/strongroom	The lowest of the
listed in the Schedule of	limit listed for the
MONEY – Section 9	
Schedule of approved doors and safes in the money specification form part of this section while in the building at the premises in the schedule	strongroom/safe concerned and the sum insured against item 2(a) or 2(b)(ii)

3. DAMAGE TO MONEY CONTAINERS

The money container described in the Schedule The sum stated in
The Schedule

SPECIAL EXCEPTIONS

The Company shall not be liable for an insured event

- i. arising from the dishonesty of any principal director partner or employee of the Insured unless such dishonesty is discovered within 14 working days of its occurrence

Special memorandum

An insured event admissible in terms of special exception (a) shall be subject to the following first amount payable clause

"The amount payable in respect of an Insured event involving one person or any number of persons acting in collusion shall be reduced by

(i) 2% of the applicable limit under "indemnity" plus

(ii) a further 10% of the net amount payable after the deduction of (i) above "and both amounts shall be borne in full by the Insured

(b) arising from shortage due to error or omission

© arising from the use of keys to any safe/strongroom unless the keys are obtained by threat or violence

(d) from an unlocked safe/strongroom while the port of the premises containing such safe/strongroom is unattended

(d) involving a major limit (item 2 of "indemnity") unless the money is contained in a locked safe/strongroom while the portion of the premises containing such safe/strongroom is unattended.

(f) from any vehicle being used by the Insured unless a principal direct member partner or employee of the Insured is actually concerned is incapacitated as a direct result of an accident involving the vehicle

- (h) in respect of which a claim is submitted or would but for the deductible clause be submitted under any fidelity guarantee insurance Special exceptions © (d) (e) and (f) do not apply up to an amount of \$1 000 and such losses shall not be reduced by any first amount payable.

MONEY – Section 9

SPECIAL EXTENSIONS

CLOTHING AND PERSONAL EFFECTS

The Company will pay for loss or damage to clothing firearms and/or personal effects (not otherwise Insured) of any principal director member partner or employee of the Insured during the theft of money or any attempt thereat but limited in respect of clothing to The sum stated in the Schedule.

LOCKS KEY AND ACCESS CARDS

Subject to the Insured paying the first \$100 of each and every event the Company will pay up to The sum stated in the Schedule for replacing locks keys and access cards to any safe/strongroom in the building at the premises following the disappearance of any key or access card thereto or following upon the Insured having reasonable suspicion that duplicates of such keys or access cards are in the possession of an unauthorized person.

TERRITORIAL LIMITS

The territorial limits for item 1 (a) (iii) of "indemnity" are worldwide

DEFINITIONS

1. **MONEY**

Current coin (excluding gold coins) bank and currency notes Travellers and other cheques money and postal orders
current Unused postage revenue and holiday pay stamps credit card Slips and other certificates documents or
instruments of a negotiable nature the property of the Insured or for which he is responsible

2. **MONEY CONTAINER**

Any safe strongroom strongbox cash register till cash box or Other receptacle for money

3. APPROVED STRONGROOM DOORS AND SAFES

As detailed in the money specification forming part of this Section

CLAUSES

EARTHQUAKE

The word 'earthquake' is deleted from special exception 4 (a)

MEMORANDA

1. ASSAULT

If any principal director partner or employee of the Insured (*the Insured person*) sustains bodily injury by outward violent and visible means while protecting or attempting to protect money the Company will pay the benefit shown to the Insured on behalf of the Insured person or if applicable his legal personal representative

Item No	Description of Bodily Injury	The Benefit
1	Death	The capital Sum stated in the Schedule

MONEY – Section 9

OR

2	Permanent partial disablement (which shall mean) (a) loss of all hearing – one ear (b) loss of sight perception of light (c) loss by physical severance or total loss of use of (i) all fingers of one hand (ii) all toes of one foot (iii) thumb - both phalanges - one phalanx (iv) index finger - three phalanges - two phalanges - one phalanx (v) middle finger - three phalanges - two phalanges	35% 75% 80% 30% 30% 10% 10% 8% 4% 6% 4% 2%	
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	- one phalanges	5%	
	(vi) ring finger	4%	
	- three phalanges	2%	
	- two phalanges		
	- one phalanx	4%	
	(vii) little finger	3%	
	- three phalanges	2%	
	- two phalanges		
	- one phalanx		
	(viii) metacarpals	3%	
	- first or second		
	an additional	2%	
	- third fourth or fifth		
	an additional	5%	
	(ix) great toe	2%	
	- both phalanges		
	- one phalanx	1%	
	(x) other toes		
	- if more than one – each		
	(d) disfigurement from burns of	50%	
	(i) 100% of the surface area of		
	the head and	25%	
	neck		
	(ii) 100% of the surface area of		
	the remainder or		
	of body		

MONEY – Section 9

3	Permanent total disablement (which shall mean) (a) loss by physical severance at or above the wrist or ankle or total loss of use of a hand or a foot (b) total loss of (i) speech (ii) all sight of an eye (iii) all hearing in both ears an injury resulting in permanent disablement from following or engaging in the Insured person's usual occupation and any other occupation for which he is fitted by	The capital sum stated in the schedule
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	knowledge or training	
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and

4	Total and absolute incapacity from following the insured Person's usual occupation	The weekly Rate (<i>or pro rate thereof</i>) for the period of incapacity or a maximum of 104 weeks
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and

5	Medical surgical dental nursing home or hospital treatment <i>(including the cost of artificial aids and prosthesis and the costs and expenses incurred in emergency transportation or in freeing the insured person if trapped or in bringing the insured person to a place of safety) actually necessarily and reasonably incurred within twenty four months of the insured event.</i>	The sum stated in the schedule
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Provided that

- (i) the benefit under item 4 shall cease when the injury or wound causing disablement has healed or has been cured as far as is reasonably possible notwithstanding that some permanent disablement may remain
- (ii) the benefit payable under item 4 is in addition to any benefits payable under items 1 2 or 3
- (iii) the Company shall not be liable to pay any benefit under item 4 during the period stated in the Schedule as the excess
- (iv) death or permanent total or partial disablement occurs within twenty four months of the insured event

MONEY – Section 9

- (v) if no provision is made under item 2(a)(b)or(c) for the insured event the Company will adopt a percentage benefit consistent with the above scale
- (vi) if the percentage disfigurement under item 2 (d) is less than 100% of the surface

area the Company will apply to the benefit concerned a percentage based on the extent that actual disfigurement bears to 100% disfigurement

- (vi) the Company shall not be liable under item 2 (d) unless the extent of disfigurement under item (i) or (ii) individually exceeds 10% nor until the permanent effect of medical and/or surgical treatment has been established.
- (vii) any sum recoverable under any workmen compensation enactment shall be deducted from any benefit payable under Item 4 or 5
- (ix) general conditions 5 and 8 do not apply to this memorandum
- (x) in respect of this memorandum general exception 2 and 3 are deleted
- (xi) bodily injury includes starvation thirst and/or exposure to the elements directly or indirectly resulting from an insured person being the victim of theft or any attempt thereat.
- (xii) if the Company is satisfied that death has occurred as a direct result of an insured event following the disappearance of an insured person and provided that the Insured and the legal personal representative or the Insured person sign an undertaking to repay any sum paid if the insured person is subsequently found to be alive the Company will pay benefit 1

2. RIOT AND STRIKE

Subject otherwise to general exception 1 insured event includes

Riot and Strike damage which shall mean (*subject to the Special Condition*)

Loss of or damage to the property insured direct caused by

- (i) the act of any person taking part together with others in any disturbance of the public peace (*whether in connection with a strike or lock-out or not*) not being an occurrence mentioned in the special condition hereof
- (ii) the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequences of any such disturbance
- (iii) the willful act of any striker or locked out worker done in furtherance of a strike or in resistance to a lock-out
- (iv) the action of any lawfully constituted authority in preventing or attempting to prevent any such act or in minimizing consequences of any such act

SPECIAL CONDITION

For the purpose of this memoranda this insurance does not cover

- (a) loss of earning loss by delay loss of market or other consequential or indirect loss or damage of any kind or description whatsoever
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- © loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering or requisition by any lawfully constituted authority
- (d) loss or damage occasioned by permanent or temporary dispossession of any building resulting from the unlawful occupation by any person of such building

Provided nevertheless that the Company is not relieved under © or (d) above of any liability to the Insured in respect of physical damage to the property insured occurring before dispossession or during temporary dispossession.

In any action suit or other proceeding where the Company alleges that by reason of the provisions of this memoranda any loss or damage is not covered by this insurance the burden of proving that such loss or damage is covered shall be upon the Insured

MONEY – Section 9

INDEMNITY

The amount payable shall be

- (a) the cost of replacing the lost or damaged Insured property
- (b) the reasonable and necessary costs incurred for
 - (i) temporary boarding-up and/or the employment of watchmen
 - (ii) removal and reinstatement of fixtures and fittings
 - (iii) repairs of any burglar alarm installation if not otherwise Insured up to the lesser of twelve point five percent of the sum insured for insured property and \$2000.

SPECIAL EXCEPTIONS

The Company shall not be liable for insured property

- (a) disfigured or otherwise damaged unless fractured through the entire thickness of the glass or all laminates thereof
- (b) which is stock in trade
- (c) which is cracked or imperfect unless the Company has specifically agreed cover
- (d) during fitting removal work on its framework or other alteration of addition to the premises (showcases may be moved within the premises provided the insured property remains fixed and loss or damage during such removal is excluded)
- (e) lost or damaged by fire or explosion or any consequent preventative or salvage operation unless the Insured is legally liable for such loss or damage as tenant but not as owner
- (f) which is part of any neon sign fluorescent tube or similar installation lost or damaged by
 - (i) wear and tear gradual deterioration faulty construction or climatic condition other than hail or windstorm
 - (ii) short circuiting self-heating or any mechanical or electrical failure or breakage
 - (iii) maintenance under contract
- (g) to a greater extent than the cost of replacing the insured glass with glass of equal quality and in the event of the value of the insured glass being declared at less than its replacement cost (inclusive of other items Insured) the Company's liability is limited to

the amount so declared

- (h) if (notwithstanding general condition 3 (b) (i) an insured event is not reported to the Company within thirty days of the termination of this policy or the prior terminator of this section

CLAUSE

Earthquake

The word "earthquake" is deleted from general exception 4(a)

DEFINITIONS

Glass

All glass insured by this section is (unless specifically agreed) presumed to be plain plate/float glass of six millimetres

INSURED PROPERTY

External and internal glass (including mirrors) the signwriting ornamentation and/or treatment thereon and window frames and fittings window displays and burglar protections (including alarm installations) as specified in the schedule the property of the Insured or for which he is responsible

MONEY – Section 9

MEMORANDA

(if stated in the schedule to apply)

1. ADDITIONS COSTS

The Company will pay up to the amount stated in the schedule in addition to the amount provided under "indemnity" for reasonable and necessary cost incurred in effecting temporary repairs or in taking other measures to safeguard the insured property following an insured event

2. EXPRESS DELIVERY AND OTHER CHARGES

Costs incurred for the express delivery of replacement glass by road/rail or airfreight and overtime charges for its fitting are insured up to the sum stated

3. RIOT AND STRIKE

subject otherwise to general exception 1 insured event includes

Riot and strike damage which shall mean (subject to the special condition)

Loss of or damage to the property insured directly caused by

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a strike or lock-out or not) not being an occurrence mentioned in the special condition hereof
- (ii) the action of any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in minimizing the consequences of any such disturbance or in minimizing the consequence of any such disturbance.
- (iii) the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out
- (iv) the action of any lawfully constituted authority in preventing or attempting to prevent any such act or in minimising consequences of any such act

SPECIAL CONDITION

For the purpose of this memoranda this insurance does not cover

- (a) loss of earnings loss by delay loss or market or other consequential or indirect loss or damage of any kind or description whatsoever
- (b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation
- (c) loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering of requisition by any lawfully constituted authority
- (d) loss or damage occasioned by permanent or temporary dispossession of any building resulting from the unlawfully occupation by any person of such building

Provided nevertheless that the Company is not relieved under © or (d) above of any liability to the Insured in respect of physical damage to the property insured occurring before dispossession or during temporary dispossession

In any action suit or other proceeding where the Company alleges that by reason of the provisions of the memoranda any loss or damage is not covered by this insurance the burden of proving that such loss or damage is covered shall be upon the Insured.

MONEY – Section 9

4. SPECIAL REINSTATEMENT

If following an insured event the Insured is obliged in terms of the nation building regulations or similar legislation to replace the lost or damaged glass with glass of a superior specification the Company will be liable for the increased cost of such replacement

5. WINDOW DISPLAYS

where a sum insured for window displays is included in the schedule such sum is deemed to include cost incurred for clearing redressing and/or repairs to the display.

SPECIAL CONDITIONS

SALVAGE

Any salvage is the property of the Company and must be carefully preserved

Subject otherwise to general exception 1 insured event includes

Insured Event

Loss of or damage to the insured property at the premises

Indemnity

The amount payable shall be

- (a) the cost of replacing the loss or damage insured property
 - (b) the reasonable and necessary costs incurred for
 - (i) temporary boarding-up and/or the employment of watchmen
 - (ii) removal and reinstatement of fixture and fittings
 - (iii) repairs to any burglar alarm installation if not otherwise insured
- Up to the lesser of twelve point five percent of the sum insured for insured property and \$2 000,00

Special Exception

The Company shall not be liable for insured property

- a) disfigured or otherwise damaged unless fractured through the entire thickness of the glass or all laminates thereof
- b) which is stock in trade
- c) which is cracked or imperfect unless the Company has specifically agreed cover
- d) during fitting removal work on items framework or other alteration or addition to the premises (showcase may be moved
 - within the premises provided the insured property remains fixed and loss or damage during such removal is excluded)
- e) lost or damaged by fire or explosion or any consequent preventative or salvage operation unless the insured is legally liable for such lessor damage as tenant but not as owner
- f) which is part of any neon sign fluorescent tube or similar installation lost or damaged by?
 - (i) wear and tear gradual deterioration faulty construction or climatic condition other hail or windstorm
 - (ii) short circuiting self-heating or any mechanical or electrical failure or breakage
 - (iii) maintenance under contract
- g) to a greater extent than the cost of replacing the insured glass with glass of equal quality and in the event of the value of the insured glass being declared at less than its replacement cost (inclusive of other items insured) the Company's liability is limited to the amount so declared.
- h) if (notwithstanding general condition 3(b) (i) an insured event is not reported to the Company within thirty day of the termination of this Policy or the prior termination of this section

Clause

Earthquake

The word "earthquake is deleted from general exception 4(a)

Definitions

All glass insured by this section (unless specifically agree) presumed to be plain plate/float on glass of six millimeters

Insured Property

External and internal glass (including mirrors) the signwriting ornamentation and/or treatment thereon and window frames and fittings window displays and burglar protection (including alarm installations) as specified in the Schedule the property of the Insured or for which he is responsible.

MEMORANDA**(If stated in the Schedule to apply)****1. Additional Costs**

The Company will pay up to amount in the schedule In addition to the amount provided under "indemnity for the reasonable and necessary costs incurred in effecting temporary repairs or in taking other measures to safeguard the Insured property following an insured event

2. Express Delivery and other charges

Cost incurred for the express delivery of replacement glass by road rail or airfreight and overtime charges for its fitting are insured up to the sum stated

Glass Section 10**3. RIOT AND STRIKE**

Subject otherwise to general exception 1 insured event includes

Riot and Striker damaged which shall mean (subject to the Special Condition)

Loss of or damage to the property insured directly caused by

(i) the act of any person taking part together with others in any disturbance of the public peace (whether in occurrence

mentioned in the special condition hereof.

(ii) the action any lawfully constituted authority in suppressing or attempting to suppress any such disturbance or in

minimizing the consequences of any such disturbance.

(iii) the willful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out

(iv) the action of any lawfully constituted authority in preventing or attempting to prevent any such act or in minimizing

consequences of any such act.

Special Condition

For the purpose of this memoranda this insurance does not cover

(a) loss of earning loss by delay loss or market or other consequential or indirect loss or damage of any kind or description

(b) loss or damage resulting from total or partial cessation of work or the retarding or interruption or cessation of any process or operation

(c) Loss or damage occasioned by permanent or temporary dispossession resulting from confiscation commandeering

resulting from confiscation commandeering or requisition by any lawfully constituted authority

(d) loss or damage occasioned by permanent or temporary dispossession of any building resulting from the unlawful

occupation by any person of such building

Provided nevertheless that the Company is not relieved under © of (d) above of any liability to the Insured in respect of physical damage to the property insured occurring before dispossession of during temporary dispossession

In any action suit or other proceeding where the Company alleges that by reason of the provisions of this memoranda

Any loss or damage is not covered by this insurance the burden of proving that such loss or damage is covered shall be upon the Insured

4. SPECIAL REINSTATEMENT

If following any insured event the Insured is obliged in terms of the nation building regulations or similar legislation of replace the lost or damage glass with glass of a superior specification the Company will be liable for the increased cost of such replacement.

5. Window Displays

Where a sum insured for window displays is included in the Schedule such sum is deemed to include costs incurred for
clearing redressing and/or repairs to the display.

Special Conditions Salvage

Any salvage is the property of the Company and must be carefully preserved.

FIDELITY GUARANTEE POLICY – Section 11

In this Policy the expressions shall bear the respective meanings attached to them in the Schedule.

Whereas the Insured has by a signed proposal and declaration which proposal and declaration together with any correspondence relative thereto signed by or on behalf of the Insured shall be the basis of this contract and be held as incorporated herein has applied to Zimnat Lion Company(here after called Company) for the indemnity hereinafter contained.

In consideration of the payment of the First Premium and subject to the terms and conditions herein or endorsed herein which are deemed to be conditions precedent to any liability on the part of the Company so far as they relate to anything to be done or complied with by the Insured the Company agrees to indemnify the Insured in respect of:

DEFINED EVENTS

1. Loss of money and /or other property, belonging to the Insured or for which they are responsible, stolen by an insured employee during the currency of this policy.
or

2. Direct pecuniary loss sustained by the Insured as a result of fraud or dishonesty of an insured employee, all of which occurs during the currency of this policy, which results in dishonest personal financial gain for the employee concerned.
and which is discovered during the period of insurance or within twelve months of the termination of:

- a) this policy
- b) this policy in respect of any insured employee concerned in a loss which occurs first.
- c) the employment of the insured employee or the last of the insured employees concerned in a loss whichever occurs first.

provided that

- 1. the liability of the Company for loss resulting from a defined event involving any one employee or any one employee or any number of employees acting in collusion shall not exceed the amount payable stated in the schedule.

renewal of this insurance from period to period or any extension of any period of insurance shall not have the effect of accumulating or increasing the liability of the Company beyond the amount payable stated in the schedule.

- 3. the term dishonest personal financial gain shall not include gain by an employee in the form of salary, salary increases, fees, commissions, bonuses, promotions or other emoluments.

DEFINITION

Employee shall mean

- a) any person while employed under a contract of service with or apprenticeship to be insured.
- b) any person while hired or seconded from any other party into the service of the insured; who the insured has the right at all times to govern, control and direct in the performance of his work in the course of the business of the insured.

EXCEPTIONS

- 1. The company shall not be liable for
 - a) loss or damage resulting from or contributed to by any defined event by
 - i) any partner in or of the insured or any director or member of the insured unless the loss is incurred as a direct result of any director or member or partner conducting business as an employee of the insured.

FIDELITY GUARANTEE POLICY- Section 11

- ii) any employee from the time the insured shall become aware that such employee has committed any fraud or dishonesty.
- iii) any Agents or Contractors unless specifically insured on an individual basis.

b) any consequential losses if any kind following losses referred to under defined events.

2. This policy does not cover any company or other legal entity acquired during the period of insurance.
3. The indemnity provided herein shall not apply to:
 - (i) Compensation for loss or damages in respect of judgements not in the first instance delivered by or obtained from a Court of competent jurisdiction within Zimbabwe;
 - (ii) Costs and expenses of litigation recovered by any claimant from the Insured which are not incurred in and recoverable in Zimbabwe.

GENERAL CONDITIONS

1. CURRENCY

All sums of money in this Policy are in the currency of Zimbabwe.

2. INSURED'S OBLIGATIONS ON THE HAPPENING OF AN EVENT INSURED AGAINST

On the happening of a defined event insured hereby the Insured on becoming aware of same shall give immediate notice thereof to the Company and shall at his own expense within 30 days (or any such longer periods as the Company may in writing allow) provide a claim in writing with such detailed particulars and proofs as may be reasonably required by the Company.

3. THE COMPANY'S RIGHTS FOLLOWING THE OCCURRENCE OF AN INSURED EVENT

The company shall be entitled in the name of the insured to have the absolute conduct and control of all or any proceedings it may consider necessary for the purpose of tracing and recovering the property lost, or securing reimbursement in the respect of the property lost and the Insured shall furnish all such assistance as may reasonably be required by the Company in connection with such proceedings.

4. FRAUDULENT CLAIMS

If any claim under this Policy shall be in respect fraudulent or if any fraudulent means or devices are used by the

Insured or anyone acting on his/her behalf to obtain benefit under this Policy all benefit thereunder shall be

forfeited.

5. **ARBITRATION**

If any difference arises as to the amount of any loss, such difference shall independently of all other questions be referred to the decision of an Arbitrator to be appointed in writing by both parties, or if they cannot agree to a single Arbitrator to the decision of two Arbitrators, one to be appointed in writing by each party and, in case of disagreement between the Arbitrators, to the decision of an Umpire who shall have been appointed in writing by the Arbitrators before entering on the reference, and an Award shall be a condition precedent to any liability of the Company or any right of action against the Company.

FIDELITY GUARANTEE POLICY- Section 11

6. **CESSATION OF COVER ON TERMINATION OF INTEREST**

The insurance of this Policy shall cease if:-

- a) the business be wound up or carried on by a Liquidator or Receiver or permanently discontinued,
- b) the Insured's interest ceases otherwise than by death, at any time after the commencement of this insurance, unless its continuance be admitted by endorsement signed by or on behalf of the Company.

7. **DISCLAIMER**

In the event of the Company disclaiming liability in respect of any claim and an action or suit be not commenced within six months after such disclaimer or (in the case of arbitration taking place in pursuance of General Condition 5 of this Policy) within three months after the arbitrator or arbitrators or umpire shall have made their award all benefit under this Policy in respect of such claim shall be forfeited.

8. **MISREPRESENTATION, MISDESCRIPTION OR NON-DISCLOSURE**

This policy shall be avoidable by the Company in the event of misrepresentation, misdescription or non-disclosure in respect of any material fact concerning the Policy by or on behalf of the Insured.

9. **CANCELLATION**

This insurance may be terminated by the insured or the Company by giving 30 days notice to that effect, in which case the Company shall be liable to repay a ratable proportion of the 9premium for the unexpired term from the date of the cancellation providing that no

claim payment or claim intimation is made against this policy for or during the current period of insurance..

10. **DECLARATION**

The premium having been calculated on estimates furnished by the Insured, it is a condition of this policy that the Insured shall as soon as is reasonably practicable after the expiry of each period of insurance and in any case within six months of such expiry date furnish to the Company may require for the purpose of recalculation of the premium for such period. Any difference shall be paid by or to the Insured as the case may be.

SPECIFIC CONDITIONS

1. The insured shall institute and/or maintain and continue to employ in every material manner all such systems of check and control, accounting and clerical procedures and methods of conducting their business as has been represented to the Company by the insured but the insured may

a) change the remuneration, condition or service, duties and position of any employee

b) make such other changes as are approved in the writing by the insured's auditors

2. If the insured shall sustain any loss to which this policy applies which exceeds the amount payable hereunder in respect of such loss, the insured shall be entitled to all recoveries (except from suretyship, insurance, reinsurance, security or indemnity taken or effected by the Company or for the amount of any deductible) by whomsoever made on account of such loss until fully reimbursed, less the actual cost of effecting the same, and any remainder shall be applied to the reimbursement of the Company.

3. The Company's liability for any defined event(s) is limited to the amount payable as defined in the schedule applicable at the time of the happening of the defined event(s). If the amount payable shall be increased at any time such increased amount shall apply only to defined events committed after the date of such increase.

Should a series of defined events constituting one claim span a period of insurance in which the amount payable has been increased the Company's Liability is restricted to:-

FIDELITY GUARANTEE POLICY- Section 11

a) For events committed whilst the lower limit is in force - the lower limit.

b) For events committed whilst the higher limit is in force - the higher limit less the amount submitted and accepted by the Company under (a) above.

CLAUSES AND EXTENSIONS

1. ACCOUNTANTS CLAUSE

Any particular or details contained in the insured's books of account or other business books or documents which may be required by the Company under this section for the purpose of investigating or verifying any claim hereunder may be produced and certified by the insured's auditors or professional accountants and their certificate shall be prima facie evidence if the particulars and details.

2. EXTENDED COVER FOR THE PAST EMPLOYEES EXTENSIONS

Any persons who cease to be an employee shall for the purpose of this policy be considered

as being an employee for a period of 30 days after he in fact ceased to be an employee.

3. RETROACTIVE COVER EXTENSION - NO PREVIOUS POLICY IN FORCE (IF STATED IN THE SCHEDULE TO BE NCLUDE

This policy will also apply to defined events as insured herein which occurred up to the number of months stated intake Schedule before inception of this policy provided the events

are discovered within the sooner of 12 months of the termination of the employment of the employee concerned or within 12 months of the expiry if this policy.

4. SUPERSEDED POLICY EXTENSION (IF STATED IN THE SCHEDULE TO BE INCLUDED)

This policy will apply to defined events insured herein, which occurred during the currency

of any insurance superseded by this policy and specified intake schedule provided that:

- a) this extension is restricted to losses which would have been payable by the superseded insurance but which are not claimable because of the expiry of the period of time allowed by the superseded insurance for the discovery of the defined events.
- b) the defined events are discovered within the sooner of 12 months of the termination of the employment of the employee concerned or within 12 months of the expiry of this policy.
- c) the amount payable under this extension shall not exceed the amount insured by this policy or the amount insured by the superseded insurance whichever is the lesser.
- d) in the event of the defined events involving one employee or any number of employees occurring during both the currency of this policy and that of the superseded policy the maximum amount payable shall not exceed the amount insured by this policy at the time of discovery of the defined events.

- e) this extension will not apply to defined events which occurred more than the number of months stated in the schedule before inception of this policy.

FIDELITY GUARANTEE POLICY- Section 11

5. **CONTINUATION CLAUSE (IF STATED IN THE SCHEDULE TO BE INCLUDED)**

This policy is a continuation of the Policy stated in the Schedule subject to the following provisos:

- a) The company's liability for any defined event(s) in subject to the terms, conditions and limitations of the policy in force at the time of the happening of the defined event(s) notwithstanding that a series of such events may constitute a single claim.
- b) This continuation of insurance shall not have the effect of accumulating or increasing the liability of the company beyond the amount payable as stated in the schedule.
- c) Specific Condition 3 of this policy is deemed to apply to any claim, which involves both this policy and the above numbered superseded policy.

6. **OTHER INSURANCE CLAUSE**

Warranted that other than

- a) a money policy;
- b) that declared to the company;
- c) this policy

no other policy is in force or will be effected during the currency of this policy to insure against the risks insured hereunder otherwise that other policy must respond first before this policy, but only up to the extent of coverage provided by that other policy.

7. **COMPULSORY FIRST AMOUNT PAYABLE CLAUSE**

The amount payable under this policy in respect of a defined event involving one employee

or any number of employees acting in collusion shall be reduced by :-

- a) 4% of the limit of Indemnity
- b) Plus a further amount of 12.5% of the net amount payable after deduction of the amount specified in a) above

both amounts shall be borne in full by the Insured and remain uninsured.

8. **VOLUNTARY FIRST AMOUNT PAYABLE CLAUSE (If stated in the Schedule to be included)**

In addition to the amount payable by the Insured under the Compulsory First Amount Payable Clause 7, the Insured shall be responsible for the amount stated in the Schedule as the Voluntary First Amount Payable.

9. **REDUCTION/REINSTATEMENT OF INSURED AMOUNT CLAUSE (IF STATED IN THE SCHEDULE TO BE APPLICABLE)**

The payment by the company of any loss involving one employee or any number of employees shall not reduce the company's liability in respect of the remaining insured employees provided that :-

FIDELITY GUARANTEE POLICY- Section 11

1. the maximum amount payable by the company for all insured employees shall not exceed double the amount payable shown in the Schedule, in respect of any one period insurance the insured pays additional premium on the amount of the insured loss calculated in terms of the following formula

loss Annual premium in force at time of x amount of insured loss discovery of

Amount payable at time of discovery of loss

The additional premium shall be payable in full and may not be reduced due to the period between the date of discovery of loss and the expiry date being less than 12 months.

10. **CLAIMS PREPARATION COSTS**

It is hereby declared and agreed that the Company will pay all reasonable additional costs incurred in producing and certifying any particulars or details required by the Company in terms of the claims notifications Condition of this Policy in respect of:-

- 1) Additional wages or salaries to the Insured's own Employees
- 2) Additional fees to Insured's own Auditors
- 3) Costs of materials used.

Provided always that the liability of the Company under this extension shall not be more than the amount as stated in the schedule in any one period of Insurance.

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY CLAIMS MADE BASIS OF LIABILITY SECTION -12

The Insured by providing certain information, which shall be the basis of and incorporated in this contract has applied to the Zimnat Lion Insurance Company (the Company) for this insurance and has paid the premium.

The Company will subject to the terms of conditions of and endorsements to this Policy indemnify the Insured against all sums, which the insured becomes legally liable to pay as damages in respect of:

1. bodily injury (including death or disease) to any person
2. loss of or damage to property

arising out of claims first made in writing against the Insured during the Period of Insurance as a result of an accident which happened within the Geographical Limits after the Retroactive Date shown in the Schedule in connection with the Business.

The company will also pay Legal costs and Other Expenses.

LIMIT OF INDEMNITY

The liability of the Company for all damages legal costs and other expenses payable

- (a) as a result of any accident or of any series of claims arising directly or indirectly from one source or original cause shall not exceed the sum specified in the Schedule as the Limit of Indemnity.
- (b) in respect of Products Liability for all claims made during any one Period of Insurance shall not exceed the sum specified in the Schedule as the Limit of Indemnity in any one Period of Insurance.

GEOGRAPHICAL LIMITS

Anywhere in Zimbabwe.

EXCLUSIONS

The Company will not indemnify the Insured in respect of liability consequent upon:

1. Injury to any person employed under a contract of service or apprenticeship with the Insured if such injury arises out of and in the course of the employment or to members of the Insured's family.
2. Loss of or damage to property belonging to or held in trust by or in the custody or control of the Insured or any employee or agent of the Insured.

3. Any agreement by which the Insured has contracted to pay any sum by way of indemnity or otherwise unless such liability would have attached to the Insured in the absence of such agreement.
4. Injury loss of or damage directly or indirectly caused by vibration, subsidence or by the removal or weakening of or interference with support to property land or buildings.
5. Injury loss or damage directly or indirectly caused by
 - (a) Professional remedial or other advice or treatment given or administered by the Insured or by any employee or agent of the insured.
 - (b) Any goods or products constructed manufactured sold supplied distributed altered repaired serviced or treated by the Insured (after they have ceased to be in the possession of the Insured).

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY CLAIMS MADE BASIS OF LIABILITY SECTION -12

6. Injury loss or damage directly or indirectly caused by the ownership, possession or use by or on behalf of the Insured of any mechanically propelled vehicle or any trailer or any aircraft or watercraft. Provided that this exception shall not relieve the Company of liability to indemnify the Insured against damages payable for bodily injury or damage to property caused or arising beyond the limits of any carriageway or thoroughfare in connection with the loading or the unloading of any vehicle insofar as such injury or damage is not insured by any other insurance policy.
7. Loss of or damage to any property directly or indirectly caused by the explosion of any boiler, economiser, plant, vessel or equipment subject to internal pressure by steam (other than domestic boilers and cooking vessels)
8. Loss of or damage to that part of any property on which the Insured or any employee or agent of the Insured is or has been working and arising directly from such work.
9. Any injury loss or damage occurring after the completion and handing over of any work and caused by or resulting from any defect error or omission, whether in execution, materials or otherwise.
10. War, invasion, acts of foreign enemy, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection or military or usurped power, whether direct or indirect.
11. Any injury, loss or damage directly or indirectly caused by or contributed to by or arising from:
 - (i) Ionising radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel. For the purpose of this exclusion only shall include any self-sustaining process of nuclear fission.
 - (ii) Nuclear weapons material
12. Fines, penalties, punitive, exemplary or treble damages or any other damages resulting from the multiplication of compensatory damages.

13. Claims made as a result of an accident which happened prior to the Retroactive Date.
14. The indemnity provided herein shall not apply to:
 - (i) compensation for damages in respect of judgements not in the first instance delivered by or obtained from a Court of competent jurisdiction within Zimbabwe;
 - (ii) Costs and expenses of litigation recovered by any claimant from the Insured which are not incurred in and recoverable in Zimbabwe.

SPECIAL EXCLUSIONS

1. INDUSTRIAL DISEASES

This Policy shall not provide cover in respect of legal liability for Disease or any Impairment attributable to a gradually operating cause, which does not arise from a sudden and identifiable accident or loss event.

2. GRADUAL POLLUTION

This Policy excludes liability arising out of the discharge dispersal, release or escape of smoke, vapours, soot fumes, acids, alkalis, toxic chemicals, liquids or gasses, waste materials or other irritants, contaminants or pollutants into upon land, the atmosphere or any water course or body of water, but this exclusion does not apply if such discharge, dispersal, release or escape is sudden and accidental.

3. CURRENCY CLAUSE

All sums of money mentioned in this policy are deemed to be in the currency of Zimbabwe.

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY CLAIMS MADE BASIS OF LIABILITY SECTION -12

DEFINITIONS

1. BUSINESS

The term "Business" shall include

- (a) the provision and management of canteen social sports and welfare organisations for the benefit of employees
- (b) first aid fire and ambulance services
- (c) private work carried out by an Employee for the Insured or any director partner or senior official of the Insured

2. EMPLOYEE

The term "Employee" shall include

- (a) any person under a contract of service or apprenticeship with
 - (i) the Insured
 - (ii) any other party and who is borrowed by or hired to the Insured
- (b) any labour master or person supplied by such labour master
- (c) any person supplied by a labour only subcontractor
- (d) any self-employed person working for the Insured
- (e) any person supplied to the Insured under a contract or agreement the terms of which deem such person to be in the employment of the

Insured for the duration of such contract or agreement

3 INSURED

- (a) any party for whom the Insured is carrying out a contract away from the Insured's own premises but only to the extent required by such contract
 - (b) at the request of the Insured
 - (i) any director partner or Employee of the Insured in respect of liability for which the Insured would have been entitled to claim under this insurance if the claim had been made against the Insured
 - (ii) any officer or member. of the. Insured's. canteen social sports. or welfare organisations first aid fire or ambulance services
- in his or her respective capacity as such
- (c) In the event of the death of the Insured any personal representative of the Insured in respect of liability incurred by the Insured

4 REPLACEMENT COSTS

The term "Replacement Costs" shall mean the cost of repair alteration or replacement of the Products and the term shall include the cost of demolition breaking out dismantling delivery rebuilding supply and installation of the Products and any other property (unless physically damaged by the Products) essential to such repair alteration or replacement

5 LEGAL COSTS AND OTHER EXPENSES

The term "Legal Costs and Other Expenses" shall mean legal costs and expenses recoverable by any claimant and all costs and expenses incurred with the written consent of the Company.

OPTIONAL INSURING AGREEMENTS

Contractual Liability. (if stated in the schedule to apply)

This Policy extends to cover the liability (as herein defined) of the Insured in terms of contracts into by them and as specified in the Schedule.

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY CLAIMS MADE BASIS OF LIABILITY SECTION -12

Explosion Liability. (if stated in the schedule to apply)

In consideration of an additional premium charged hereon Exclusion 7 of this Policy is deleted and the Policy extends to cover the liability (as herein defined) caused by Explosion.

Defective Workmanship Liability. (if stated in the schedule to apply)

Printed exclusion 9 of this Policy is cancelled and this Policy extends to include legal liability (as herein defined) arising out of or caused by faulty workmanship on the part of the Insured or any employee of the Insured or any person acting on his behalf. **PROVIDED THAT** the liability of the Company for all claims in respect of or arising out of all occurrences of a series consequent upon or attributable to one source or original cause or any number of causes happening in any one period of insurance shall not exceed the limit stated in the schedule.

Products Liability. (if stated in the schedule to apply)

This Policy extends to indemnify the Insured in respect of legal liability for injury or damage (as herein defined) arising out of any defect in goods or products manufactured, constructed, sold, supplied or distributed by the Insured in the course of their business or by the defective condition of the container of such products.

Wrongful Arrest and Defamation (if stated in the schedule to apply)

The Company will indemnify the Insured for damages be becomes legally liable to pay in respect of a claim or claims first made against the Insured in writing during the period of insurance following

The wrongful arrest (including assault in connection therewith) of any person

The defamation of any person

But limited for anyone event or series of events with one original cause or source and in all during any twelve consecutive months of insurance(calculated from the inception of this policy) for each of (a) and (b) inclusive or legal costs recoverable from the Insured by a claimant and other costs and expenses incurred with the Company's consent to the sum stated in the schedule.

Incidental Medical Malpractice Liability (if stated in the schedule to apply)

It is agreed that:

1. This policy also applies to all sums, which the Insured shall become legally obligated to pay because of:
 - A. Injury, sickness, or disease, including death at any time resulting therefrom sustained by any person, whether or not engaged in the employment of the insured, or
 - B. Injury to or destruction of property, including the loss of use thereof

For any claims made resulting from an occurrence and arising out of malpractice, error or mistake committed (1) in rendering or failing to render medical, dental, surgical, nursing or veterinarian service or treatment, or (2) in the preparation, compounding, sale, furnishing or use of any drugs, medicines or other articles in connection with such service or treatment, provided that the claim is first made against an insured during the policy period.

It is agreed this policy shall not apply to any claims for damages arising out of occurrences, which commenced prior to the retroactive date of this policy 01 January 2003. In order for an occurrence to be covered under this claims made endorsement, the occurrence must commence after the retroactive date, but before the end of our policy period, and the claim must be made during the policy period.

2. The insured shall give written notice in accordance with the notice of accident, claim or suit condition of the policy,
(as amended), upon becoming aware of any claim or allegation of malpractice, error or mistake.

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY CLAIMS MADE BASIS OF LIABILITY SECTION -12

3. This insurance does not apply (A) to any obligation for which the Insured or any Company as his insurer may be held liable under any Worker's Compensation law, unemployment compensation or disability benefits law, or under any similar law, or (B) to bodily injury, sickness, disease or death of any person to or for which benefits or damages on account thereof are payable under any valid and collectible voluntary compensation or employer's liability insurance available to the Insured.
4. Exclusion 5(a) of the Commercial General Liability Insurance shall not apply to this endorsement.
5. At the request of any executive officer of the Named Insured before or after an occurrence, this policy shall be extended to include as an additional insured with respects to the insurance afforded by this endorsement.
 - (A) Nurses, and other personnel employed by the Named Insured.
 - (B) Any other person or organisation with respect to the use by or under the control of such person or organisation of any drug, medicine or other article furnished by the Named Insured in connection with any research, clinical evaluation, testing program or other similar activity. The insurance afforded by this endorsement as to any non-employee, shall be excess insurance over any other valid and collectible insurance.

PROVIDED ALWAYS that the Company will not indemnify the Insured in respect of liability for:

- (a) Products sold supplied repaired altered treated or installed by the Insured on terms less favourable to the Insured than under the ordinary process of law governing their sale supply repair alteration treatment or installation.
- (b) Products obtained by the Insured on terms which prevent the Insured exercising rights of recovery under the ordinary process of law against the supplier or any other party.
- (c) The failure of a Product or part thereof to perform the function for which it was intended.
- (d) Doing or re-doing or making good any work which the Insured has contracted to do.
- (e) Loss of or damage to the Products.
- (f) The Replacement Costs of the Products **(see DEFINITIONS)**
- (G) Any refund of the payment received for the Products.
- (h) Any Product outside the classes or types of products normally associated with the business.
- (i) The cost of recalling any defective or potentially defective Product supplied.

(j) Defective design, specification or formula of any Product or instructions supplied with the Product.

SPECIFIC EXCEPTION

The cover provided herein shall not and is not intended to provide insurance for products supplied to the United States of America and Canada.

And the Company shall not be liable in respect of any claims caused by any defect in any goods, or products (including containers and labels) manufactured, constructed, altered, repaired, serviced, handled, treated, sold or supplied by the Insured in connection with the business:

- (a) within the United States of America and Canada their territories or possessions or
- (b) outside the United States of America and Canada their territories or possessions if to the Insured's knowledge such products have been or will be supplied to a person, company, or organisation within these territories whether or not in their original form.

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY CLAIMS MADE BASIS OF LIABILITY SECTION -12

5. Tenants Liability.

This Policy extends to include all sums for which the insured shall become legally liable to pay to the owners of the buildings occupied by the Insured respect of loss or damage caused by Fire or Explosion to that portion of the said buildings occupied by the Insured as Tenant and provided that the legal liability devolving upon the Insured arises only by virtue of his occupation as Tenant.

PROVIDED THAT the limit of liability under this extension shall not exceed the sum stated in the Schedule.

CONDITIONS

- | | |
|--------------------------|---|
| 1. INTERPRETATION | Any word or expression to which a specific meaning has been attached in any part of this Policy or Schedule shall bear such meaning wherever it may appear |
| 2. PRECAUTIONS | <p>The Insured shall take and cause to be taken all reasonable precautions to</p> <ul style="list-style-type: none">(a) prevent bodily injury and loss or damage to property and the sale or supply of products which are defective in any way(b) comply with all statutory obligations and regulations imposed by any authority |
| 3. ALTERATIONS | The Insured shall give immediate notice to the Company of any alteration which materially affects the risk and until the Company has agreed in writing to accept liability for such altered risk the Company shall not be liable in respect of any injury or damage due exclusively or in part to any |

such alteration

4. POTENTIAL CLAIMS

The Insured shall give written notice to the Company of any accident which has the potential to produce future claims immediately the same shall have come to the knowledge of the Insured or his representative. Upon receipt of such written notice the Company will treat all claims first made in writing against the Insured during the **36** months following notification of such accident to the Company by the Insured as if they had been first made on the same day that the Insured notified the Company of the accident.

5. CLAIMS

- (a) The Insured shall give written notice to the Company of any claim or claims immediately the same shall have come to the knowledge of the Insured or his or her representative
- (b) The Insured shall not admit liability for or negotiate the settlement of any claim without the written consent of the Company which shall be entitled to conduct in the name of the Insured the defence or settlement of any claim or to prosecute for its own benefit any claim for indemnity or damages or otherwise and shall have full discretion in the conduct of any proceedings and in the settlement of any claim and the Insured shall give all such information and assistance as the Company may require.
- (c) If the Company is required to indemnify more than one party named in Definition 3 (INSURED) the liability of the Company for all damages payable shall not exceed in all the Limit of Indemnity
- (d) In connection with any one claim or number of claims made in any one Period of Insurance the Company may at any time pay to the Insured the amount of the Limit of Indemnity (after deduction of any sum or sums already paid as compensation) or any less amount for which such claim or claims can be settled and thereafter the Company shall be under no further liability under this Policy in connection with such claim or claims

6. CANCELLATION

The Company may cancel this Policy by sending thirty days' notice by registered letter to the Insured at the last known address and shall return to the Insured the premium less the prorata portion thereof for the period the Policy has been in force subject to adjustment under Condition 7

7. ADJUSTMENT

If any part of the Premium is calculated on estimates the insured shall within one month from the expiry of each Period of Insurance furnish such details as the Company may require and the premium for such period shall be adjusted subject to any Minimum Premium

8. OTHER INSURANCES

If an indemnity is or would but for the existence of this insurance be granted by any other insurance the Company shall not provide indemnity except in respect of any excess beyond the amount which is or would but for the existence of this insurance be payable.

- 9. OBSERVANCE** The liability of the Company shall be conditional on the observance by the Insured of the terms conditions and endorsements of this Policy
- 10. ARBITRATION** Should any difference arise between the Company and the Insured as to the amount of any claim under this Policy the same shall be referred to arbitration in accordance with the Statutory Provisions for the time being in force applicable thereto, and the obtaining of any award shall be a condition precedent to any right of action against the Company
- 11. SERIES OF CLAIMS CONSEQUENT ON ONE ORIGINAL CAUSE** All claims first made against the Insured in writing within a period of 36 months from the day that the initial claim was first made in writing against the Insured which are consequent upon one original cause shall be treated as if they had all been made on the day the initial claim was first made in writing against the insured.

EXTENSIONS

1. Exclusion 6 shall not apply whilst any mechanically propelled vehicle or plant forming part of such vehicle or attached thereto is being used as a tool of trade. Provided that the Company shall not be liable hereunder in respect of so much of any compensation or claim as falls within the scope of any motor vehicle insurance policy which the Insured is by law required to effect notwithstanding that no such insurance is in force or has been effected.
2. The Indemnity granted by this Policy is extended to include the Insured's legal liability (as herein defined) to Tenants and or Employees in respect of damage to motor vehicles at any of the Insured's Premises where parking facilities are provided by the Insured.
3. The Indemnity granted by this Policy is extended to include the Insured's legal liability (as herein defined):
 - (a) Arising out of first aid treatment rendered by the insured or any of his employees to members of the public.
 - (b) In respect of food and/or drink supplied at the Insured's premises.
4. If applicable, as between more than one Insured covered hereunder, this Policy applies to each Insured (and to Directors and/or Employees) as if a separate policy had been issued to each of them, and the Company waives all rights of subrogation or action which they may have or acquire against any of the Insured. Provided, however, that the aggregate liability of the Company shall not be increased beyond the Limits of Indemnity stated in the Schedule in respect of any occurrence arising directly from one source or original cause.
5. In the event of the Company cancelling this Policy or not inviting renewal or refusing to accept the premium for renewal of this Policy the Company will provide indemnity in respect of claims
 - (a) arising out of accidental injury or accidental damage (as herein defined) happening during any Period of Insurance and

- (b) made against the Insured and notified to the Company during the twenty four calendar months immediately following the Period of Insurance as if the claims had been made against the Insured and notified to the Company during the Period of Insurance.

Provided that:

- (i) the indemnity will not apply where indemnity is provided by any other insurance
- (ii) the total amount payable by the Company for claims made during the Period of Insurance and under the terms of this Extension shall not exceed the Limit of Indemnity.

PREAMBLE

Whereas the Insured named in the Schedule has applied to Zimnat Lion (hereinafter called the Company) for the insurance herein contained, The Company agrees subject to any proposal or other information supplied by or on behalf of the Insured disclosing all facts and circumstances known to the Insured that are material to the assessment of risk insured hereby and forming the basis of this insurance to grant such insurance to the Insured subject to the terms, conditions, provisos and exclusions set out in this Policy or as contained in any endorsement that may be issued.

OPERATIONAL CLAUSE

This Policy will indemnify the Insured in respect of Fire, Collision and Overturning Risks of Physical Loss and/or Damage of the Interest specified in the Schedule owned by the Insured or for which they are responsible, in the course of Transit by the means of conveyance or other means incidental thereto from whatsoever cause arising provided always there will be no claim on this Policy arising from any exclusion. Transit shall be deemed to commence from the time of moving the property described in the schedule at the consignor's premises (excluding loading and unloading), continue with transportation to the consignee.

EXCLUSIONS

This Policy does not cover

1. Loss or damage directly or indirectly occasioned by or through or in consequence of:
 - (a) war, invasion, act of foreign enemy, hostilities or warlike operations (whether war be declared or not), civil war, mutiny, riot, strike, civil commotion, military or popular uprising, insurrection, rebellion, revolution, military or usurped power, martial law or state of siege or any of the events or causes which determine the proclamation or maintenance of martial law or state of siege or coup d'état;
 - (b) any act (whether on behalf of any organisation, body or person, or group of persons) calculated or directed to overthrow or influence any government de jure or de facto, or any provincial or local authority with force, or by means of fear, terrorism or violence;
 - (c) any act which is calculated or directed to further any political aim, objective or cause or in protest against any government de jure or de facto, or any provincial or local authority;
 - (d) an armed conflict between regions or political or religious or ethnic or tribal factions within Zimbabwe;
 - (e) any attempt to perform any act referred to in the immediately preceding paragraphs;

- (f) any act of any lawfully established authority in controlling, preventing, suppressing or in any other way dealing with any occurrence referred to in clause (a), (b), (c), (d) or (e) above;
- (g) abandonment and/or dispossession of property insured resulting from seizure, confiscation, commandeering, restraint, detention, requisition, appropriation or nationalisation by any lawfully constituted authority or by order of any government de jure or de facto;
- (h) abandonment and/or legal or illegal occupation of premises by any person or group of persons except in the course of labour disturbances, strike or lock-out if insured by this policy;
- (i) any act of terrorism committed by any body or person or any group of persons or by any government de jure or de facto.

GOODS IN TRANSIT – Section 12

In any action suit or other proceedings where the Company allege that by reason of the provisions of this exception any event loss destruction or damage is not covered by policy the burden of proving that such event loss destruction or damage is covered shall be upon the Insured.

- 2. Loss or Damage caused by leakage, ordinary loss of weight, ordinary wear and tear, deterioration and inherent vice of the subject matter insured.
- 3. Loss or Damage caused by vermin, insects, mildew, rust, damp, climatic or atmospheric conditions (oxidation) and discolourisation
- 4. Any consequence of earthquake or volcanic eruption.
- 5. Loss or damage proximately caused by delay, even though the delay be caused by a risk insured against.
- 6. Loss or Damage caused by or with the collusion of Travellers, Servants or Agents of the Insured.
- 7. Chipping, Scratching, Denting , Wetting and Chafing.
- 8. Mechanical or electrical breakdown, failure, breakage or derangement unless caused by an accident not otherwise excluded.
- 9. Any consequential loss or loss of market.
- 10. Legal liability of any nature.
- 11. Loss or Damage directly or indirectly caused by or contributed to by or arising from ionising radiations or contamination by radio activity from any nuclear fuel or from any nuclear waste

from the combustion of nuclear fuel or arising from nuclear weapons material. For the purpose of this Exclusion only, combustion shall include any self-sustaining process of nuclear fission.

12. Loss or Damage to money, cash, currency notes, coins, bonds, coupons, stamps, negotiable instruments, title deeds, securities of any kind, bullion, precious metals, jewellery, precious stones, watches, furs, hides and skins, books, manuscripts, documents, patterns, models, moulds, plans, designs, explosives of any kind (including but not restricted to fireworks), firearms, munitions of any kind, cellular telephones, computers, computer parts and accessories, computer consumables, computer software, frozen produce and livestock.

CONDITIONS

1. It is a condition of this Policy that no claim for theft or pilferage will be accepted by the Company unless:
 - (a) the Interest is contained in a locked vehicle;
 - (b) in the case of an open vehicle there is a personal guard in attendance at all times when the vehicle is at rest during the course of the transit.
2. The insured shall take all reasonable measures:
 - (a) to maintain in efficient condition any vehicle in his ownership or control upon which the property is carried including the maintenance and use of an efficient spark arresting device when the motive power of the vehicle is steam;
 - (b) to protect the property from all loss or damage;
 - (c) to ensure that any vehicle in his ownership or control is suitable for the purpose for which it is to be used.
3. The Company shall at all reasonable times have free access to examine any vehicle as aforesaid.

GOODS IN TRANSIT – Section 12

Upon the happening of any event giving rise to or likely to give rise to a claim under this Policy the Insured shall:

- (a) immediately it comes to his knowledge give notice to the Company and in the event of theft or loss immediately notify the police and take all practicable steps to discover the guilty person and to trace and recover the property. In no case shall the Company be liable for any loss or image not notified to the Company within 30 days after the event;
- (b) deliver to the Company within fourteen days from the date on which the event shall have come to his knowledge a detailed statement in writing of the loss or damage with an estimate of the value of each item of the property lost or the amount of the damage sustained;

- (c) furnish, at the Insured's expense, all explanations, vouchers, proof of ownership and other evidence to substantiate the claim as the Company may reasonably require.
5. The Insured shall not without the consent of the Company in writing incur any expense, litigation or otherwise or make any payment, offer, promise settlement, arrangement or admission of liability in respect of any claim for which the Company may be liable under this Policy. The Company shall in respect of anything insured under this Policy be entitled to take over and conduct in the name of the Insured the defence of any claim to prosecute in the name of the Insured at its own expense and for its own benefits any claim for indemnity or otherwise against any persons and shall have full discretion in the conduct of any claim and the Insured shall give all such information and assistance as the Company may require.
 6. If at the time of any loss or damage there shall be any other Policy or Policies against such loss or damage the Company shall not be called upon in contribution but shall be liable only after the insurance by any such other Policy or Policies shall be exhausted.
 7. The Sum Insured is declared to be subject to Average if the property covered thereby shall at the time of any loss or damage be collectively of greater value than such Sum Insured, the Insured shall be considered as being his own Insurer for the difference and shall bear a rateable share of the loss or damage accordingly.
 8. Nothing contained herein shall give any rights against the Company to any person other than the Insured and the Company will not be bound by any passing of the Interest otherwise than by death unless and until the Company shall by endorsement hereon declare the Insurance to be continued.
 9. The Company may cancel this Policy by sending fourteen days' notice by registered letter to the insured at his last known address and in such event will return to the Insured the premium less the pro-rata portion thereof for the period the Policy has been in force.
 10. Within one month from the expiry of this Policy or of any renewal thereof the Insured shall if the premium be adjustable, furnish a statement of Turnover or such other particulars and information as the Company may require for the purpose of assessing any premium which may be due to or from the Insured or the Company.
 11. If any difference shall arise as to the amount to be paid under this Policy (liability being otherwise admitted) such difference shall be referred to an arbitrator to be appointed by the parties in accordance with the Statutory Provisions in that behalf for the time being in force. Where any difference is by this condition to be referred to arbitration, the making of an award shall be a condition precedent to any right of action against the Company.
 12. The due observance and fulfilment of the terms, provisions, conditions and endorsements of this Policy insofar as they relate to anything to be done or complied with by the Insured and the truth of the statements and answers in the said Proposal shall be conditions precedent to any liability of the Company to make any payment under this Policy.

EXTENSIONS

1. Where the means of conveyance is by specified vehicle(s), this insurance shall apply to property on any vehicle temporarily used in place thereof while a specified vehicle is undergoing repair or servicing, which replacement vehicle is not the property of the insured or leased or hired by them under a lease or hire purchase agreement.
2. In the event of breakdown of the means of conveyance during transit or if for any reason beyond the Insured's control the property is endangered, nothing contained herein shall debar the utilisation of any other form of transport to assist completion of the transit and the insurance afforded shall not be affected thereby.
3. Subject to the terms, condition and clauses contained herein the Company agrees to indemnify the Insured against physical loss of or damage to the property insured directly related to or caused by or arising from one or more of the following **occurrences**:

(a) Riot and strike damage

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a labour disturbance, strike or lock-out or not) not being an occurrence mentioned in Exclusion 1;
- (ii) the wilful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lock-out;
- (iii) the act of any lawfully established authority in controlling, preventing, suppressing or in any other way dealing with any occurrence referred to in clauses (i) or (ii) above.

(b) Malicious damage

The malicious act of any person (whether or not such act is committed in the course of a disturbance of the public peace) not being an act amounting to or committed in connection with an occurrence mentioned in General Exception 1 hereof but the Company shall not be liable under this extension for any loss or damage by fire or explosion nor for any loss or damage arising out of or in the course of burglary housebreaking theft or larceny or any attempt thereof or caused by any person taking part therein.

- i. Warranted a reputable haulier is used/contracted.
- ii. Warranted all delivery vehicles are fitted with fire extinguishers
- iii. Warranted interest is sound before transit.

Machinery Breakdown - Section 13

The Insurers hereby agree with the Insured that if at any time during the period of insurance stated in the Schedule or during any subsequent period for which the Insured pays and the Insurers may accept the premium for the renewal of this Policy, the items (or any part thereof) entered in the Schedule, whilst on the premises mentioned therein, suffer any unforeseen and sudden physical loss or damage from causes such as defects in casting and material, faulty design, faults at workshops or in erection, bad workmanship, lack of skill, carelessness, shortage of water in boilers, physical explosion tearing apart on account of centrifugal force, short-circuit, storm or from any other cause not specifically excluded hereinafter, in a manner necessitating repair or replacement.

The Insurers will indemnify the insured in respect of such loss or damage, as hereinafter provided, by payment in cash, replacement or repair (at the insurers' option) up to an amount not exceeding in any one year of insurance in respect of each of the items specified in the Schedule the sum set opposite thereto and not exceeding in all the total sum expressed in the Schedule as insured hereby.

This Policy shall apply to the insured items after successful completion of their performance acceptance tests whether they are at work or at rest, or being dismantled for the purpose of cleaning or overhauling, or in the course of the aforesaid operations themselves, or when being shifted within the premises, or during subsequent re-erection.

EXCEPTIONS

The Company shall not be liable for:-

1. damage due to fire, direct lightning, explosion, aircraft and other aerial devices or articles dropped there from,
extinguishing of a fire or subsequent demolition, theft or attempts thereat, flood, inundation, escape of water from water containing apparatus, earthquake, subsidence, landslide, avalanche, volcanic eruption or similar natural catastrophes ("Explosion" shall not mean the bursting or disruption of turbines, compressors' transformers, oil-immersed switchgear, engine cylinders, hydraulic cylinders, fly-wheels or other parts subject to centrifugal force; damage resulting from such causes being covered by this Policy.)
2. damage due to the imposition of abnormal conditions directly or indirectly resulting from testing,
intentional overloading or experiments

3. loss or damage for which a supplier, contractor or repairer is responsible either by law or under contract;
4. damage due to faults or defects known to the Insured or any of his responsible employees at the time the contract was arranged and not disclosed to the Company
5. damage to foundations and masonry, exchangeable or replaceable parts and attachments such as bits, drills, knife from other cutting edges, saw blades, dies, moulds, patterns, pulverizing and crushing surfaces, screens and sieves, refractory linings, ropes, belts, chains, cables, elevator and conveyor bands, batteries, tyres, connecting wires and cables, flexible pipes, jointing and packing materials and all parts not made of metal except the insulation of electrical conductors
6. wasting, wearing away or wearing out of any part of a machine caused by or naturally resulting from ordinary use or working, rust, or gradually deterioration due to atmospheric conditions or otherwise, scratching of painted and polished surfaces
7. consequential loss or liability of any nature whatsoever
8. any consequence, whether direct or indirect, of war, invasion, act of foreign enemy, hostilities (whether war be declared or not), civil war rebellion, revolution, insurrection, military or usurped power, confiscation or destruction or

Machinery Breakdown - Section 13

requisition by order of the government or any public authority, riot, strike, lock-out civil commotion or persons taking part in labour disturbances or malicious persons acting on behalf of or in connection with any political organization

9. loss or destruction of or damage to any property whatsoever or any loss or expense whatsoever resulting or arising therefrom or any consequential loss:-
 - (a) directly or indirectly caused by or contributed to by or arising from ionizing radiations or contamination by radio-activity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel. For the purpose of this exclusion only combustion shall include any self-sustaining process of nuclear fission;
 - (b) directly or indirectly caused by or contributed to by or arising from nuclear weapons material.

LIMITS

The liability of the Company under this Policy during any one period of Insurance shall not exceed in respect of any one item or number of items the amount stated in the Schedule against such item or items as the Sum Insured thereon or the market value at the time of the damage whichever is the less.

CONDITIONS

1. This Policy and Schedule shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part of this Policy and Schedule shall bear such specific meaning wherever it may appear.
2. On the happening of any event giving rise or likely to give rise to a claim under this Policy coming to the knowledge of the Insured the Insured shall
 - (a) give notice thereof to the Company or its nearest representative as soon as possible
 - (b) take precautions to prevent any further loss or damage to the machinery (the Company shall not be liable in respect of any further damage arising out of the continued use of the machinery until the machinery shall have been repaired to the satisfaction of the Company)
 - (c) take precautions to preserve any damaged or defective machinery or things which might prove necessary or useful by way of evidence in connection with any claim and so far as may be reasonably practicable no alterations or repair shall without the consent of the Company be made after the event until the Company shall have had an opportunity of inspection
 - (d) when called upon to do so deliver to the Company, or its representative a statement in writing of all particulars and details reasonably practicable of the machinery affected and the value thereof and the damage thereto and furnish all such vouchers proofs explanations and other evidence as may be reasonably required by the Company together with a statutory declaration if required in verification of the statement.

If any claim be in any respect fraudulent or if any false declaration be made or used in support thereof all benefit under this Policy shall be forfeited.

3. The Insured shall, at the expense of the Company, do or permit to be done all such acts and things as may be necessary or reasonably required by the Company, for the purpose of enforcing any rights or remedies or obtaining relief or indemnity from other parties in respect of damaged machinery, and the Company shall be entitled to any benefit obtained therefrom up to the amount paid or payable under the Policy as a result of such damage.

Machinery Breakdown - Section 13

4. If at the time of any damage covered by this Policy there shall be any other insurance covering such damage, effected by or on behalf of the Insured, the Company shall not be liable for more than its rateable proportion of such damage if such other insurance is subject to any condition of advantage to the Insurer this Policy shall be subject to such conditions in like manner.
5. The Insured shall at all times take precautions to keep the machinery in a proper state of repair, to enforce the observance by all persons of all proper safeguards against damage to

the machinery and to ensure that all Government and other regulations relating to the operation and inspection of the machinery are observed

6. Notice of any intended alteration of or departure from normal working conditions which would materially affect the risk of damage must be given to the Company in writing. The Company shall not be liable for any damage resulting from an aggravated risk unless prior approval of the modification has been obtained from the Company. If the Company cannot approve any such modifications the Company may cancel the insurance on the machinery affected making a return of premium proportionate to the unexpired period of insurance.
7. The Company's officials or representatives shall have the right at all reasonable times to inspect and examine any machinery insured by this Policy. Dismantling and re-assembling in connection with any examinations shall be carried out by the insured on such date or dates as the Company and the Insured shall mutually agree for the making of such examinations.
8. The insurance granted by this Policy shall cease to attach any item or items described in the Schedule in which the interest in the insurance shall pass from the Insured, otherwise than by Will or Operation of Law, unless the consent of the Company for the continuance of the insurance shall be obtained and signified by endorsement hereon.
9. The Company may at its own option repair replace or reinstate any damaged item or part thereof, or pay the amount of
the damage in money. The Company shall not be responsible for temporary repairs, carried out without the consent of
the Company and any consequences thereof, nor for the cost of any alterations additions improvements or overhauls
carried out on the occasion of a repair.
10. The Company may cancel this Policy by sending 30 days' notice by registered letter to the Insured at his latest known
address and in such event will return to the Insured a proportionate part of the premium corresponding to the unexpired
period of insurance.
11. If any difference arises as to the amount of any loss or damage, such difference shall independently of all other questions be referred to the decision of an Arbitrator to be appointed in writing by both parties, or if they cannot agree to a single Arbitrator to the decision of two Arbitrators, one to be appointed in writing by each party and, in case of disagreement between the Arbitrators, to the decision of an Umpire who shall have been appointed in writing by the Arbitrators before entering on the reference, and an Award shall be a condition precedent to any liability of the Company or any right of action against the Company.
12. The due observance and fulfillment of the terms and conditions contained in this Policy or endorsed hereon, in so far as they relate to anything to be done or complied with by the Insured, and the truth of the statements and answers in the proposal and declaration, shall be conditions precedent to any liability of the Company to make any payment under the Policy.

PROVISIONS

The Sum Insured

It shall be a requirement of this Policy that the Sum Insured is equal to the cost of replacement of the insured machinery by new machinery of the same kind and capacity, which means its cost of replacement including, e.g., dues and customs duties, if any, and the cost of the erection. If the Sum Insured is less than the amount required to be insured, the Insurers shall pay only in such proportion as the Sum Insured bears to the amount required to be insured. Every item if more than one shall be subject to this condition separately.

The Basis of Loss Settlement

- a) In cases where damage to an insured item can be repaired - the Insurers shall pay expenses necessarily incurred to restore the damaged machine to its former state of serviceability plus the cost of dismantling and re-erection incurred for the purpose of effecting the repairs as well as ordinary freight to and from a repair shop, customs duties and dues, if any, to the extent such expenses have been included in the sum insured. If the repairs are executed at a workshop owned by the Insured the Insurers shall pay the cost of materials and wages incurred for the purpose of the repairs plus a reasonable percentage to cover overhead charges.

No deduction shall be made for depreciation in respect of parts replaced, but the value of any salvage shall be taken into account. If the cost of repairs as detailed hereinabove equals or exceeds the actual value of the machinery insured immediately before the occurrence of the damage, the item shall be regarded as destroyed and settlement shall be made on the basis provided for in (b) below.

- b) In cases where an insured item is destroyed the Insurers shall pay the actual value of the item immediately before the occurrence of the loss, including charges for ordinary freight cost of erection and customs duties, if any, provided such expenses have been included in the sum insured, such actual value to be calculated by deducting proper depreciation from the replacement value of the item. The Insurers shall also pay any normal charges for the dismantling of the machinery destroyed, but the salvage shall be taken into account. Any extra charges incurred for overtime, night work, work on public holidays, and express freight shall be covered by this Policy only if especially agreed in writing.

The cost of any alterations, additions, improvements or overhauls shall not be recoverable under this Policy. The Insurers shall make payments only after being satisfied by production of the necessary bills and documents that the repairs have been effected or replacement has taken place, as the case may be.

LOSS OF PROFITS

The Company agrees that subject to the terms exceptions limits and conditions contained herein or endorsed hereon if during any Period of Insurance the Business carried on by the Insured at the Premises be interrupted or interfered with in consequence of an Accident then the Company will indemnify the Insured in respect of each item in the Specification against the amount of loss resulting from such interruption or interference.

PROVIDED that the liability of the Company during any period of this insurance shall in no case exceed in respect of each item the sum expressed in the Specification to be insured thereon or in the whole the total sum insured hereby or such other sum or sums as may hereafter be substituted therefore by memorandum signed by or on behalf of the Company

PROVIDED also that at the time of the happening of an Accident there shall be in force an insurance covering the interest of the Insured in the costs of repairs to or replacement of the Insured Machinery necessitated by such Accident and that payment shall have been made or liability admitted therefore under such insurance but if no payment shall have been made or liability admitted under such insurance solely as a result of the operation of any excess there under the liability of the Company under this Policy shall not be affected.

CONDITIONS

1. This Policy Schedule and Specification shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part of this Policy Schedule or Specification shall bear such specific meaning wherever it may appear.
2. On the happening of any event giving rise or likely to give rise to a claim under this Policy coming to the knowledge of the Insured .The Insured shall :-
 - (a) give immediate notification thereof to the Company by telephone or telegram and send written confirmation thereof within forty-eight hours of the event.
 - (b) do and concur in doing and permit to be done all things which maybe reasonably practicable to minimize or check any interruption of or interference with the Business or to avoid or diminish the loss.

(c) discontinue the use of any damaged machinery unless the Company authorizes otherwise and the Company shall not be liable in respect of any further interruption or interference arising out of the continued use of any damaged machinery without the prior authority of the Company until such machinery shall have been repaired to the satisfaction of the Company.

(d) so far as may be reasonably practicable without causing any increase in the period of interruption or interference take precautions to preserve any things which might prove necessary or useful by way of evidence in connection with any claim.

(e) in the event of a claim being made under this Policy as soon as reasonably practicable at his own expense deliver to the company in writing a statement setting forth particulars of his claim together with details of all other insurances covering the Accident or any part of it or consequential loss of any kind resulting therefrom and at his own expense also produce and furnish to the Company such books of account and other business books such as invoices balance sheets

Machinery Breakdown - Section 13

and other documents proofs information explanation and other evidence as may reasonably be required by the Company for the purpose of investigating or verifying the claim together with if required a statutory declaration of the truth of the claim and of any matters connected therewith.

No claim under this Policy shall be payable unless the terms of this Condition have been complied with and in the event of non-compliance therewith in any respect any payment on account of the claim already made shall be repaid to the Company forthwith.

If any claim be in any respect fraudulent or if any fraudulent means or devices be used by the Insured or anyone acting on his behalf to obtain any benefit under this Policy all benefit under this Policy shall be forfeited.

3. On the happening of any event in respect of which a claim is or may be made under this Policy the Company and every person authorized by the Company may without thereby incurring any liability and without diminishing the right of the Company to rely upon any condition of this Policy enter any building where the loss has happened and may take

possession of or require to be delivered to them any of the Insured Machinery and may keep possession of and deal with such Machinery for all reasonable purposes and in a reasonable manner. This condition shall be evidence of the leave and licence of the Insured to the Company so to do. If the Insured or anyone acting on his behalf shall not comply with the requirements of the Company or shall obstruct the Company during any of the above mentioned acts then all benefits under this Policy shall be forfeited.

4. The Insured shall at the expense of the Company do or permit to be done all such acts and things as may be necessary or reasonably required by the Company for the purpose of enforcing any rights or remedies or obtaining relief or indemnity from other parties to which the Company shall be or would become entitled or subrogated upon its paying for or making good any loss under this Policy whether such acts and things shall be or become necessary or required before or after his indemnification by the Company.

5. If at the time of any Accident resulting in a loss covered by this Policy there shall be any other insurance covering such loss effected by or on behalf of the Insured the Company shall not be liable for more than its rateable proportion of such loss.

6. The Insured shall ensure that the Insured Machinery is maintained in good working order and that it is not habitually or intentionally overloaded and that Government or other regulations relating to the operation and inspection of the Insured Machinery are observed. The Company's officials shall have the right at all reasonable times to inspect and examine any Insured Machinery. Dismantling and reassembling in connection with any examination shall be carried out by the Insured on such date or dates as the Company and the Insured shall mutually agree for the making of such examinations.

7. In the event of an Accident to any Insured Machinery likely to give rise to a claim hereunder the Company shall have the right to take over and control all necessary repairs.

8. The Company may cancel this Policy by sending ten day's notice by registered letter to the Insured at his latest known address and in such event will return to the Insured a proportionate part of the premium corresponding to the unexpired period of insurance.

9. If at any time after commencement of this insurance

- (a) the Business be wound up or carried on by liquidator or receiver or permanently discontinued
- (b) the Insured's interest cease otherwise than by death
- (c) any alteration be made whereby the risk of Accident is increased

- (d) the retention of standby or spare machinery or any other loss minimizing factors in existence when the insurance was effected be reduced, discontinued or not maintained at the Premises in an efficient working condition and available for immediate use.

Machinery Breakdown - Section 13

This Policy shall be voided unless its continuance be admitted by endorsements signed by or on behalf of the Company.

10. All differences arising out of this Policy shall be referred to the arbitration of some person to be appointed by both parties or if they cannot agree upon a single Arbitrator to the decision of two Arbitrators one to be appointed in writing by the Arbitrators before entering on the reference. The Umpire shall sit with the Arbitrators and preside at their meetings and the making of an award shall be a condition precedent to any right of action against the Company. If the Company shall disclaim liability to the Insured or his personal representatives for any claim hereunder and if such claim shall not within twelve calendar months from the date of such disclaimer have been referred to Arbitrator under the provisions herein contained then the claim shall for all purposes be deemed to have been abandoned and shall not thereafter be recoverable hereunder.

11. The due observance and fulfillment of the terms and conditions contained in this Policy or endorsed hereon in so far as they relate to anything to be done or complied with by the Insured and the truth of the statements and answers in the proposal and declaration shall be conditions precedent to any liability of the Company to make any payment under the Policy.

SPECIFICATIONS REFERRED TO IN THE POLICY

The Insurance under Item No. 1 is limited to loss of Gross Profit due to Reduction in Turnover and Increase in Cost of Working and the amount payable as indemnity thereunder shall be:-

(a) IN RESPECT OF REDUCTION IN TURNOVER: the sum produced by applying the Rate of Gross Profit to the amount by which the Turnover during the Indemnity Period shall, in consequence of the Accident, fall short of the Standard Turnover,

(b) IN RESPECT OF INCREASE IN COST OF WORKING: the additional expenditure necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the reduction in Turnover which but for that expenditure would have taken place during the Indemnity Period in consequence of the Accident, but not exceeding the sum produced by applying the Rate of Gross Profit to the amount of the reduction thereby avoided, less any sum saved during the Indemnity Period in respect of such of the charges and expenses of the Business insured under this Item as may cease or be reduced in consequence of the Accident,

Provided that if the Sum Insured by this Item be less than the sum produced by applying the Rate of Gross Profit to the Annual Turnover, the amount payable shall be proportionately reduced.

DEFINITIONS

Accident shall mean sudden and unforeseen damage to the Machinery described in the Schedule from ANY ACCIDENTAL CAUSE not hereinafter excepted.

GROSS PROFIT.-The amount by which the sum of the value of the Turnover and the value of the Closing Stock shall exceed the sum of the value of Opening Stock and the amount of the specified Working Expenses. The values of the Opening and Closing Stocks shall be arrived at in accordance with the Insured's normal accountancy methods, due provision being made for depreciation.

SPECIFIED WORKING EXPENSES (which are not insured by this Policy)

1. 100% of Purchases (less discounts received)
2. 100% of Carriage, Packing and Freight.

The words and expressions used in this Definition shall have the meaning usually attached to them in the books and accounts of the Insured.

Machinery Breakdown - Section 13

TURNOVER. - The Money paid or payable to the Insured for goods sold and delivered and for services

rendered in course of the Business at the Premises.

INDEMNITY PERIOD. - The period beginning with the occurrence of the Accident and ending not later than the period stated in the Schedule during which the results of the Business shall be affected in consequence of the Accident, provided always that the Company shall not be liable for the amount of the loss arising during the exclusion period immediately following the occurrence of the Accident.

RATE OF GROSS PROFIT. - The rate or Gross Profit shall be made as
earned on the Turnover during the financial year
for the trend of
immediately before the date of the Accident
or special

)to which such adjustments
)may be necessary to provide
)the Business and variations in
)circumstances affecting the
Business either
)before or after the Accident or
which would
)have affected the Business had
the Accident

ANNUAL TURNOVER.- The Turnover during the
thus adjusted
twelve months immediately before the date of
may reasonably
the Accident
but for the

)not occurred so that the figures
)shall represent as nearly as
)practicable the results which

STANDARD TURNOVER. - The Turnover during that
obtained during
period immediately before the date of the
Accident.

)accident would have been
)the relative period after the

Accident which corresponds with the Indemnity Period.

MEMO. 1 - If during the Indemnity Period goods shall be sold or services shall be rendered elsewhere than at the Premises for the benefit of the Business either by the Insured or by others on his behalf the money paid or payable in respect of such sales or services shall be brought into account in arriving at the Turnover during the Indemnity Period.

EXCEPTIONS

This policy does not cover any loss resulting from interruption or interference directly or indirectly due to any cause which shall not be a claim in associated Machinery Breakdown Policy as recorded on the Schedule of this Policy.

EXCLUSIONS

This Policy shall not cover any loss resulting from interruption of or interference with the business directly or indirectly attributable to any of the following causes :

1. loss or damage due to fire, direct lightning, chemical explosion, extinguishing of a fire or subsequent demolition, aircraft or other aerial devices or articles dropped therefrom, theft or attempts thereat, collapse of buildings, flood, inundation, earthquake, subsidence, landslide, avalanche, hurricane, cyclone, volcanic eruption or similar natural catastrophes;
2. loss or damage due to the imposition of abnormal conditions directly or indirectly resulting from testing, intentional overloading or experiments;
3. loss or damage for which a supplier, contractor or repairer is responsible either by law or under contract;
4. loss or damage caused by any faults or defects existing at the time of commencement of this policy within the knowledge of the Insured or his representatives, whether such faults or defects were known to the Insurers or not ;
5. loss or damage arising out of the willful act or gross negligence of the Insured or his representatives ;
6. any consequence of war, invasion, act of foreign enemy, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, mutiny, riot, strike, lock-out, civil commotion, military or usurped power, a group of malicious persons or persons acting on behalf of or in connection with any political organization, conspiracy, confiscation, commandeering, requisition or destruction of or damage to property by order of any government de jure or de facto or by any public authority;

Machinery Breakdown - Section 13

7. any consequence of nuclear reaction, nuclear radiation or radio-active contamination ;
8. loss of or damage to

- a) foundations and masonry, unless specifically included and described in the list of machinery and plant insured;
 - b) exchangeable and replaceable parts such as bits, drills, knives, saw blades;
 - c) dies, moulds, patterns, blocks, stamps, punches, coatings or engravings on cylinders and rolls;
 - d) parts which by their use and/or nature suffer a high rate of wear or depreciation such as crushing surfaces, balls, hammers, screens and sleeves, engraved soft metal cylinders, wear plates, elevator and conveyor belts or bands, chains, flexible pipes, jointing and packing materials, filter cloths, parts made of glass, rubber, textile or synthetics, grinding wheels, ropes, belts, straps, cables other than electrical conductors, brushes, batteries, tyres, refractory materials, grate bars, burner jets;
 - e) operating media such as fuels, chemicals, catalysts, filter substances, heat transfer media, cleansing agents, lubricants;
9. repair or replacement necessitated by direct damage due to wear and tear, corrosion, erosion, deposits
of scale, sludge or other sediment, rust or scratching of painted or polished surfaces, or by any other
direct consequences of progressive or continuous influences from working or atmospheric or chemical
action, but the Insurers shall be liable for any loss resulting from interruption or interference caused by
damage arising from such causes and otherwise insured by this Policy;
10. shortage, destruction, deterioration of or damage to raw materials, semi-finished or finished products or other materials required for proper operation, even if the consequence of material damage to an item indicated in the list of machinery and plant insured is involved;
11. any restrictions on reconstruction or operation imposed by any public authority;
12. the Insured not having at his disposal in good time sufficient capital for repairing or replacing destroyed or damaged machinery;
13. loss of or damage to machinery, mechanical installations and their additional installations or other
items which are not listed in the list of machinery and plant insured, even if the
consequence of
material damage to an item indicated in the list of machinery and plant insured is involved;
14. loss of business due to causes such as suspension, lapse or cancellation of a lease, licence or order,
etc. which occurs after the date when the machinery affected by an accident is again in
operating
condition and the business could have been resumed, if said lease, licence or order, etc. had not been
suspended or cancelled.

In any action, suit or other proceeding where the Insured allege that by reason of the provisions of exclusions 3. – 7. Above any loss is not covered by this Policy, the burden of proving that such loss is covered shall be upon the Insured.

TOUR OPERATORS AND/OR TRAVEL AGENTS COMBINED LIABILITY INSURANCE- SECTION 14

General Definitions

1) Business shall include:

- the provision and management of canteen social sports and welfare organisations for the benefit of the Insured's employees and first aid, fire and ambulance services
- the ownership, repair and maintenance of the Insured's premises
- private work for directors, partners or senior officials of the Insured by any Employee of the Insured

2) Injury means death, bodily injury, illness, disease, false arrest, invasion of the right of privacy, detention, false imprisonment, false eviction, discrimination, distress and mental anguish.

3) Damage to Property means physical damage to or loss of or destruction of physical and tangible property.

4) Goods means any product, or any part thereof, manufactured, sold, supplied, repaired, serviced, altered, treated or processed by the Insured in connection with the Business described in the Schedule.

5) Employee means any:

- person under a contract of service or apprenticeship with the Insured
- labour master or labour only sub-contractor or person supplied or employed by them
- Self-employed person
Person hired to or borrowed by the Insured
- Person undertaking study or work experience or youth training scheme

while working for the Insured in connection with the business.

6) Insured means:

- The person, persons or corporate body named in the Schedule.

Section 1

Public/Product Liability Insurance

Insurers will indemnify the Insured against all sums which the Insured shall become legally liable to pay as damages consequent upon:

- Accidental Injury to any person • Accidental Damage to Property occurring during the Period

Insurance, in connection with the Business and happening anywhere within the Territorial Limits.

The Liability of insurers for compensation in respect of all claims arising out of one source or original cause shall not exceed the Limit of Liability specified in the Schedule except that where the Injury or Damage is caused by Goods as defined the liability of insurers shall not exceed the limit of liability specified in the Schedule in any one Period of Insurance.

Costs and Expenses

In respect of a claim for which indemnity is provided insurers will indemnify the Insured against all other costs and expenses incurred with their written consent, including such costs incurred for representation in any proceedings in a court or similar forum arising out of any death or alleged breach of statutory duty the circumstances of which may be the subject of indemnity hereunder,

- In addition to the limit of liability in respect of claims made against the Insured other than in the United States of America and/or Canada
- In diminution of the limit of Liability in respect of claims made against the Insured in the

TOURS OPERATORS – Section 14

Exclusions

Insurers shall not be liable in respect of:

- 1) Injury to any Employee arising out of or in the course of employment by the Insured in the business.
- 2) Damage to property belonging to or in the care, custody or control of the Insured or any employee, other than property belonging to an employee or visitor but this exclusion shall not apply to baggage belonging to clients or customers of the insured.
- 3) Injury or Damage to Property:
 - Arising out of the ownership, possession or use by or on behalf of the Insured of any mechanically propelled vehicle when such vehicle is being used in circumstances which would require insurance or security to be effected by reason of any road traffic legislation or regulation
 - Caused by any craft designed to travel in or through air, space or water other than hand-propelled water craft but this exclusion shall not apply in respect of liability attaching to the Insured by virtue of the action or omission of any supplier of services in connection with a contract with a consumer provided that the vehicle or craft is not under the ownership or control of the Insured.
- 4) Liability which attaches by virtue of an agreement but would not have attached in the absence of such agreement.
- 5) The amount of the excess specified in the Schedule.
- 6) Liability arising out of the ownership, occupation or management by the Insured of any premises outside Zimbabwe
- 7) Where the Injury or Damage is caused by Goods as defined, Insurers shall not be liable in respect of:
 - Any loss, cost or expense incurred in replacing, repairing, recalling, reconditioning or modifying the Goods, or any part thereof
 - Any refund or repayment of the purchase price or any part thereof in respect of the Goods
 - Liability arising from design, specification, instructions or advice provided other than as part of the Insured's contract for the manufacture, sale, supply, repair, service, alteration, treatment or processing of the Goods
 - Any liability arising out of any Goods which are incorporated into the structure, machinery or controls of any aircraft

Extensions

1. Tenant's Liability

Exclusion 2 shall not apply to liability for Damage to premises including fixtures or fittings leased or rented to the Insured; provided that this extension shall not apply to:

- liability assumed by the Insured under a tenancy or other agreement which would not have attached in the absence of such agreement

2. Car Parks

Exclusion 2 shall not apply in respect of liability for Damage to visitors' and/or employees' motor vehicles (including contents and/or accessories) whilst within any car park for which the Insured is responsible, provided that:

- Such vehicle is not lent or hired to the Insured
- If any charge be made for the parking of the vehicles a ticket bearing a disclaimer of liability shall be issued to every person paying such charge
- This extension shall not apply to loss or damage due to the driving of any vehicle by any employee of the Insured

3. Contingent Motor Liability

Notwithstanding Exclusion 3 Insurers will indemnify the Insured named in the Schedule in respect of legal liability for Injury or Damage caused by or arising from any motor vehicle not belonging to or provided by the Insured being used in the course of the Business, except that Insurers shall not provide indemnity against liability:

- In respect of damage to any such vehicle
- For which indemnity is provided by any other insurance
- Caused or arising whilst such vehicle is:

TOURS OPERATORS – Sections 14

- Engaged in racing, pace-making, reliability trials or speed testing
- Being driven by the Insured
- Being driven with the general consent of the Insured or of his representative by any person who to the knowledge of the Insured or such representative does not hold a licence to drive such vehicle unless such person has held and is not disqualified from holding or obtaining such a licence
- Being used outside Zimbabwe

4) Emergency Assistance

Insurers will indemnify the Insured in respect of costs and expenses incurred by the Insured in providing emergency assistance to any customer or in the event of the death of the customer the customer's legal representatives where such customer:

- Suffers Injury arising out of an activity which does not form part of a package travel arrangement or an excursion or other service sold or supplied by the Insured in connection herewith
- And such Injury has resulted other than through fault on the part of the Insured, his agents or authorised representatives

Provided that:

- The indemnity shall not apply in respect of any solicitors' or other legal costs or expenses incurred without Insurers' prior consent
- The indemnity shall not apply to the first sum payable? ... in respect of any one customer

or the first sum payable? in respect of all customers on any one Booking Form, whichever is the less

- Insurers shall be entitled to take over and prosecute for their own benefit any claim for the recovery of any sums which have been paid under the terms of this Extension against any person including the customer or in the event of the death of the customer his legal personal representatives and the Insured shall give all information and assistance required

The liability of insurers under this Extension for all sums payable by the Insured in respect of costs and expenses incurred in respect of all customers on anyone Booking Form shall not exceed the sum of.....

EMPLOYERS' LIABILITY INSURANCE – Section 15

Insurers agree that if any Employee shall while employed in or temporarily outside Zimbabwe sustain Injury caused during the Period of Insurance and arising out of and in the course of his employment by the Insured in the Business described in the Schedule, Insurers will subject to the terms and provisions contained herein or endorsed hereon indemnify the Insured against liability at law for damages and claimant's costs and expenses in respect of such Injury provided that in respect of Injury sustained by an Employee while temporarily employed outside Zimbabwe the action for damages is brought against the Insured in a Court of law in Zimbabwe.

Payment of other costs and expenses

Insurers will also pay:

- All other costs and expenses incurred with their consent in connection with any claim covered by this insurance
- The Solicitor's fees for representation of the Insured at:
 - Any coroner's inquest or inquiry in respect of any death
 - Proceedings in any court of summary jurisdiction arising out of any alleged breach of a statutory duty resulting in Injury

Incurred with their written consent and which may be the subject of indemnity under this insurance.

Limit of Liability

The liability of Insurers under this Section for any compensation costs and expenses in respect of any one occurrence or series of occurrences arising out of any one cause shall not exceed the Limit of Liability stated in the Schedule.

Exception

The indemnity provided by this section will not apply to liability in respect of which compulsory insurance or security is required under any road traffic legislation within Zimbabwe.

Compulsory Insurance Clause

The indemnity provided by this insurance is deemed to be in accordance with the provisions of any law relating to compulsory insurance of liability to employees in Zimbabwe. But the Insured shall repay to insurers all sums paid by Insurers that Insurers would not have been liable to pay but for the provision of such law.

Subject otherwise to the general terms, conditions and definitions of the insurance, but it is noted that General Conditions 1 and 2 are not applicable to Employers' Liability Insurance.

Overseas Contingent Employers' Liability

i.

PUBLIC LIABILITY AND PRODUCTS LIABILITY POLICY (CLAIMS MADE BASIS OF LIABILITY) -

The Insured by providing certain information, which shall be the basis of and incorporated in this contract has applied to the Zimnat Lion Insurance Company (the Company) for this insurance and has paid the premium.

The Company will subject to the terms of conditions of and endorsements to this Policy indemnify the Insured against all sums, which the insured becomes legally liable to pay as damages in respect of:

1. bodily injury (including death or disease) to any person
2. loss of or damage to property

arising out of claims first made in writing against the Insured during the Period of Insurance as a result of an accident which happened within the Geographical Limits after the Retroactive Date shown in the Schedule in connection with the Business.

The company will also pay Legal costs and Other Expenses.

EMPLOYERS' LIABILITY INSURANCE – Section 15

LIMIT OF INDEMNITY

The liability of the Company for all damages legal costs and other expenses payable

- (a) as a result of any accident or of any series of claims arising directly or indirectly from one source or original cause shall not exceed the sum specified in the Schedule as the Limit of Indemnity.
- (b) in respect of Products Liability for all claims made during any one Period of Insurance shall not exceed the sum specified in the Schedule as the Limit of Indemnity in any one Period of Insurance.

GEOGRAPHICAL LIMITS

Anywhere in Zimbabwe.

EXCLUSIONS

The Company will not indemnify the Insured in respect of liability consequent upon:

1. Injury to any person employed under a contract of service or apprenticeship with the Insured if such injury arises out of and in the course of the employment or to members of the Insured's family.
2. Loss of or damage to property belonging to or held in trust by or in the custody or control of the Insured or any employee or agent of the Insured.
3. Any agreement by which the Insured has contracted to pay any sum by way of indemnity or otherwise unless such liability would have attached to the Insured in the absence of such agreement.
4. Injury loss of or damage directly or indirectly caused by vibration, subsidence or by the removal or weakening of or interference with support to property land or buildings.

5. Injury loss or damage directly or indirectly caused by
 - (a) Professional remedial or other advice or treatment given or administered by the Insured or by any employee or agent of the insured.
 - (b) Any goods or products constructed manufactured sold supplied distributed altered repaired serviced or treated by the Insured (after they have ceased to be in the possession of the Insured).
6. Injury loss or damage directly or indirectly caused by the ownership, possession or use by or on behalf of the Insured of any mechanically propelled vehicle or any trailer or any aircraft or watercraft. Provided that this exception shall not relieve the Company of liability to indemnify the Insured against damages payable for bodily injury or damage to property caused or arising beyond the limits of any carriageway or thoroughfare in connection with the loading or the unloading of any vehicle insofar as such injury or damage is not insured by any other insurance policy.
7. Loss of or damage to any property directly or indirectly caused by the explosion of any boiler, economiser, plant, vessel or equipment subject to internal pressure by steam (other than domestic boilers and cooking vessels)
8. Loss of or damage to that part of any property on which the Insured or any employee or agent of the Insured is or has been working and arising directly from such work.
9. Any injury loss or damage occurring after the completion and handing over of any work and caused by or resulting from any defect error or omission, whether in execution, materials or otherwise.

EMPLOYERS' LIABILITY INSURANCE – Section 15

10. War, invasion, acts of foreign enemy, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection or military or usurped power, whether direct or indirect.
11. Any injury, loss or damage directly or indirectly caused by or contributed to by or arising from:
 - (i) Ionising radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel. For the purpose of this exclusion only shall include any self-sustaining process of nuclear fission.
 - (ii) Nuclear weapons material
12. Fines, penalties, punitive, exemplary or treble damages or any other damages resulting from the multiplication of compensatory damages.
13. Claims made as a result of an accident which happened prior to the Retroactive Date.

14. The indemnity provided herein shall not apply to:

- (i) compensation for damages in respect of judgements not in the first instance delivered by or obtained from a Court of competent jurisdiction within Zimbabwe;
- (ii) Costs and expenses of litigation recovered by any claimant from the Insured which are not incurred in and recoverable in Zimbabwe.

SPECIAL EXCLUSIONS

1. INDUSTRIAL DISEASES

This Policy shall not provide cover in respect of legal liability for Disease or any Impairment attributable to a gradually operating cause, which does not arise from a sudden and identifiable accident or loss event.

2. GRADUAL POLLUTION

This Policy excludes liability arising out of the discharge dispersal, release or escape of smoke, vapours, soot fumes, acids, alkalis, toxic chemicals, liquids or gasses, waste materials or other irritants, contaminants or pollutants into upon land, the atmosphere or any water course or body of water, but this exclusion does not apply if such discharge, dispersal, release or escape is sudden and accidental.

3. CURRENCY CLAUSE

All sums of money mentioned in this policy are deemed to be in the currency of Zimbabwe.

EMPLOYERS' LIABILITY INSURANCE – Section 15

DEFINITIONS

1. BUSINESS

The term "Business" shall include

- (a) the provision and management of canteen social sports and welfare organisations for the benefit of employees
- (b) first aid fire and ambulance services
- (c) private work carried out by an Employee for the Insured or any director partner or senior official of the Insured

2. EMPLOYEE

The term "Employee" shall include

- (a) any person under a contract of service or apprenticeship with
 - (i) the Insured
 - (ii) any other party and who is borrowed by or hired to the Insured
- (b) any labour master or person supplied by such labour master
- (c) any person supplied by a labour only subcontractor
- (d) any self-employed person working for the Insured
- (e) any person supplied to the Insured under a contract or agreement the terms of which deem such person to be in the employment of the Insured for the duration of such contract or agreement

3 INSURED

- (a) any party for whom the Insured is carrying out a contract away from the Insured's own premises but only to the extent required by such contract
- (b) at the request of the Insured
 - (i) any director partner or Employee of the Insured in respect of liability for which the Insured would have been entitled to claim under this insurance if the claim had been made against the Insured
 - (ii) any officer or member. of the. Insured's. canteen social sports. Or welfare organisations first aid fire or ambulance service in his or her respective capacity as such
- (c) In the event of the death of the Insured any personal representative of the Insured in respect of liability incurred by the Insured

4 REPLACEMENT COSTS

The term "Replacement Costs" shall mean the cost of repair alteration or replacement of the Products and the term shall include the cost of demolition breaking out dismantling delivery rebuilding supply and installation of the Products and any other property (unless physically damaged by the Products) essential to such repair alteration or replacement

5 LEGAL COSTS AND OTHER EXPENSES

The term "Legal Costs and Other Expenses" shall mean legal costs and expenses recoverable by any claimant and all costs and expenses incurred with the written consent of the Company.

OPTIONAL INSURING AGREEMENTS

Contractual Liability. (if stated in the schedule to apply)

This Policy extends to cover the liability (as herein defined) of the Insured in terms of contracts into by them and as specified in the Schedule.

Explosion Liability. (if stated in the schedule to apply)

In consideration of an additional premium charged hereon Exclusion 7 of this Policy is deleted and the Policy extends to cover the liability (as herein defined) caused by Explosion.

EMPLOYERS' LIABILITY INSURANCE – Section 15

Defective Workmanship Liability. (if stated in the schedule to apply)

Printed exclusion 9 of this Policy is cancelled and this Policy extends to include legal liability (as herein defined) arising out of or caused by faulty workmanship on the part of the Insured

or any employee of the Insured or any person acting on his behalf. **PROVIDED THAT** the liability of the Company for all claims in respect of or arising out of all occurrences of a series consequent upon or attributable to one source or original cause or any number of causes happening in any one period of insurance shall not exceed the limit stated in the schedule.

Products Liability. (if stated in the schedule to apply)

This Policy extends to indemnify the Insured in respect of legal liability for injury or damage (as herein defined) arising out of any defect in goods or products manufactured, constructed, sold, supplied or distributed by the Insured in the course of their business or by the defective condition of the container of such products.

Wrongful Arrest and Defamation (if stated in the schedule to apply)

The Company will indemnify the Insured for damages be becomes legally liable to pay in respect of a claim or claims first made against the Insured in writing during the period of insurance following the wrongful arrest (including assault in connection therewith) of any person the defamation of any person but limited for anyone event or series of events with one original cause or source and in all during any twelve consecutive months of insurance(calculated from the inception of this policy) for each of (a) and (b) inclusive or legal costs recoverable from the Insured by a claimant and other costs and expenses incurred with the Company's consent to the sum stated in the schedule.

Incidental Medical Malpractice Liability (if stated in the schedule to apply)

It is agreed that:

1. This policy also applies to all sums, which the Insured shall become legally obligated to pay because of:
 - A. Injury, sickness, or disease, including death at any time resulting there from sustained by any person, whether or not engaged in the employment of the insured, or
 - B. Injury to or destruction of property, including the loss of use thereof

For any claims made resulting from an occurrence and arising out of malpractice, error or mistake committed (1) in rendering or failing to render medical, dental, surgical, nursing or veterinarian service or treatment, or (2) in the preparation, compounding, sale, furnishing or use of any drugs, medicines or other articles in connection with such service or treatment, provided that the claim is first made against an insured during the policy period.

It is agreed this policy shall not apply to any claims for damages arising out of occurrences, which commenced prior to the retroactive date of this policy 01 January 2003. In order for an occurrence to be covered under this claims made endorsement, the occurrence must commence after the retroactive date, but before the end of our policy period, and the claim must be made during the policy period.

2. The insured shall give written notice in accordance with the notice of accident, claim or suit condition of the policy,
(as amended), upon becoming aware of any claim or allegation of malpractice, error or mistake.
3. This insurance does not apply (A) to any obligation for which the Insured or any Company as his insurer may be held
liable under any Worker's Compensation law, unemployment compensation or disability benefits law, or under any

similar law, or (B) to bodily injury, sickness, disease or death of any person to or for which benefits or damages on account thereof are payable under any valid and collectible voluntary compensation or employer's liability insurance available to the Insured.

4. Exclusion 5(a) of the Commercial General Liability Insurance shall not apply to this endorsement.

EMPLOYERS' LIABILITY INSURANCE – Section 15

5. At the request of any executive officer of the Named Insured before or after an occurrence, this policy shall be extended to include as an additional insured with respects to the insurance afforded by this endorsement.

(A) Nurses, and other personnel employed by the Named Insured.

(B) Any other person or organisation with respect to the use by or under the control of such person organisation of any drug, medicine or other article furnished by the Named Insured in connection with any research, clinical evaluation, testing program or other similar activity. The insurance afforded by this endorsement as to any non-employee, shall be excess insurance over any other valid and collectible insurance.

PROVIDED ALWAYS that the Company will not indemnify the Insured in respect of liability for:
(a) Products sold supplied repaired altered treated or installed by the Insured on terms less favourable to the Insured than under the ordinary process of law governing their sale supply repair alteration treatment or installation.

(b) Products obtained by the Insured on terms which prevent the Insured exercising rights of recovery under the ordinary process of law against the supplier or any other party.

(c) The failure of a Product or part thereof to perform the function for which it was intended.

(d) Doing or re-doing or making good any work which the Insured has contracted to do.

(e) Loss of or damage to the Products.

(f) The Replacement Costs of the Products (**see DEFINITIONS**)

- (G) Any refund of the payment received for the Products.
- (h) Any Product outside the classes or types of products normally associated with the business.
- (i) The cost of recalling any defective or potentially defective Product supplied.
- (j) Defective design, specification or formula of any Product or instructions supplied with the Product.

SPECIFIC EXCEPTION

The cover provided herein shall not and is not intended to provide insurance for products supplied to the United States of America and Canada.

And the Company shall not be liable in respect of any claims caused by any defect in any goods, or products (including containers and labels) manufactured, constructed, altered, repaired, serviced, handled, treated, sold or supplied by the Insured in connection with the business:

- (a) within the United States of America and Canada their territories or possessions or
- (b) outside the United States of America and Canada their territories or possessions if to the Insured's knowledge such products have been or will be supplied to a person, company, or organisation within these territories whether or not in their original form.

EMPLOYERS' LIABILITY INSURANCE – Section 15

5. Tenants Liability.

This Policy extends to include all sums for which the insured shall become legally liable to pay to the owners of the buildings occupied by the Insured respect of loss or damage caused by Fire or Explosion to that portion of the said buildings occupied by the Insured as Tenant and provided that the legal liability devolving upon the Insured arises only by virtue of his occupation as Tenant.

PROVIDED THAT the limit of liability under this extension shall not exceed the sum stated in the Schedule.

CONDITIONS

- | | |
|--------------------------|---|
| 1. INTERPRETATION | Any word or expression to which a specific meaning has been attached in any part of this Policy or Schedule shall bear such meaning wherever it may appear |
| 2. PRECAUTIONS | <p>The Insured shall take and cause to be taken all reasonable precautions to</p> <p>(a) prevent bodily injury and loss or damage to property and the sale or</p> |

supply of products which are defective in any way

- (b) comply with all statutory obligations and regulations imposed by any authority

3. ALTERATIONS

The Insured shall give immediate notice to the Company of any alteration which materially affects the risk and until the Company has agreed in writing to accept liability for such altered risk the Company shall not be liable in respect of any injury or damage due exclusively or in part to any such alteration

4. POTENTIAL CLAIMS

The Insured shall give written notice to the Company of any accident which has the potential to produce future claims immediately the same shall have come to the knowledge of the Insured or his representative. Upon receipt of such written notice the Company will treat all claims first made in writing against the Insured during the 36 months following notification of such accident to the Company by the Insured as if they had been first made on the same day that the Insured notified the Company of the accident.

5. CLAIMS

- (a) The Insured shall give written notice to the Company of any claim or claims immediately the same shall have come to the knowledge of the Insured or his or her representative

- (b) The Insured shall not admit liability for or negotiate the settlement of any claim without the written consent of the Company which shall be entitled to conduct in the name of the Insured the defence or settlement of any claim or to prosecute for its own benefit any claim for indemnity or damages or otherwise and shall have full discretion in the conduct of any proceedings and in the settlement of any claim and the Insured shall give all such information and assistance as the Company may require.

- (c) If the Company is required to indemnify more than one party named in Definition 3 (INSURED) the liability of the Company for all damages payable shall not exceed in all the Limit of Indemnity

-) In connection with any one claim or number of claims made in any one Period of Insurance the Company may at any time pay to the Insured the amount of the Limit of Indemnity (after deduction of any

sum or sums already paid as compensation) or any less amount for which such claim or claims can be settled and thereafter the Company shall be under no further liability under this Policy in connection with such claim or claims

6. CANCELLATION

The Company may cancel this Policy by sending thirty days' notice by registered letter to the Insured at the last known address and shall return to the Insured the premium less the prorata portion thereof for the period the Policy has been in force subject to adjustment under Condition 7

7. ADJUSTMENT

If any part of the Premium is calculated on estimates the insured shall within one month from the expiry of each Period of Insurance furnish

- such details as the Company may require and the premium for such period shall be adjusted subject to any Minimum Premium
- 8. OTHER INSURANCES** If an indemnity is or would but for the existence of this insurance be granted by any other insurance the Company shall not provide indemnity except in respect of any excess beyond the amount which is or would but for the existence of this insurance be payable.
- 9. OBSERVANCE** The liability of the Company shall be conditional on the observance by the Insured of the terms conditions and endorsements of this Policy
- 10. ARBITRATION** Should any difference arise between the Company and the Insured as to the amount of any claim under this Policy the same shall be referred to arbitration in accordance with the Statutory Provisions for the time being in force applicable thereto, and the obtaining of any award shall be a condition precedent to any right of action against the Company
- 11. SERIES OF CLAIMS CONSEQUENT ON ONE ORIGINAL CAUSE** All claims first made against the Insured in writing within a period of 36 months from the day that the initial claim was first made in writing against the Insured which are consequent upon one original cause shall be treated as if they had all been made on the day the initial claim was first made in writing against the insured.

EXTENSIONS

1. Exclusion 6 shall not apply whilst any mechanically propelled vehicle or plant forming part of such vehicle or attached thereto is being used as a tool of trade. Provided that the Company shall not be liable hereunder in respect of so much of any compensation or claim as falls within the scope of any motor vehicle insurance policy which the Insured is by law required to effect notwithstanding that no such insurance is in force or has been effected.
2. The Indemnity granted by this Policy is extended to include the Insured's legal liability (as herein defined) to Tenants and or Employees in respect of damage to motor vehicles at any of the Insured's Premises where parking facilities are provided by the Insured.
3. The Indemnity granted by this Policy is extended to include the Insured's legal liability (as herein defined):
 - (a) Arising out of first aid treatment rendered by the insured or any of his employees to members of the public.
 - (b) In respect of food and/or drink supplied at the Insured's premises.
4. If applicable, as between more than one Insured covered hereunder, this Policy applies to each Insured (and to Directors and/or Employees) as if a separate policy had been issued to each of them, and the Company waives all rights of subrogation or action which they may have or acquire against any of the Insured. Provided, however, that

EMPLOYERS' LIABILITY INSURANCE – Section 15

the aggregate liability of the Company shall not be increased beyond the Limits of Indemnity stated in the Schedule in respect of any occurrence arising directly from one source or original cause.

5. In the event of the Company canceling this Policy or not inviting renewal or refusing to accept the premium for renewal of this Policy the Company will provide indemnity in respect of claims
 - (a) arising out of accidental injury or accidental damage (as herein defined) happening during any Period of Insurance and
 - (b) made against the Insured and notified to the Company during the twenty four calendar months immediately following the Period of Insurance as if the claims had been made against the Insured and notified to the Company during the Period of Insurance.

Provided that:

- (i) the indemnity will not apply where indemnity is provided by any other insurance
 - (ii) the total amount payable by the Company for claims made during the Period of Insurance and under the terms of this Extension shall not exceed the Limit of Indemnity.

PREAMBLE

Whereas the Policyholder named in the Schedule has applied to Zimnat Lion Insurance Company Limited (hereinafter called The Company) for the insurance herein contained, The Company agrees subject to: -

- 1) Any proposal or other information supplied by or on behalf of the Policyholder
 - 1.1 Disclosing all facts and circumstances known to the Policyholder that are material to the assessment of risk insured hereby, and
 - 1.2 Forming the basis of this insurance
- to grant such insurance to the Policyholder subject to the terms, conditions, provisos and exclusions set out in this Policy or as contained in any endorsement that may be issued.

OPERATIVE CLAUSE

Notwithstanding anything to the contrary set out in the Policy or any Section thereof The Company's agreement to insure and indemnify the Policyholder is conditional upon the payment of the premium by or on behalf of the Policyholder and the receipt thereof by or on behalf of The Company. Premium is payable on or before the inception date or renewal date as the case may be, but no later than 60 (sixty) days following the inception or renewal date and The Company shall not be liable for any claim arising under this Policy prior to receipt of the premium. The Company shall not be obliged to accept premium tendered to it or to any intermediary after such date, but may do so upon such terms as it in its sole discretion may determine.

SCOPE OF INSURANCE

In the event of an Insured Person sustaining Bodily Injury caused by an Accident during the Period of Insurance and such Accident is the sole and direct cause of death or disablement the Company will in respect of such Bodily Injury pay the Benefit provided for in the Schedule of Benefits but subject to the Scale of Benefits listed herein.

GROUP PERSONAL ACCIDENT POLICY – Section 16

SCHEDULE OF BENEFITS					
INSURED PERSON	SCOPE OF COVER	<u>DEATH</u>	PERMANENT TOTAL DISABLEMENT	TEMPORARY TOTAL DISABLEMENT	<u>MEDICAL EXPENSES</u>
Category 1		A sum insured equal to times the weekly earnings	A sum insured equal to a % of times the weekly earnings as set out in the Benefit Description below	Up to a maximum period of weeks	
Category 2 NR		A sum insured equal to times the weekly earnings	A sum insured equal to a % of times the weekly earnings as set out in the Benefit Description below	Up to a maximum period of Nil weeks	
Category 3 NR		A sum insured equal to times the weekly earnings	A sum insured equal to a % of times the weekly earnings as set out in the Benefit Description below	Up to a maximum period of Nil weeks	
Category 4 NR		A sum insured equal to times the weekly earnings	A sum insured equal to a % of times the weekly earnings as set out in the Benefit Description below	Up to a maximum period of Nil weeks	
Scale of Benefits					Sum Insured
Death					
Death as a result of an Accident					100%
Disappearance of an Insured Person for a period longer than 24 consecutive months					100%
Death as a direct result of Exposure to the elements of nature					100%
Permanent Total Disablement					
Permanent Total Disablement as a result of an Accident preventing the Insured Person from engaging in or giving attention to his usual occupation for a period exceeding 24 consecutive months and which will in all probability continue for life					100%

Schedule of Permanent Disabilities	
Head	
Aperture unfilled with bone under 3 square centimeters without brain injury	25%
Aperture unfilled with bone over 9 square centimeters without brain injury	75%
Severe paralysis of both upper or lower extremities or one upper and one lower extremity	100%

Moderate paralysis of two extremities producing moderate difficulty in movement with self-care activities.	50%
Slight paralysis affecting one extremity producing slight difficulty with self care activities	20%
Severe mental disorder or severe complex cerebral function disturbance post-traumatic psychoneurosis which require aid and attendance as to render an Insured Person permanently unable to perform any work occupation	100%
Moderate mental disorder or moderate brain functional disturbances which limit an Insured Person to the activities of daily living with some directed care or attendance	50%
Mental disorder or disturbance that requires little attendance or aid and which interferes with the working capacity of the Claimant.	20%
Complete and Incurable Insanity	100%
Face	
Severe disfigurement of the face or head that handicaps the Insured Person in securing or retaining employment	80%
Moderate facial disfigurement involving partial ablation of the nose with big scars on face or head	60%
Partial ablation of the nose or partial avulsion of the scalp	3.75%
Complete loss of the power of mastication and speech function	100%
Moderate constriction of the jaw resulting in moderate degree of difficulty in chewing and moderate loss of the power of expression of speech.	50%
Slight disorder of mastication and speech function due to traumatic injuries	10%
Eyes	
Complete and irrecoverable loss of sight in both eyes	100%
Complete and irrecoverable loss of sight in one eye and 50% loss of sight in the other eye	60%
Complete and irrecoverable loss of sight in one eye	40%
50% loss of sight of one eye	20%
Lage pthalmos of one eye	10%
Ectropion of one eye	10%
Ephyphore of one eye	10%
Ptosis of one eye	10%
NOTE:(Snellen scale - used to grade for near and distant vision)	
Nose and Mouth	
Considerable stricture of the nose (both sides) hindering breathing	15%
Injuries to the palate causing defective speech	20%
Loss of three or more teeth restored by prosthesis	3.75%
Ears	
Complete and irrecoverable loss of hearing in both ears	75%
Complete and irrecoverable loss of hearing in one ear	15%
Partial and irrecoverable loss of hearing in one ear	50%
Loss of both outer ears	35%
Loss of one outer ear	10%
Loss of 1/2 an outer ear	3.75%

Neck	
Such injury to the throat as necessitates the wearing of a tracheal tube	50%
Loss of speech due to injury to the vocal cord	25%
Total stiffness of neck due to fracture or dislocation of the cervical spine	35%
Moderate stiffness or two thirds loss of motion of the neck	20%
Slight stiffness of neck or one third loss of motion	10%
Pelvis	

Fracture of the pelvic rings as to totally incapacitate an Insured Person in performing any occupation	100%
Fracture of the pelvis resulting in deformity and lameness	50%
Chest/Trunk/Spine	
Fracture of four or more ribs with intercostal neuralgia resulting in moderate limitation of chest expansion	25%
Slight limitation of chest expansion due to simple rib fracture without myocitis or intercostal neuralgia	10%
Fracture of the dorsal or lumbar spine resulting in severe or total rigidity of the trunk or total loss of lifting power	50%
Moderate rigidity or two thirds loss of motion of lifting power of the trunk	35%
Slight rigidity or one third loss of motion of lifting power of the trunk	15%
Injury to the spinal cord as to make walking impossible without the aid of a pair of crutches	70%
Injury to the spinal cord as to make walking impossible even with the aid of a pair of crutches	100%
Injury to the spinal cord resulting in incontinence of urine and/ or feces	100%
Abdomen	
Loss of the spleen	35%
Loss of one kidney	40%
Severe impairment of intra-abdominal organs which requires regular aid and attendance that will prevent an Insured Person seeking any gainful employment.	100%
Moderate disorder of the intra-abdominal organs secondary to trauma resulting in impairment of nutrition, moderate tenderness, nausea, vomiting, constipation or diahorrea	10%
Inguinal hernia secondary to trauma or strain	10%
Urinary and Genital Organs	
Total loss of penis	40%
Total loss of both testicles	40%
Total loss of one testicle	15%
Scars on the penis or dysfunction of parts of the cadfous body or urethra interfering with erection or markedly affecting coitus	25%
Loss of both breasts	50%
Loss of one breast	15%
Prolapse of the uterus	50%
Great difficulty in urinating	7.5%
Incontinence of urine	20%
Hands	
Total loss of use of both hands or amputation of both hands at wrist joints or above	100%
Amputation of a hand at crop-metacarpal joints	60%
Amputation between wrist and elbow joint	60%
Loss of grasping power for small objects between the fold of the finger of one hand	35%
Loss of grasping power for large objects between fingers of one hand	20%
Loss of opposition between the thumb and tips of the fingers of one hand	25%
Ankylosed wrist in normal position fixation of joint	20%
Ankylosed wrist in position one third flexed or half extended and/or severe limited action of a wrist	15%
Thumbs and Fingers	
Total loss of one thumb including metacarpal bone	40%
Total loss of one thumb	35%
Total loss of one index finger including metacarpal bone	20%
Total loss of one index finger	15%

Total loss of one middle finger including metacarpal bone	15%
Total loss of one middle finger	10%
Total loss of one ring finger including metacarpal bone	10%
Total loss of one ring finger	7.5%
Total loss of one small finger including metacarpal bone	7.5%
Total loss of one small finger	10%
Loss of two or more fingers	15%
Loss of five fingers of one hand	50%
Loss of the thumb, index fingers and any of two or more fingers of the same hand	50%
Loss of the thumb, index finger and any one of the remaining fingers of the same hand	40%
Loss of the thumb and index finger	35%
Loss of three fingers of one hand not including thumb and index finger	25%
Loss of the index finger and any one hand not including thumb and index finger	25%
Loss of two digits of one hand not including thumb and index finger	15%
Loss of ten fingers of both hands	75%
Shoulder and Arm	
Inability to turn forearm (forearm in normal position - supination) up	15%
Inability to turn forearm (forearm in abnormal position-pronation) down	20%
Disturbance of the normal carrying angle or weakness of an arm or a forearm due to deformity of moderate atrophy of muscles	15%
Stiff elbow at full flexion or extension (one side)	40%
Stiff elbow at right angle flexion	35%
Flail elbow joint fracture	25%
Pseudoarthrosis of the humerus with musculospiral or radial paralysis	50%
Ankylosis of one shoulder, the shoulder blade remaining mobile	25%
Ankylosis of one shoulder, the shoulder blade remaining rigid	35%
Unreduced dislocation of one shoulder	35%
Ruptured biceps or pseudoarthrosis of the humerus	35%
Inability to raise arm more than halfway from horizontal to perpendicular	15%
Ankylosis of the shoulder joint not permitting arm to be raised above shoulder level and/or irreducible fracture of faulty union of collar bone	20%
Total paralysis of both upper extremities	100%
Total paralysis of one upper extremity	75%
Amputation of one upper extremity at or above the elbow	70%
Scar the size of a palm in surface area of one extremity	3.75%

Legs and Toes	
Loss of both feet	100%
Loss of one foot	50%
Loss of toe of either foot : a) all on one foot	15%
b) great - both joints	5%
c) great - one joint	3%
d) other than great - each toe	1%
Fracture of leg or patella with established non - union	10%
Shortening of leg by 5 centimeters	7.5%
Permanent Disability not otherwise provided for under any one of the schedule of permanent disabilities above up to a maximum of	15%

SPECIFIC PROVISOS

1. Benefit shall not be payable in respect of an Insured Person:-

- a) for Permanent Total Disablement except on proof satisfactory to The Company that the disablement will in all probability continue for the remainder of an Insured Person's life;
- b) for more than 100% of the Sum Insured when more than one injury occurs arising out of the same Accident;
- c) under more than one category for more than 100% of the Sum Insured as stated in the Schedule of Benefits.

The Benefit payable shall be the highest within the appropriate category.

- 2. Should the Insured Person be Permanently Disabled as a result of an Accident, a Benefit (lump sum) will be paid and all cover in respect of such Insured Person shall cease.
- 3. The Benefit will be subject to the Scale of Benefits as noted herein.
- 4. The degree of Permanent Disablement will be determined immediately it is established or as soon as it can reasonably be assumed that there will be no further improvement or worsening of the Insured Person's condition in consequence of the Accident, but not later than 24 months from the Date of Loss.

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- 5. Should the consequences of an Accident be aggravated owing to an Insured Person's existing ailment, infirmity or other abnormal physical or mental condition, determination of the benefit will be based on the consequences the Accident would have had had such defects not existed. The foregoing shall not apply, however, if such circumstances are a consequence of an earlier accident to the Insured Person, for which benefit has been or still has to be paid under the insurance.
- 6. If the Insured Person's existing Permanent Disablement is aggravated by an Accident, the benefit may be claimed equivalent only to a percentage of the amount insured for Permanent Disablement pro rata to the difference in the degree of Permanent Disablement before and after the Accident. The degree of disablement before the Accident will be determined in accordance with specific proviso 4.
- 7. In the event of an Insured Person dying of natural causes prior to the final disability assessment relating to an insured Accident. The Company will pay what reasonably would have had to be paid for such permanent disability in accordance

With specific provisos 1,2 and 3 above.

DEFINITIONS APPLICABLE

"Accident/s" shall mean a sudden, external, unexpected, unusual and specific event, which occurs at an identifiable time and place, and shall include direct and unavoidable results of exposure to the elements.

"Accumulation Limit" shall mean the maximum liability of The Company under this Policy in respect of any one accident or number of accidents arising from one source or cause.

"AIDS" means an opportunistic infection or a malignant neoplasm. For the purpose of this definition the term "Acquired Immune Deficiency Syndrome" shall have the meaning assigned to it by the World Health Organisation. Opportunistic infection shall include but not be limited to Pneumonia Carini, the organism of chronic enteritis virus and / or disseminated fungal infections. Malignant Neoplasm shall include but not be limited to Kaposi's Sarcoma, lymphoma of the central nervous system and or other malignancies now known or which became known as immediate causes of Death or Illness in the presence of Acquired Immune Deficiency Syndrome. Acquired Immune Deficiency Syndrome shall include H.I.V. (Human Immune Deficiency Virus), Encephalathy (dementia) or H.I.V. wasting syndrome.

"Bodily Injury" shall mean bodily injury caused by an Accident and shall include bodily injury caused by starvation, thirst and Exposure to the elements of nature as a result of an accidental occurrence.

"Date of Loss" shall be the date of the accident.

"Deductible" shall mean the initial amount of each and every claim for which The Company shall not be liable.

"Disappearance" In the event of the disappearance of an Insured Person if it is probable that such Insured Person has died or is legally declared dead by a court of law as a result of an accident, the Death benefit shall be payable after 24 consecutive months of such disappearance. In the event of this belief being incorrect the benefit so paid shall be repaid to The Company.

"Excess Period" shall mean the initial period during which no benefit is payable.

"Exposure" Death or Permanent Total Disablement caused, as a direct result of exposure to the elements of nature shall be deemed to have been caused by Accidental Bodily Injury.

"Franchise" shall mean the excess period and or deductible for which The Company shall not be liable unless the benefit payable in respect of such benefit or extension exceeds the excess period and or deductible in which case The Company shall be liable for the full excess period and or deductible.

"Hospital" shall mean a legally constituted establishment operated pursuant to the laws of the country in which it is based which meets all of the following requirements:

- a) It operates primarily for the reception, medical care and treatment of sick, ailing or injured persons on a resident in- patient basis;
- b) It admits resident in-patients only under the supervision of a physician;

c) It maintains organised facilities for the medical diagnosis and treatment of such persons and provides (where appropriate) facilities for major surgery within the confines of the establishment or in facilities controlled by the establishment;

d) It provides a full-time nursing service by or under the supervision of a staff of nurses;

e) It is not a day clinic, health hydro or nature cure clinic, a mental institution, an institution confined primarily to the treatment of psychiatric disease, the psychiatric department of a hospital, a place for the treatment of chemical dependency, an establishment or a special unit of a hospital used primarily as a place for treatment of drug addicts or alcoholics, a hospice, frail care centre, a rest or nursing home, convalescent, rehabilitation, assisted living or extended care facility.

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"Immediate Medical Treatment" shall mean a Medical Practitioner's treatment, consultations and prescribed or repeat maintenance medication in respect of treatment commencing within 24 hours of the time and date of the Accidental Bodily Injury.

"Insured Person" shall mean an Insured Person referred to in the Schedule of Benefits.

" Loss" used with reference to hand, foot, thumb, finger or toe shall mean the total and permanent loss of use of said member.

"Medical Expenses" shall mean Reasonable and Customary Charges levied from a registered medical or paramedical practitioner for actual costs incurred up to the maximum limit stated in the Schedule of Benefits if as a result of an Accident an Insured Person's medical condition requires Immediate Medical Treatment excluding any amount of any compensation recoverable by or on behalf of an Insured Person under any occupational injury enactment or workmen's compensation enactment or any other insurance policy or medical aid scheme or benefit or compensation of a similar nature. Medical Expenses include the cost of necessary medical or surgical treatment, services, or supplies, including necessary hospital, nursing and ambulance services. Medical Expenses in respect of dental charges are limited to treatment of Bodily Injuries sustained to sound natural teeth and received within 30 days of the time and date of the Accident.

"Medical Practitioner" shall mean a person currently legally licensed and registered to practice medicine other than an Insured Person under this Policy or a member of any Insured Person's immediate family.

"Medical Treatment" shall mean a Medical Practitioner's medical advice, treatment, consultations, and prescribed or repeat maintenance medication.

"Permanent Total Disablement" shall mean total and absolute disablement which entirely prevents an Insured Person from engaging in or giving attention to an Insured Person's usual occupation and any occupation for which the Insured Person is qualified or has received specialised training and which will in all probability be lasting and continuous for the lifetime of the Insured Person. The diagnosis and determination of the Permanent Total Disablement must be made by a Physician and must be continuous and permanent for at least 24 consecutive months from the onset of the disablement. Documented evidence of the incident that caused the Permanent Total Disablement is required.

"Policy" shall mean this document embodying the contract of insurance and shall include any subsequent endorsements, amendments and declarations.

"Permanent and Total Loss" used with reference to an arm or a leg means the loss by physical severance or the total and permanent loss of use of said member.

"Permanent Insanity" means the Insured Person being diagnosed as permanently and incurably insane according to the usual and customary standards of the registered medical profession provided that 2 medical practitioners, one of whom shall be the attending practitioner, have personally examined the Insured Person and concur in their medical opinion that the Insured Person is permanently and incurably of unsound mind and incapable of managing his or her own affairs. Their written statement to this effect shall be signed by them in the presence of 2 identifiable witnesses who are not related to the Insured Person by blood or marriage and who would not be entitled to any portion of the estate of the Insured Person.

Neither witness shall be an employee of the attending practitioner or the health facility in which the Insured Person is a patient, or any person who has a claim against any portion of the estate of the Insured Person. The permanent and incurable insanity must have directly resulted from Accidental Bodily Injury.

"Policyholder" means the company that has arranged for the insurance herein contained and who has the ownership, possession or use of the insurance herein defined and who has the legal right to enforce same and negotiate on behalf of the company in this respect.

GROUP PERSONAL ACCIDENT POLICY – Section 16

"Principal/Capital Sum" shall mean the maximum amount payable to any one Insured Person specified in the General Schedule.

"Professional Player" shall mean an Insured Person who earns in excess of 50% of his/her income from playing sport.

"Professional Sport" shall mean a sport which remunerates a player as a means of livelihood.

"Reasonable and Customary Charges" shall mean a charge which:

- a) is levied for treatment, supplies or medical services medically necessary to treat an Insured Person's condition;
- b) does not exceed the usual level of charges for similar treatment, supplies or medical services in the locality where the expenses are incurred; and
- c) does not exceed charges for treatment that would not have been made if no insurance existed.

"Salary" or "Wages" or "Earnings" means the amount of remuneration paid to an Insured Person immediately preceding the date of the Accident as basic salary unless otherwise declared to The Company provided that in respect of an Insured Person employed by the Policyholder under contract the period of which is less than one year the term salary, wages or earnings shall mean the average monthly amount due to be paid to such person during the contract period.

"Temporary Total Disablement" shall mean disablement wholly preventing an Insured Person from engaging in or giving attention to his usual occupation, until such time that :-
the Insured Person has recovered,
the Insured Person is declared Permanently and Totally Disabled
excluding the Excess Period and or Deductible stated in the Schedule of Benefits to this Section.

"Terrorist Act" shall mean any actual or threatened use of force or violence directed at or causing damage, injury, harm or disruption, or commission of an act dangerous to human life or property, against any individual, property or government, with the stated or unstated objective of pursuing economic, ethnic, nationalistic, political, racial or religious interests, whether such

interests are declared or not. Robberies or other criminal acts, primarily committed for personal gain and acts arising primarily from prior personal relationships between perpetrator(s) and victim(s) shall not be considered Terrorist Acts.

"Total Blindness" means the total irreversible loss of sight in both eyes. Loss of sight will be deemed to have occurred if the degree of sight remaining after correction in both eyes is 3/60 or less on the Snellen scale.

"Total Loss of Hearing" means the total irreversible loss of hearing of all sounds confirmed by Medical evidence relying on audio-metric and sound-threshold tests.

"Total Loss of Speech" means the total and irrecoverable loss of the ability to speak which must be established for a continuous period of 365 days. Medical evidence shall confirm injury to the vocal chords. All psychiatric- related causes are excluded. Loss of speech means the inability to make a comprehensible word or understandable verbal language.

"Total Paralysis" means the complete and permanent loss of use of arms or both legs, or 1 arm and 1 leg, through paralysis. The diagnosis and determination that loss of use is permanent must be made by a physician and must be continuous and permanent for at least 365 consecutive days from the onset of the paralysis. Documented evidence of the incident or disease that caused the paralysis is required.

"War" shall mean war, whether declared or not, or any warlike activities, including use of military force by any sovereign nation to achieve economic, geographic, nationalistic, political, racial, religious or other ends.

GROUP PERSONAL ACCIDENT POLICY – Section 16

GENERAL CONDITIONS

1. This Policy will be governed by the laws of Zimbabwe and the Courts therein shall have sole jurisdiction to the exclusion of
the Courts of any other country.
2. This Policy is not assignable. Benefit shall be payable only to the Policyholder or their legal personal representative whose
receipt shall effectually discharge The Company.
3. This Policy shall be voidable in the event of misrepresentation, misdescription or non-disclosure by or on behalf of the
Policyholder in any particular material to this Insurance.

4. The Policyholder shall give notice to The Company within 90 days of any material change in the Business.

5. If any difference shall arise as to the amount to be paid under this Policy (liability being otherwise admitted) such

difference shall be referred to arbitration in accordance with the statutory provisions in that behalf for the time being in

force in Zimbabwe and the making of an award shall be a condition precedent to any liability for The Company to make

any payment under this Policy

6.. Wage Declaration and Basis of Claim Settlement

It is a condition of this policy that the Insured shall declare to the Insurers each and every increase in the salaries and wages of its employees and pay the additional premium due for such increase. Such declaration to be made within 30 days from the end of the month of such salary and wage increase being implemented.

It is further declared and agreed that for any accident or injury for which compensation is payable in terms of this policy the basis of any claim settlement will be as follows

1. If the accident or injury takes place in a period in which a declaration has been made by the Insured then this declaration will be used to calculate any compensation payable.

2. If the accident or injury takes place in a period in which no declaration has been made then the last declaration on record will be used to calculate any compensation payable.

3. The Company or the Policyholder may cancel this Policy by giving 30 days notice in writing to the other party.

in such event the Policyholder shall be entitled to a pro rata refund of premium subject to any minimum premium or adjustable premium provisions.

4. Cover in respect of the Policyholder shall terminate on the premium due date, should the Policyholder fail to pay the required premium.

5. All cover in respect of an Insured Person shall cease on the renewal date following such Insured Persons 70th birthday

6. The onus shall always be upon the Policyholder to insure, correctly admit and pay any tax liability in consideration of

any benefits being paid that may in any form whatsoever, incur taxes of any nature.

7. All sums of money mentioned in this Policy are in the currency of Zimbabwe.

CLAIMS CONDITIONS

1. Claims Procedure –

Notice must be given to The Company in writing within 30 days of any occurrence which may give rise to a claim under this Policy.

In no case whatever shall The Company be liable under this Policy after the expiration of 12 months from any occurrence which may give rise to a claim under this Policy unless the claim is the subject of pending action or arbitration

In the event of Death The Company shall have the right to have a post mortem examination of the body.

All certificates, information and evidence required by The Company shall be furnished in the form prescribed and without expense to The Company and must be submitted to The Company within 90 days following notification.

The Insured Person shall submit to medical examination on behalf of and at the expense of The Company as often as shall be required in connection with any claim.

Qualified medical advice shall be sought and followed promptly on the occurrence of any Bodily Injury and The Company shall not be liable for that part of any claim which in the opinion of its medical adviser arises from the unreasonable or willful neglect or failure of an Insured Person to seek and remain under the care of a qualified Medical Practitioner.

In the event of The Company disclaiming liability in respect of any claim and an action or suit not being commenced within twelve months after such disclaimer or, in the case of an arbitration taking place within twelve months after the arbitrator shall have made his award, all benefit under this Policy in respect of such claim shall be forfeited.

2. If any claim under this Policy be in any respect fraudulent or intentionally exaggerated or if any fraudulent means or

devices are used by the Insured Person or anyone acting on his behalf to obtain any benefit which would have been

payable (even if already due) hereunder shall be forfeited from the date of such fraud.

3. No sum payable under this Policy shall carry interest under any circumstances.

4. No Insured Person shall be entitled to recover benefits under this Policy exceeding more than 100 % of the compensation

in respect of any one benefit and upon accrual of an Insured Person's right to such percentages all further rights of the

Insured Person in respect of such benefit shall cease.

5. The Company's liability in respect of any one person shall be limited to the amount stated in the General Schedule under Principal Sum for all compensation arising out of any one accident and/or occurrence.

6. The Company shall not be liable under this Policy for more than the amount stated in the General Schedule under Accumulation limit in respect of any one accident and/or occurrence or number of accidents and/or occurrences arising from one source or cause.

7. The Company shall not be liable under this Policy for more than the amount stated in the General Schedule under Aircraft Accumulation limit in respect of any one accident and/or occurrence or number of accidents and/or occurrences arising from one source or cause.

9. In the event that an Insured Person dies as a direct result of a road traffic accident of which the cause or the consequence could be a heart attack, The Company will consider the accident as an insured event.

GROUP PERSONAL ACCIDENT POLICY – Section 16

GENERAL EXCLUSIONS

The Company shall not be liable to pay any benefit in respect of any Insured Person:-

1. for Bodily Injury due to wilful or deliberate exposure to danger (except in an attempt to save human life), intentional self inflicted injury, suicide or attempt thereat, or arising out of non-adherence to medical advice;
2. for Bodily Injury whilst the Insured Person is travelling by air other than as a fare-paying passenger in an aircraft duly licensed for the carriage of passengers;
3. for Bodily Injury arising directly or indirectly from War, civil war, invasion, insurrection, revolution, use of military power or usurpation of government or military power;
4. for Bodily Injury arising directly or indirectly from the international use of military force to intercept, prevent, or mitigate any known or suspected terrorist act;
5. for Bodily Injury arising directly or indirectly from any terrorist act;
6. for Bodily Injury arising from direct participation in any labour disturbances, riot, strike, civil commotion or public disorder;
7. for Bodily Injury sustained whilst on service or on duty with or undergoing training with any military or police force, or militia or paramilitary organisation.
8. for Bodily Injury arising directly or indirectly from the use, release or escape of nuclear materials that directly or indirectly results in nuclear reaction or radiation or radioactive contamination, or the dispersal or application of pathogenic or poisonous biological or chemical materials, or the release of pathogenic or poisonous biological or chemical materials;

9. for Bodily Injury sustained whilst or as a result of participating in any sport as a Professional Player;
10. for Bodily Injury or Illness caused by or arising from the conditions commonly known as AIDS or HIV and/or any related illness or condition including derivatives or variations thereof, howsoever acquired or caused. The onus shall always be upon the Insured Person to show that Bodily Injury or Illness was not caused by or did not arise through such condition(s);
11. for investigations, operations or treatment of a purely cosmetic nature for obesity, to cure/improve impotency or undertaken to facilitate pregnancy other than as a direct result of an accident;
12. for mental, psychiatric, psychological or emotional disorders unless caused by an Accident;
13. for Bodily Injury caused by or prolonged or accelerated by or attributable to pregnancy, childbirth, abortion, obstetrical procedure or any sequelae thereof;
14. arising from Bodily Injury to or affecting the spine or the musculature, ligamentous system, cartilage dura, nervous system or blood supply of the spine other than once during any 12 month Period of Insurance commencing from the commencement date or renewal date of the Policy;
15. for any Bodily Injury caused by or related to congenital disease or defect unless such condition or defect has been declared to and has been accepted by The Company in writing prior to the first commencement date of the Policy;

GROUP PERSONAL ACCIDENT POLICY – Section 16

16. for any loss caused or contributed to directly or indirectly wholly or partly by:
 - a) being under the influence of alcohol, drugs or narcotics unless such drugs or narcotics were administered by a medical practitioner (other than himself) or unless prescribed by and taken in accordance with the directions of a medical practitioner (other than himself),
 - b) driving a motor vehicle and having more than the legal limit of alcohol in his/her blood.
The onus shall rest upon the Policyholder or the beneficiaries to prove that a) or b) was not the cause of the accident.
17. for any loss caused or contributed to directly or indirectly wholly or partly by:
 - a) bacterial infection (except pyogenic infections which shall result from an Accidental cut wound) or any other kind

of disease or sickness;

b) medical or surgical treatment, services or supplies except as may be necessary solely as a result of an Accident;

16. for Bodily Injury arising directly or indirectly from deliberate violation of criminal law.

PrivateEdge

Management liability for Private Companies

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SCHEDULE

	Policy Number	:	
Item 1.	Policyholder	:	
	Postal Address	:	
Item 2.	Policy Period	:	From 12> <i>at 00.00am local time</i> To > <i>at 12.00pm local time</i>
Item 3.	Limit of Liability	:	Total aggregate for all <i>loss</i> , arising out of all <i>claims</i> made against all <i>insureds</i> under all insurance covers combined: \$ 2
Item 4.	Retention	:	Insurance Cover 1 Z\$ each and every <i>claim</i> Insurance Cover 2 Z\$ each and every <i>claim</i> Insurance Cover 3A Z\$ each and every <i>claim</i> Insurance Cover 3B Z\$ each and every <i>claim</i> Insurance Cover 4 Z\$ each and every <i>claim</i>
Item 5.	Premium	:	Premium payable Z\$
Item 6.	Continuity Dates	:	
Item 7.	New Subsidiary Cover:		Asset Size: Z\$

Signed for and on behalf of the Insurer	DATE	OF
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ISSUANCE:

ZIMNAT LION INSURANCE COMPANY

GROUP PERSONAL ACCIDENT POLICY – Section 16

In consideration of the payment of the premium and in reliance upon the statements made to the *insurer* in the proposal form, its attachments and all other information submitted to the *insurer*, all of which are to be the basis of and incorporated into this contract, the *insurer* agrees as follows:

1. INSURANCE COVERS

INSURING CLAUSE 1 – LABOUR PRACTICE LIABILITY

The insurer will pay the loss of the insured arising from a claim first made against the insured by an employee

during the policy period and notified to the insurer during the policy period by reason of any

Labour Practice Violation.

INSURING CLAUSE 2 –TRUSTEE LIABILITY

The *insurer* will pay the *loss* of the *insured* arising from a *claim* first made against the *insured* during the *policy*

notified to the *insurer* during the *policy period* by reason of any *breach of trustee responsibility* in connection with

a *fund*.

INSURING CLAUSE 3 – COMPANY MANAGEMENT LIABILITY

A. The *insurer* will pay the *loss* of the *company* arising from a *claim* first made against the *company* during the *policy period* and notified to the *insurer* during the *policy period* by reason of any *wrongful act*.

B. The *insurer* will pay the *loss* of the *company* arising from any *claim* first made against an *insured person* during the *policy period* and notified to the *insurer* during the *policy period* for any *wrongful act* in the *insured person's* capacity as a *director or officer* of the *company* but only when and to the extent that the *company* has in fact indemnified the *insured person* for such *loss*.

INSURING CLAUSE 4 - PERSONAL MANAGEMENT LIABILITY

The *insurer* will pay the *loss* of an *insured person* arising from a *claim* first made against an *insured person* during the *policy period* and notified to the *insurer* during the *policy period* by reason of any *wrongful act* in their capacity as a *director or officer* of the *company* except for and to the extent that the *company* is legally permitted or required to indemnify the *insured person* for such *loss*.

2. DEFINITIONS

2.34 **Annual Premium** means the annual premium level in effect immediately prior to the end of *policy period*.

2.34 **Breach of Trustee Responsibility** means any *wrongful act* of the *trustee* in connection with a *fund*.

- 2.34 **Claim** means any demand made by a third party upon the *insured* for damages, however conveyed, including but not limited to any summons, writ, statement of claim, application or other legal or arbitral process or any written demand for monetary compensation.
- All *claims* arising out of the same set of facts or circumstances shall be deemed to be one *claim* made in the *policy period* in which the *claim* is first made or deemed to be made against the *insured*.
- 2.34 **Company** means the *policyholder* specified in item 1 of the Schedule and all of its *subsidiaries*.
- 2.34 **Continuity date(s)** means the date(s) specified in Item 6 of the Schedule which shall be the date from which the *policyholder* has maintained uninterrupted cover with the *insurer*. No *continuity date* applies to insurance cover 5.
- 2.34 **Director or officer** means any natural person who is or was a duly appointed director or officer of the *company*.

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- 2.34 **Discovery period** means the period of time specified in Extension 4.3, immediately following the termination of this policy during which written notice may be given to the *insurer* of any *claim* first made against the *insured* during such period of time for any *wrongful act* or *breach of trustee responsibility* committed prior to the end of the *policy period* otherwise covered by this policy.
- 2.34 **Employee** means any natural person employed by the *company* in the ordinary course of the business of the *company* and whom the *company* compensates by way of salary or wages and has the right to govern and direct the performance of that person's duties. It shall also mean a *trustee* of a *fund* while performing acts coming within the scope of the regular duties of an *employee*.
- Without limitation, *employee* does not include non-executive *directors*, consultants, independent contractors, secondees or agents of the *company* and their respective employees (including the employees of labour-hire agencies).
- 2.34 **Financial Loss** means a decrease greater than 40% of the annual *gross revenue* of the *company*.
- 2.34 **Fund** means any provident, benefit, superannuation, pension or retirement fund, or any other account, fund, scheme or plan intended to provide benefits, in whole or in part, to *employees* of the *policyholder* at retirement or a particular age, or on the happening of a particular event.
- 2.34 **Gross revenue** means the money paid or payable to the *company* for goods sold and / or for services rendered in the course of its business.
- 2.34 **Inquiry** means an official investigation, examination or inquiry into the affairs of the *company*.

- (a) which is instigated by a person or institution which is legally empowered to conduct the investigation, examination or inquiry; and
- (b) which the *insured persons* are legally compelled to attend; and
- (c) which involves the conduct of the *insured persons* in their capacity as a *director or officer* of the *company*.

Without limitation, *inquiry* does not include investigations, examinations or inquiries of a general nature which affect the *insured's* industry as a whole.

2.34 ***Insured*** means the *company* and / or *insured persons*.

2.34 ***Insured Person*** means any *director or officer* of the *company*.

Without limitation, *insured person* does not include any auditors, receivers, managers, liquidators, administrators, trustees, mortgagees in possession or the like who are not employed by the *company*.

2.34 ***Insurer*** means ZIMNAT LION INSURANCE COMPANY.

2.34 ***Labour Practice Claim*** means a *claim* in respect of a *labour practice violation*.

2.34 ***Labour Practice Violation*** means any actual or alleged:

- (a) unfair, harsh, unreasonable, unjust or unlawful dismissal or termination of employment, either actual or constructive, for which a statutory remedy exists or allegedly exists;
- (b) misleading or deceptive representation or advertising relating to employment;
- (c) failure to employ or promote, unfair deprivation of a career opportunity, unfair discipline, failure to grant tenure or negligent *employee* evaluation;
- (d) sexual harassment in the workplace including unwelcome sexual advances, requests for sexual favours or other verbal or physical conduct of a sexual nature that is made a condition of employment or used as a basis for an employment decision or creates a hostile work environment that interferes with performance;
- (e) workplace harassment of any kind including the alleged creation or condonation of a harassing workplace environment;
- (f) employment-related:

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- (i) denial of natural justice;
- (ii) unlawful interference with privacy;
- (iii) defamation;
- (iv) wrongful infliction of emotional distress, mental anguish or humiliation;
- (v) discrimination on any unlawful basis;

committed or allegedly committed against an *employee* in respect of that *employee's* past, present or prospective employment with the *company*.

2.34 ***Labour-Related Benefits*** means:

- (a) non-monetary benefits including but not limited to the allocation of a company car, travel allowance, mobile or landline telephone, medical or life insurance expenses, education and training allowances, and equipment allowances;
 - (b) stock, shares, stock options, share options or any entitlement or right under any equity plan of any description;
 - (c) participation in any stock, share, stock option or share option plan, or participation in any equity plan of any description;
 - (d) severance or redundancy payments or entitlements;
 - (e) any benefit, payment or entitlement of any kind in respect of paid or unpaid leave;
 - (f) bonus or incentive payments, or any entitlement or right under a bonus or incentive plan (which, for the avoidance of doubt, does not include any payments, entitlement or right under a commission scheme);
 - (g) payments or contributions in respect of any *fund*.
- 2.34 **Legal costs** means any reasonable fees, costs and expenses incurred by or on behalf of the *insured persons* with the prior written consent of the *insurer* (but does not include wages, salaries or other remuneration of the *insured persons* or *employees*) in the investigation, defence, settlement or appeal of any *claim*.
- 2.34 **Limit of Liability** means the amount specified in Item 3 of the Schedule.
- 2.34 **Loss** means, for the purpose of Insuring Clauses 1, 2 and 3;
- a) damages or judgements, and/or
 - b) legal costs and expenses awarded against any *insured*, and/or
 - c) *Legal costs*, and/or
 - d) settlements negotiated with the *insurer's* prior written consent;
- in respect of any *claim* covered under this policy. Without limitation, *loss* does not include any liability for fines, penalties, punitive, aggravated or exemplary damages (unless awarded for defamation), non-compensatory damages, taxes or any amount for which the *insured* is not legally liable or matters which are uninsurable under the law by which this policy is construed.
- In respect of Insuring Clause 1, *loss* shall not include:
- (i) front pay, future loss, future damages or future economic relief where the *company* is ordered by the relevant court or tribunal to reinstate the claimant as an employee but refuses or fails to do so for whatever reason; or
 - (ii) any liability for *labour-related benefits*; or
 - (iii) any liability or costs incurred by the *insured* to modify any building or property in order to make the building or property more accessible or accommodating to a disabled person; or

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- (iv) any liability or costs incurred by the *insured* in connection with any educational, sensitivity or other program, policy or seminar relating to any *labour practice violation*.

Loss incurred in respect of more than one *claim* but resulting from a *single wrongful act* shall constitute a single *loss*.

2.34 ***Not-for-profit entity*** means an entity registered as such under the applicable legislation or any organisation existing for any educational, research, promotional, training or similar non-profit making purpose or similar entity organised under the laws of any other jurisdiction or a trade association which for the purposes of this policy shall mean a body of persons, whether incorporated or not, which is formed for the purpose of furthering the trade interests of its members, or of persons represented by its members.

2.34 ***Outside Director*** means an *insured person* who, at the written request or approval of the *company*, was or is validly appointed to the position of director or alternate director of an *outside entity* for the purpose of representing the interests of the *company*.

Without limitation, *outside director* does not include *insured persons* who hold positions as directors or alternate directors in entities unrelated to the *company* for personal purposes.

Outside directorship will have a corresponding meaning.

2.34 ***Outside entity*** means any *not-for-profit* entity, or any other corporation, partnership, joint venture or other organisation which has been listed by endorsement to this policy.

2.34 ***Policyholder*** means the organisation specified in Item 1 of the Schedule.

2.34 ***Policy period*** means the period of time from the inception date to the expiry date, as specified in Item 2 of the Schedule, and excludes any *discovery period*.

2.34 ***Pollutants*** means, but is not limited to any solid, liquid, biological, radiological, gaseous or thermal irritant or contaminant whether occurring naturally or otherwise, including asbestos, smoke, vapour, soot, fibres, mould, spores, fungus, germs, fumes, acids, alkalis, nuclear or radioactive material of any sort, chemicals and waste. Waste includes but is not limited to material to be recycled, reconditioned or reclaimed.

2.34 ***Retention*** means the amount specified in item 4 of the Schedule.

2.34 ***Single wrongful act*** means a *wrongful act* or any causally connected *wrongful acts* affecting one, or more than one, person or legal entity.

2.34 ***Subsidiary*** means an entity in which the *policyholder*, either directly or indirectly through one or more of its *subsidiaries*, on or before the inception date specified in Item 2 of the Schedule:

- (i) controls or controlled the composition of the board of directors; or
- (ii) controls or controlled more than half of the voting power; or
- (iii) holds or held more than half of the issued share capital.

Cover for any *claim* against any of the *directors or officers* in their capacity as a director or officer of a *subsidiary* applies only for *wrongful acts* committed or allegedly committed while such entity is or was a *subsidiary* of the *policyholder*.

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Terrorism means the use or threatened use of force or violence against person or property, or commission of an act dangerous to human life or property, or commission of an act that interferes with or disrupts an electronic or communication system, undertaken by any person or group of persons, whether or not acting on behalf of or in connection with any organisation, government, power, authority or military force, when the effect is to intimidate or coerce or harm a government, the civilian population or any segment thereof, or to disrupt any segment of the economy.

Terrorism shall also include any act, which is verified or recognised by the Zimbabwean Government as an act of *terrorism*.

2.33 **Transaction** means any one of the following events:

- (i) the *policyholder* consolidates with or merges into or sells all or substantially all of its assets to any other person or entity or group of persons and/or entities acting in concert; or
- (ii) the *policyholder* becomes a *subsidiary* of another entity or becomes controlled by another entity; or
- (iii) the insolvency, liquidation, receivership, bankruptcy or administration of the *policyholder* – whether provisional or final and whether voluntary or involuntary.

2.34 **Trustee** means any natural person who is a duly appointed past, present or future trustee of a *fund*.

2.35 **Wrongful act** means any actual or alleged act, error, omission, misstatement, misleading statement, misleading conduct, negligence or breach of duty made (including a *labour practice violation*), committed, or attempted by any *insured*, which is wrongful but that is not committed intentionally.

3 EXCLUSIONS

The *insurer* shall not be liable to make any payment for *loss* in connection with any *claim* made against the *insured* or any payment under an Extension:

3.1 arising out of, based upon or attributable to or in any way connected with:

- (i) the gaining in fact of any profit or advantage to which the *insured* was not legally entitled;
- (ii) profits in fact made from the purchase or sale by the *insured* of *securities* of the *company*;
- (iii) any criminal, dishonest, fraudulent, wilful, intentional or malicious acts or

omissions by an *insured*;

(iv) any knowing or wilful violation of any law or regulation by an *insured*

where it is established by an admission, court judgement or other adjudication that the subject conduct did in fact occur.

3.2 arising out of or in any way connected to any:

a) actual or alleged *wrongful act* or *labour practice violation* committed before the *continuity date* if, on or before that date, the *insured* knew or ought reasonably to have foreseen that such *wrongful act* or *labour practice violation* would or could lead to a *claim*; or

b) actual or alleged facts or circumstances of which notice was given or ought reasonably to have been given under any policy in force prior to the *continuity date*; or

c) pending or prior litigation derived from the same or essentially the same facts as might be alleged in such prior or pending litigation, as at the *continuity date*, or

For the purposes of this exclusion, the term "litigation" shall include but not be limited to any civil or criminal proceeding as well as any *inquiry* or arbitration.

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3.3 in connection with any *claim* made against an *insured person* which is brought by or on behalf of the *insured*; provided, however, that this exclusion shall not apply to:

(i) *legal costs*;

(ii) any shareholder derivative action brought or maintained on behalf of the *company* without the solicitation, assistance or participation of any *insured*;

(iii) any *claim* brought or maintained by a liquidator, receiver or administrative receiver derivatively on behalf of the *company* without the solicitation, assistance or participation of any *insured*.

(iv) in respect of Insurance Clause 1, any *claim* by an *employee* for a *labour practices violation*.

3.4 arising out of, based upon, attributable to, or in any way involving, directly or indirectly;

a) the actual, alleged, imminent or threatened discharge, dispersal, seepage, release or escape of *pollutants*, or

b) any direction or request to test for, monitor, clean up, remove, contain, treat, detoxify or neutralise *pollutants*, nuclear material or nuclear waste.

3.5 arising out of, based upon or attributable to any act or omission in the *insured's* capacity as a director or officer of any entity other than the *company*, or by reason of the *insured's* status as a director, officer or employee of the other entity, other than as provided in Extension 4.2.

- 3.6 for bodily injury, sickness, disease, death, psychiatric injury or emotional distress of any person, or damage to or destruction of any tangible property, including loss of use thereof; provided, however, that any *claim* for psychiatric injury shall not be excluded with respect to Insuring Clause 1.
- 3.7 arising out of, based upon or attributable to any actual or alleged breach of contract of employment or contractual liability of the *company* under any express contract or agreement; provided, however, that with respect to an *employment practice claim*, this exclusion shall not apply to the extent the *company* would have had such liability even in the absence of such contract or agreement.
- 3.8 arising out of, based upon or attributable to any obligation pursuant to any workers' compensation, disability benefits, redundancy or unemployment benefits or compensation, unemployment insurance, retirement benefits, social security benefits or any similar law or obligation whatsoever;
- 3.9 with respect to Insuring Clause 3 only:
- (i) for any actual or alleged plagiarism, misappropriation, infringement or violation of copyright, patent, trademark, trade secret or any other intellectual property rights;
 - (ii) for any actual or alleged violation or any law, whether statutory, regulatory or common law, with respect to any of the following activities: anti-trust, business competition, unfair trade practices or unlawful interference in another's business or contractual relationships;
 - (iii) for rendering or failure to render any service or advice to a customer or client of the *insured*;
 - (iv) seeking fines or penalties or non-monetary relief against the *company*;
- 3.10 directly or indirectly based upon, attributable to or in any way involving war, invasion, acts of foreign enemies, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, military or usurped power or confiscation or nationalisation or requisition of or damage to any property by or under the valid or invalid order of any legitimate or illegitimate government.
- 3.11 arising out of any legal action or litigation brought in a court outside of the Republic of Zimbabwe or any legal action or litigation brought in a Zimbabwe court to enforce a judgement handed down in a court outside of Zimbabwe whether by way of reciprocal agreement or otherwise.

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- 3.12 directly or indirectly arising out of, or in connection with:

- a) any public or private issue of shares, preference shares (redeemable or otherwise), debentures of whatever kind, promissory notes or any other form of negotiable or non-negotiable security for the raising of capital by equity, debt or any other means;
 - b) the issue of any prospectus or similar document or the making of any written or oral representation, in connection with (a) above;
- 3.13 brought by, at the instigation of, or on behalf of;
 - a) any past or present shareholder or stockholder who had or has direct or indirect ownership of or control over 15% or more of the voting shares or rights of the *company*, or
 - b) any past or present shareholder or stockholder who had or has direct or indirect ownership of or control over 15% or more of the voting shares or rights of any *outside entity* to which an *outside directorship* applies.
- 3.14 arising out of, based upon or attributable to or in any way connected with provision of or failure to perform professional services of any kind or alleged breach of duty owed in a professional capacity. Provided however, that this Exception shall not apply to coverage provided under Insuring Clause 2.
- 3.15 for failure to fund a *fund* in accordance with the *fund* document or instrument of the failure to collect contributions owed to the *fund*.
- 3.16 arising from any act or series of acts committed outside of Zimbabwe;
- 3.17 by a past, present or prospective director of the *company* alleging a *labour practice violation*:
 - a) where the director is not an *employee*;
 - b) where the director is making the *claim* in a capacity other than that of an *employee*;
 - c) to the extent that, where the director makes a *claim* partly in his or her capacity as an *employee* and partly in another capacity, the *loss* does not arise out of, is not based upon or is not attributable to the director's capacity as an *employee*.
- 3.18 arises from, is based upon or attributable to, directly or indirectly, the insolvency, liquidation, receivership, bankruptcy or administration of the *company* – whether provisional or final and whether voluntary or involuntary.
- 3.19 arising out of directly or indirectly, based upon or attributable to or in any way involving war, invasion, act of foreign enemy, hostilities or warlike operations (whether war has been declared or not), civil war, rebellion, revolution, insurrection, civil commotion assuming the proportion of or amounting to a popular uprising, military or usurped power, martial law, riot or the act of any lawfully constituted authority; or *terrorism*.
- 3.20 with respect to Insuring Clause 3 only:
 - (i) for any actual or alleged plagiarism, misappropriation, infringement or violation of copyright, patent, trademark, trade secret or any other intellectual property rights;
 - (ii) for any actual or alleged violation or any law, whether statutory, regulatory or common law, with respect to any of the following activities: anti-trust, business competition, unfair trade practices or unlawful interference in another's business or contractual relationships;

- (iii) for rendering or failure to render any service or advice to a customer or client of the *insured*;
- (v) seeking fines or penalties or non-monetary relief against the *company*;

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4. EXTENSIONS

Subject to all provisions, terms, exclusions and conditions of this policy cover is extended as outlined below. If one or more of the extensions under this policy is deleted or replaced or not required by the *policyholder*, there shall be no reduction in the premium payable as specified under Item 5 of the Schedule. The total of all payments made under these extensions shall be part of and not in addition to the *limit of liability*. The extensions are also subject to the *retention*.

4.1 **Representation at Inquiries**

The insurer will pay on behalf of the *insured persons* all *legal costs* incurred by reason of the *insured persons* attending an *inquiry* provided that the notice requiring the *insured persons* to attend the *inquiry* is first received by the *insured persons* during the *policy period* and notice is given to the *insurer* during the *policy period*.

4.2 **Outside Directorships Cover**

The *insurer* will pay on behalf of the *insured persons* all *loss* which the *insured persons* are legally liable to pay by reason of any *claim* first made against them individually or collectively during the *policy period* and notified to the *insurer* during the *policy period* for a *wrongful act* in their capacity as an *outside director*, provided always that;

- (a) the cover provided under this Extension applies in excess of any indemnity provided to the *insured persons* by the *outside entity* in respect of any such *claim*.
- (b) the cover provided under this Extension applies in excess of the cover provided by any *outside entity* insurance policies including those specified by Endorsement to this policy in respect of any such *claim*, including any policies which are a renewal or replacement of those policies.
- (c) If the *outside entity* has insurance which covers a *claim* which is also covered under this Extension and that other insurance is provided by the *insurer*, or by any other member company of the Zimnat Lion Insurance Company, then the maximum amount payable by AIG under both policies will not exceed the *limit of liability* of the policy which has the highest *limit of liability*.
- (e) The *insurer* is not liable to make any payment for *loss* in connection with any *claim* made against an *outside director* which is made by the *outside entity* or by any directors or officers of the *outside entity* or by any shareholder of the *outside entity* holding more than 15% of the voting share capital of the *outside entity*.
The restrictions in cover specified in (d) above do not apply to any *claim* made against an *outside director*:
 - (i) alleging a *labour practice violation*;
 - (ii) for contribution or indemnity by another director or officer of the *outside*

entity, provided the *claim* results directly from another claim which would be covered under this Extension if it was made directly against the *outside director*.

- (iii) made in the name of the *outside entity* by any legally authorised individual or entity, other than the *outside entity* itself, where the claimant acts without any express or tacit consent, acquiescence, concurrence, enticement or co-operation from the *outside entity*, from the *company* or from any *insured person*.

4.3 **Discovery Period**

- (a) If the *insurer* declines to offer renewal terms at the end of the *policy period*, then the *policyholder* may purchase a *discovery period* of 12 months following the end of the *policy period* for an additional premium of 100% of the *annual premium*. To purchase this *discovery period* the *policyholder* must request its purchase in writing within 15 days following the end of the *policy period* and must pay the additional premium within 30 days following the end of the *policy period*.
- (b) If a *transaction* takes place the *policyholder* does not have the right to purchase the *discovery period* specified in (a) above, however, the *policyholder* does have the right, within 30 days of the end of the *policy period*, to request an offer from the *insurer* of a *discovery period* for up to seventy two (72) months. The *insurer* may, but is not obliged to, offer a *discovery period* on such terms and conditions as the *insurer* may decide in its discretion.

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If a *discovery period* is purchased it is non-cancellable and the additional premium is non-refundable.

No *discovery period* is available in the event that this policy is cancelled by the *insurer*.

4.4 **Retired Individual Insureds**

If the *policyholder* does not renew or replace this policy with any other policy affording similar coverage issued by the *insurer* or any other insurer and a *discovery period* is not purchased under Extension 4.3, then a run-off period of 12 months after the date of such non-renewal will be provided under this policy. During this run-off period written notice may be given to the *insurer* of any *claim* first made against any *insured person* who retired before the date of non-renewal provided the claim arises from a *wrongful act* of the *insured* and would otherwise be covered by this policy.

4.5 **Heirs, Estates and Legal Representatives**

The *insurer* will pay for *loss* in respect of a claim first made against the estates, heirs, legal representatives or assigns of any deceased, incompetent, insolvent or bankrupt *insured person* during the *policy period* and notified to the *insurer* during the *policy period* provided such claim:

- (a) is made against them solely because of their status as estates, heirs, legal representatives or assigns of that deceased, incompetent, insolvent or bankrupt *insured person*; and

- (b) results directly from a *claim* made against that *insured person* which is covered under this policy.

4.6 **Joint Property Liability**

The *insurer* will pay for *loss* in respect of a claim first made against the lawful spouse of an *insured person* during the *policy period* and notified to the *insurer* during the *policy period* provided such claim:

- (a) is made solely because of his or her status as the lawful spouse of that *insured person*; and
- (b) results directly from a *claim* made against that *insured person* which is covered under this policy; and
- (c) seeks damages recoverable from marital community property, or from property jointly held by that *insured person* and the lawful spouse, or from property transferred from that *insured person* to the lawful spouse.

4.7 **New Subsidiaries**

Cover under this policy is extended to any *subsidiary* which the *policyholder* acquires or creates after the inception date of this policy provided that the *subsidiary*:

- (i) has total gross assets which are less than the amount specified in Item 7 of the Schedule
- (ii) does not have a listing of any of its *securities* on any exchange.

If a newly acquired or created *subsidiary* fails to meet conditions (i) and (ii) above the *policyholder* may request an extension of this policy for such *subsidiary* provided that the *policyholder* shall give the *insurer* sufficient details to permit the *insurer* to assess and evaluate the *insurer's* potential increase in exposure. The *insurer* shall be entitled to amend the policy terms and conditions, during the *policy period*, including by the charging of a reasonable additional premium.

Unless otherwise agreed, cover as is afforded to the *directors, officers* or employees of any *subsidiary* by virtue of this extension shall only apply for *wrongful act(s)* committed while such company is or was a *subsidiary* of the *policyholder*.

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5 GENERAL PROVISIONS

5.1 **Representation**

In granting cover to any one *insured*, the *insurer* has relied upon the material statements and particulars in the proposal together with its attachments and other information supplied. These statements, attachments and information are the basis of cover and shall be considered incorporated into and constituting part of this policy.

5.2 **Changes in Risk During Policy Period**

If during the *policy period* a *transaction* takes place, then the cover provided under this policy is amended to apply only to *wrongful act(s)* committed or allegedly committed prior to the effective date of the *transaction*.

The *policyholder* shall give the *insurer* written notice of the *transaction* as soon as practicable but not later than 30 days after the effective date of the *transaction*.

5.3 **Limit of Liability**

The total aggregate limit of the *insurer's* liability to the *insured* during any *policy period* for all *loss* shall not exceed the *limit of liability* stated in the Schedule for all Insuring Clauses combined. *Legal costs* are part of and not in addition to the *limit of liability*.

The limit of liability for the *discovery period* specified in Extension 5 shall be part of and not in addition to the *limit of liability* for the *policy period*.

Regardless of the number of years this policy shall continue in force and irrespective that it is or may be renewed and regardless of the number of premiums paid, the limits of liability as specified in the policy schedules shall not accumulate from year to year or from policy period to policy period.

If two or more policies of insurance issued by the *insurer* or any other member company of Zimnat Lion Insurance Company apply to the same *claim* for which the *insured persons* are liable, the maximum amount payable by Zimnat Lion Insurance Company under all such policies shall not exceed the *Limit of Liability* of that policy referred to above which has the highest applicable *Limit of Liability*. Nothing contained herein shall be construed to increase the *Limit of Liability* of this policy.

5.4 **Retention**

The *insurer* will only pay for that amount of any loss which is in excess of the Retention. The Retention is to be borne by the *insured* and remains uninsured.

5.5 **How to Give Notice and Report a Claim**

a) **Notification of Claims Under Insuring Clauses 1, 2, 3 and 4**

The *insured* shall as a condition precedent to the obligations of the *insurer* under this policy give written notice to the *insurer* of any *claim* made against the *insured* as soon as practicable within the *policy period* or the *discovery period* if applicable.

If during the *policy period* or during the *discovery period* written notice of a *claim* against an *insured* is given to the *insurer* pursuant to the terms and conditions of this policy, then any *claim* arising out of, based upon or attributable to the facts alleged in the *claim* previously notified to the *insurer* or alleging a *single wrongful act* which is the same as or related to any *wrongful act* alleged in the previously notified *claim*, shall be considered made against the *insured* and reported to the *insurer* at the time the first notice was given.

If, during the *policy period* or the *discovery period*, the *insured* becomes aware of any fact or circumstance that may result in a *claim* being made against the *insured*, and the *insured* gives notice in writing to the *insurer* of the fact or circumstance together with reasons for anticipating a *claim* with full particulars as to dates and persons involved, then any *claim* which is subsequently made against an *insured* and reported in writing to the *insurer* arising out of, based upon or attributable to that fact or circumstances or alleging a *single wrongful act* alleged or contained in such fact or circumstance, shall be considered made against the *insured* and reported to the *insurer* at the time the notice of fact or circumstance was first given.

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All notifications of *claim* and circumstance must be in writing and properly addressed to the *insurer* at the following

address:

ZIMNAT LION INSURANCE COMPANY
P O Box CY 115
Causeway
Harare

If posted the date of posting shall constitute the date that notice was given, and proof of posting shall be sufficient proof of notice.

5.6 **How Defence Will Be Conducted**

In respect of Insuring Clauses 1, 2, 3 and 4, the *insurer* does not assume any duty to defend any *claim* brought against the *insured* that is covered by this policy. The *insured* shall defend and contest any *claim* made against them, however the *insurer* is entitled to effectively associate with the *insured* in defence of any *claim* that appears likely to involve them including but not limited to effectively associating in the negotiation of any settlement. As a condition precedent to *insurer's* liability for *loss* arising out of the *claim* the *insured* shall not, without the prior written consent of the *insurer*, admit liability or assume any liability for or settle any *claim* or incur any *legal costs*. Only those settlements and *legal costs* to which the *insurer* has given prior written consent shall be recoverable as *loss* under this policy. The *insurer's* consent shall not to be unreasonably withheld provided that the *insurer* is entitled to effectively associate in the defence and negotiation of any settlement of any claim in order to reach a decision as to reasonableness.

The *insurer* shall have the right to make investigation, conduct negotiations and, with the written consent of the *insured*, settle any *claim*, on such terms and in such manner as the *insurer* deems expedient. If the *insured* refuses to consent to any settlement under Insuring Clauses 1, 2 3 or 4 which is recommended by the insurer and acceptable to the claimant, the *insurer's* liability for all *loss* on account of that *claim* shall not exceed the amount for which the *claim* could have been settled if the *insurer's* recommendation had been consented to, plus *legal costs* incurred up to the date of the refusal

5.7 **Subrogation**

In the event of payment under this policy in respect of a claim, the insurer shall be subrogated to the extent of such payment to all of the insured's rights of recovery in respect of payment and shall be entitled to pursue and enforce such rights in the name of the insured who shall provide the insurer with all reasonable assistance and co-operation including the execution of all papers required and shall do everything that may be necessary to secure any rights including the execution of any documents necessary to enable the insurer effectively to bring suit in the name of the insured whether such acts shall be or become necessary before or after payment by the insurer. The insured shall do nothing to prejudice those rights. Any amount recovered in excess of the insurer's total payment shall be restored to the insured less the cost to the insurer of such

recovery. In no event however, shall the insurer exercise its rights of subrogation against an individual insured under this policy unless such individual insured has been convicted of a deliberate criminal, dishonest, fraudulent or malicious acts by an individual insured, or obtained any profit or advantage to which such individual insured was not legally entitled.

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5.8 Other Insurance

Unless otherwise required by law, any insurance as is provided under this policy shall apply only as specifically excess over any other valid and collectible insurance, any applicable liability insurance, labour practice liability insurance, trustee liability insurance, company management liability insurance, personal management liability insurance, crisis containment insurance, self-insurance programme or any equivalent policy irrespective of the amount thereof and whether or not such policy is actually maintained by the *insured*.

5.9 Notice and Authority

The *policyholder* warrants that it is duly authorised to act on behalf of all its *subsidiaries* and all *insured persons* with respect to the exercise of all their rights and the discharge or all their duties in respect of this policy, including but not limited to;

- (a) negotiating the terms and conditions of cover;
- (b) binding cover;
- (c) the notification of *claims*;
- (d) the giving and receiving of any notice of cancellation;
- (e) the payment of premium and the receipt of any refund of premium that may become due;
- (f) the payment of the *retention*;
- (g) the negotiation and receipt of any Endorsement;
- (h) the election of any right to a *discovery period*, or
- (i) the appointment of solicitors to defend a *claim*;
- (j) the receipt of all amounts payable by the *insurer* under the policy.

5.10 **Assignment**

This policy and any rights hereunder cannot be assigned without prior written consent of the *insurer*.

5.11 **Jurisdiction and Governing Law**

Any interpretation of this policy relating to its construction, validity or operation shall be made in accordance with the laws of the Republic of Zimbabwe. The parties agree to submit to the exclusive jurisdiction of the High Court of Zimbabwe.

5.12 **Plurals and Titles**

Headings are included for convenience only and do not affect interpretation of the policy. Words and expressions in the singular include the plural and vice versa. Words in italics have special meaning and are defined in the policy. Words that are not specifically defined in this policy have the meaning normally attributed to them.

5.13 **Continuity**

With respect to Insuring Clauses 1, 2, 3 and 4, notwithstanding exclusion 3.2, cover is provided under this policy for any *claim*, fact, matter or circumstance which could or should have been notified under any earlier policy. Provided always that:

- a) the *claim*, fact, matter or circumstance could and should have been notified after the *continuity date* of this policy; and
- b) the cover provided by this General Provision shall be in accordance with the provisions of the policy under which the *claim*, fact, matter or circumstance could or should have been notified.

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5.14 **Cancellation**

This policy may be cancelled as follows:

- (i) by the *insurer* for non-payment of premium;
- (ii) by the *policyholder* immediately upon the *insurer's* receipt of written notice. In such case, the *insurer* shall refund any unearned premium calculated at short-rate of the annual premium except in the event of a *loss* having been reported prior to the date of cancellation whereby no refund shall be due;
- (iii) by the *insurer* 30 days after receipt by the *insured* of written notice. In such case, the *insurer* shall refund any unearned premium calculated at pro-rata of the annual premium;
- (iv) by the *insurer* following the issue of written notice to the address specified in item 1 of the Schedule in respect of the *policyholder* or any *insured* or any *employee* of any *insured*. Cancellation shall apply 30 days following the issue of such notice;
- (v) by mutual agreement between the *insurer* and the *policyholder*.

5.15 **Confidentiality**

The *insured persons* and the *company* must take all reasonable efforts not to disclose the existence of this policy to any person except to professional advisers or as required by law or court order and shall only state within the *company's* annual report that the *company* has agreed, or otherwise, to pay a premium for this policy but shall not publish the nature of the liability covered by this policy, the name of the *insurer*, the *limit of liability* or the Premium paid for this policy.

5.16 **Policy Validity**

This policy is not binding upon the *insurer* unless it is signed on the Schedule by an authorised representative of the *insurer*.

5.17 **Severability**

If any of the provisions of this policy is held to be unlawful or unenforceable, that particular provision will be

severable from the remaining terms which will remain valid and enforceable.

5.18 **Settlement of Disputes Arising Under the Policy**

Should a dispute arise as to whether any *insured person* should be required to contest any legal proceedings then the *insurer* agrees to the appointment, at the *insured person's* request, of a Senior Counsel (to be mutually agreed upon by the *insured person* and the *insurer*, or in the absence of mutual agreement to be appointed by the President of the Law Society, or equivalent organisation, in the jurisdiction in which the legal proceedings were first served) to advise whether or not such proceedings should be contested. The Senior Counsel shall take into consideration all relevant issues including the economics of the matter, the damages and costs which are likely to be recovered by the plaintiff, the likely costs of defence and the prospects of the *insured person* successfully defending the action. The costs of the Senior Counsel's opinion shall be borne by the *insurer*.

If the Senior Counsel advises that, having regard to all the circumstances, the matter should not be contested but should be settled, provided that settlement can be achieved within certain limits which in the Senior Counsel's opinion are reasonable, then the *insured person* shall not object to or oppose any such settlement and shall co-operate with the *insurer* to achieve the settlement in accordance with this policy.

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5.19 **Allocation**

In the event that any *claim* involves both covered matters and matters not covered under this policy, a fair and proper allocation of any *defence costs*, judgments and/or settlements shall be made between the *insured* and the *insurer* taking into account the

relative legal and financial exposures attributable to covered matters and matters not covered under this policy.

5.20 **Non-Accumulation**

Any payment provided under the terms of this policy shall be non-cumulative with any coverage provided under any other policy issued by any member company of the American International Group.

5.21 **Fraudulent Claims**

If the *insured* shall give notice or make any *claim* for any *loss* under this policy knowing it to be false or fraudulent, as regards amount or otherwise and whether in whole or in part, such *loss* shall be excluded from cover under the policy and the *insurer* reserves the right to void this policy in its entirety, and in such case all *losses* and all *claims* under it shall be forfeited.